

ASEAN Banks

Debates, picks and takeaways

We met decision makers across banks, and have had some lively discussions at sector and stock levels over the last couple of weeks. Key ones include: 1) NIM vs NII and PE vs DY spread at SG banks, 2) what'll make DBS and SGX go higher, 3) UOB vs OCBC, 4) reasons for our Indonesia banks views, 5) NII vs DPS for Thai banks, 6) banks vs NBFCs in Thailand, 7) why look at BDO despite liquidity, 8) EM inclusion for VN, and 9) are Malaysia banks boring or steady? We delve into these details in this note. Key conclusions include, 1) DBS over UOB and OCBC in Singapore, as one of the best expressions of \$ weakness trade, 2) BDO offers significant alpha opportunity, 3) stay OW VN banks, led by VCB and ACB, 4) Indonesia banks confirm on-going negative EPS revisions, 5) KBank and KTB should re-rate once buyback starts, with SCB and Tisco as funding sources, 6) stay with Thai NBFC trade, and 7) PBK, HLBK and Bursa are top picks in Malaysia. We are upgrading DBS to OW from N, SGX to N from UW, and downgrading UOB to UW from N. We are reducing PTs for MAY and OCBC, and increasing HLBK PT.

- Singapore (sector):** Weaker USD is one of the drivers of HNWI flows into Singapore's banking system, as the country's AAA rating and WM hub allow a degree of comfort. SGD deposits are up 11% y/y (Jun-25), with total SG deposits breaching S\$2tn, up 9% y/y. These flows, in part, have led to 165bps YTD decline in SORA (1M avg) to 1.31%, with SGD NEER up 1.25% YTD, trading at 140bps above mid-point as per JPM estimates. This should continue (JPM forecast is for DXY at 95.2 by Dec-25 and 93.7 by Jun-26). This bodes well for SGX as well as banks that are able to deliver NII and WM growth, while maintaining AQ. The pace of NIM decline is likely going to be a negative surprise, partly offset by IEA and AuM growth. Basically, asset gathering at incremental positive spread is quite likely. The sector investment case in this scenario will be a function of total returns in USD, helped by dividends and buybacks.
- Singapore (stocks):** We are upgrading DBS to OW, with Dec-26 PT of S\$56, as the certainty of DPS can lead to a sustained re-rating on the back of a sector-high DY spread. The stock will trade at 6.5/6.8% DY in 2026/27 at our PT. On the flip side, the change in UOB guidance suggests credit costs will move up and stay up (~40bps in next 6Qs), leading to negative revisions. Moreover, payout-based dividends suggest possible downside risks for absolute DPS. OCBC stays N. DBS trades at historical premium multiples on PE and PB to UOB and OCBC, which should broaden. Higher confidence in the bank's ability and willingness to payout underpins this premium. Key risk for DBS is a quarter when NII growth lags peers. We upgrade SGX to N, with Dec-26 PT of S\$16 on the back of efforts to improve flows in the equity market. Multiples are elevated, which limits upside.
- Indonesia:** Discussions with banks last week at our conference confirmed the case for continued negative revisions. Hence, we see limited reasons for a sharp re-rating in the near-term. Valuations are low, and higher government spend should ease liquidity to a degree, but there are pockets of risks on credit growth

APAC Banks

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and asset quality.

- **Thailand:** Banks lack EPS growth but are delivering steady AQ and DPS growth. This, combined with high CET1 (17.2-19.6%) allows the stocks to trade on DY and DY spreads ([link](#)), rather than EPS revisions. KTB and KBank stay our top picks on buyback expectations once BoT/SEC approve the changes in process. Tisco and SCB stay our preferred funding sources. NBFCs are coming off a low base, and have quite a bit more to run. Sawad at 9.1/1.3x 2025E PE/PB offers higher upside as liquidity continues to ease. Yet, as we get closer to elections, some of the risks to the trade may start showing. Hence, our views on the sector are turning more tactical at this point.
- **Malaysia:** The results season suggested easing deposit competition, with weaker fees due to easing capital market activities. The sector investment case is a function of steady and balanced returns, with limited risks rather than one leading to sharp growth. Sharpe ratio for the sector tends to be high on a 3Y rolling basis, but with limited near term catalysts. Hence, the outperformance can be stealthy. We prefer PBK, HLBK and Bursa in the sector. We reduce MAY PT post model update, but stay OW. Niaga has held well, but stays a possible source of risk for CIMB. We prefer to add on weakness. HLBK offers incrementally higher yield, with lower risk on BoCD/China, leading to possible re-rating.
- **Philippines:** Discussions affirm a steady outlook, with EPS downside from rate cuts more than discounted by the stock price declines in last 3M. Loan growth is holding better-than-expected, and asset quality is broadly stable, with NPL/credit cost increases largely driven by mix. Less dovish monetary policy stance and 2H25 earnings improvement are key catalysts. Extent of 2H cost improvement at BDO and scope for trading gains at MBT are areas of near-term upside. BDO and BPI are trading over 1.5SD below mean despite higher ROE, providing an attractive entry point. Please see [link](#) for detailed takeaways.
- **Vietnam:** The recovery is sustaining, with the trade deal improving visibility on the outlook ([link](#)). Credit growth should slow sequentially, but NIM should expand in 2H, and asset quality improvements should continue. We recommend staying invested ahead of potential FTSE re-classification of VN to EM in October. VCB is the potential direct beneficiary and our preferred pick. We see scope for improvement at ACB as real estate conditions improve in the South. Sector-wide risks include potential trade deceleration in 2H and liquidity conditions (109% LDR). Please see [link](#) for a more detailed discussion.

Equity Ratings and Price Targets

Company	Ticker	Mkt Cap (\$ mn)	Price CCY	Price	Rating		Price Target			
					Cur	Prev	Cur	End Date	Prev	End Date
DBS Group Holdings	DBS SP	112,522	SGD	50.88	OW	N	56.00	Dec-26	50.50	Jun-26
OCBC Bank	OCBC SP	58,667	SGD	16.76	N	n/c	17.00	Dec-26	17.50	Jun-26
United Overseas Bank (UOB)	UOB SP	45,985	SGD	35.57	UW	N	32.50	Dec-26	36.50	Jun-26
Singapore Exchange	SGX SP	13,643	SGD	16.35	N	UW	16.00	Dec-26	14.00	Jun-26
Maybank (Malayan Banking)	MAY MK	28,753	MYR	10.04	OW	n/c	10.70	Dec-26	11.00	Jun-26
Hong Leong Bank	HLBK MK	10,329	MYR	20.10	OW	n/c	23.00	Dec-26	22.00	Jun-26

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. n/c = no change. All prices as of 09 Sep 25.

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Table 1: ASEAN Financials: PT and rating changes

Company	Old rating	New rating	Old PT (\$)	New PT (\$)	Change in PT
DBS	N	OW	50.5	56.0	11%
OCBC	N	N	17.5	17.0	-3%
UOB	N	UW	36.5	32.5	-11%
SGX	UW	N	14.0	16.0	14%
MAY	OW	OW	11.0	10.7	-3%
HLBK	OW	OW	22.0	23.0	5%

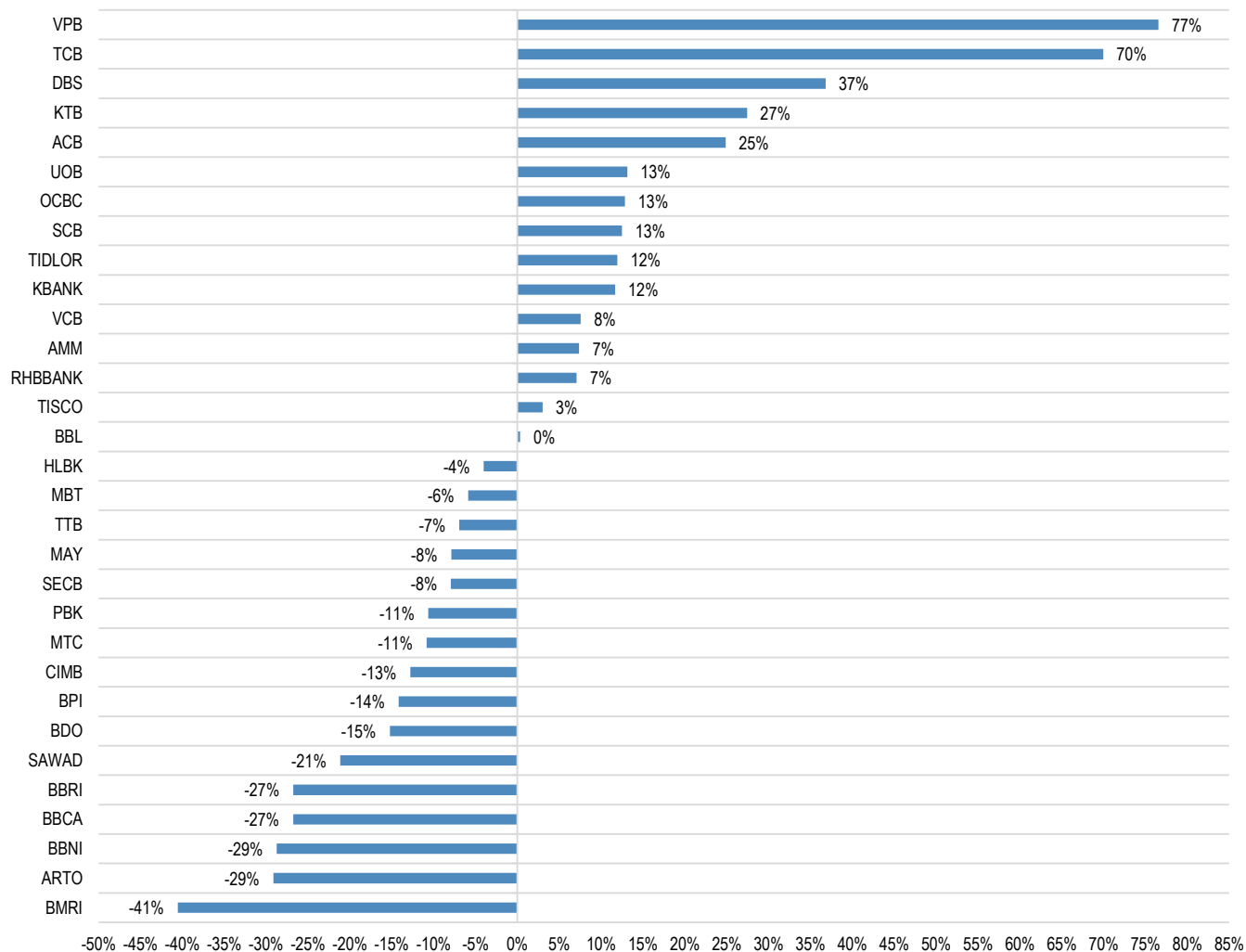
Source: J.P. Morgan estimates.

Table 2: ASEAN Financials: EPS revisions

EPS	EPSg y/y			JPM vs Street			JPM revisions		
	2025E	2026E	2027E	2025E	2026E	2027E	2025E	2026E	2027E
DBS	-4%	0%	6%	0%	-3%	-3%	-1%	0%	0%
OCBC	-5%	-2%	7%	0%	-6%	-3%	0%	-4%	-3%
UOB	-8%	1%	14%	-4%	-8%	-3%	-3%	-6%	-3%
SGX	6%	8%	7%	8%	12%	12%	3%	5%	n.a
MAY	4%	0%	5%	2%	-1%	-2%	-2%	-3%	-6%
HLBK	18%	-9%	8%	11%	-5%	-4%	17%	-3%	n.a

Source: J.P. Morgan estimates, Bloomberg Finance L.P. Note: SGX and HLBK data is based on 2026/27/28E.

Table 3: ASEAN Financials: Price performance YTD

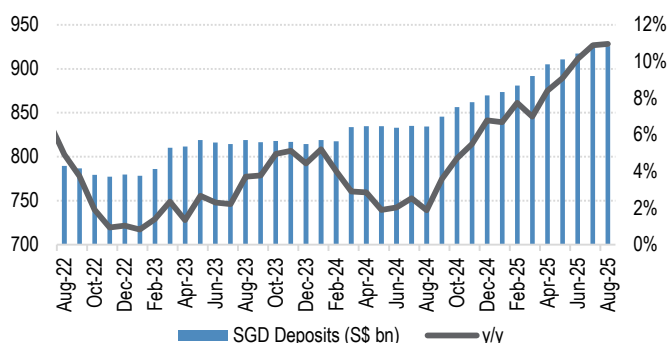


Source: Bloomberg Finance L.P.

Singapore - Weaker USD drives inflows

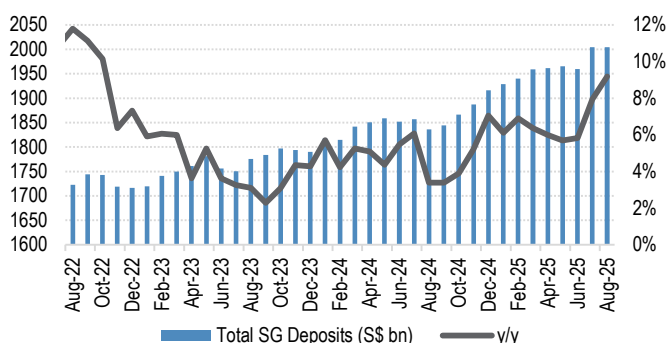
Weaker USD is one of the drivers of HNWI flows into Singapore banking system, as the country's AAA rating and WM hub allow a degree of comfort. SGD deposits are up 11% y/y (Jun-25), with total SG deposits breaching S\$2tn, up 9% y/y. These flows, in part, have led to 165bps YTD decline in SORA (1M avg) to 1.31%, with SGD NEER up 1.25% YTD, trading at 140bps above mid-point as per JPM estimates. This should continue (JPM forecast is for DXY at 95.2 by Dec-25 and 93.7 by Jun-26). This bodes well for SGX as well as banks that are able to deliver NII and WM growth, while maintaining AQ. The pace of NIM decline is likely going to be a negative surprise, partly offset by IEA and AuM growth. Basically, asset gathering at incremental positive spread is quite likely. The sector investment case in this scenario will be a function of total returns in USD, helped by dividends and buybacks.

Figure 1: Singapore: SGD denominated deposits



Source: Bloomberg Finance L.P.

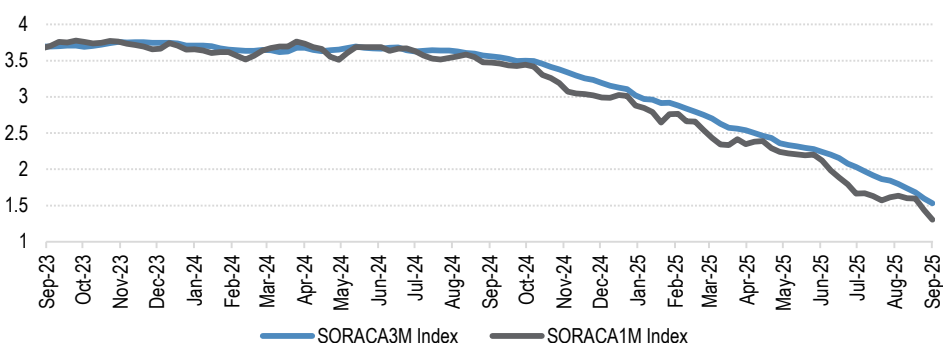
Figure 2: Singapore: Total deposits



Source: Bloomberg Finance L.P.

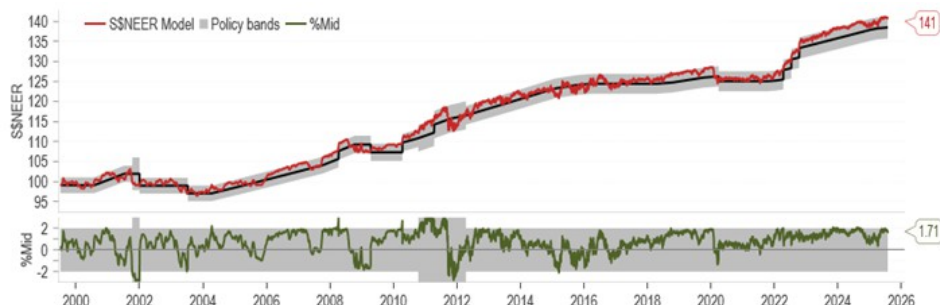
SORA decline should lead to NIM pressure

Figure 3: Singapore: SORA index trend



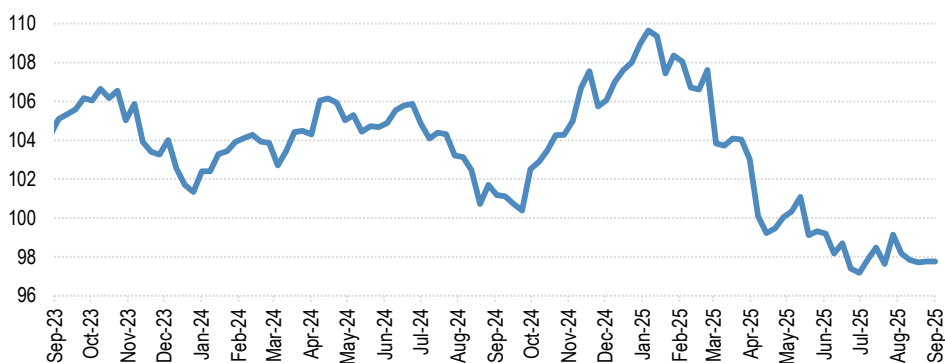
Source: Bloomberg Finance L.P.

Figure 4: S\$NEER vs MAS policy bands



Source: MAS. J.P. Morgan estimates.

Figure 5: DXY index trends



Source: Bloomberg Finance L.P.

Further SGD strength and DXY weakness could support inflows

We are upgrading DBS to OW, with Dec-26 PT of S\$56, as the certainty of DPS can lead to sustained re-rating on the back of sector-high DY spread. The stock will trade at 6.5/6.8% DY in 2026/27 at our PT. On the flip side, the change in UOB guidance suggests credit costs will move up and stay up (~40bps in next 6Qs), leading to negative revisions. Moreover, payout based dividends suggests possible downside risks for absolute DPS. OCBC stays N. DBS trades at historical premium multiples on PE and PB to UOB and OCBC, which should broaden. Higher confidence in the bank's ability and willingness to payout underpins this premium. Key risk for DBS is a quarter when NII growth lags peers. We upgrade SGX to N, with Dec-26 PT of S\$16 on the back of efforts to improve flows in the equity market. Multiples are elevated, which limits upside.

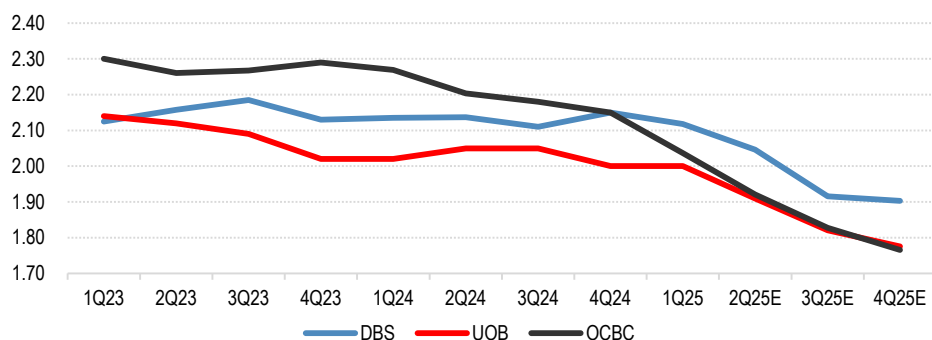
Table 4: Singapore Banks: AUM by bank

AUM (\$\$ bn)	2021	1Q22	2Q22	3Q22	4Q22	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25
DBS	291	293	294	293	297	309	320	353	365	382	396	401	426	432	442
% q/q		0.7%	0.3%	-0.3%	1.4%	4.0%	3.6%	10.3%	3.4%	4.7%	3.7%	1.3%	6.2%	1.4%	2.3%
OCBC	258	251	250	250	258	270	274	270	263	273	279	284	299	306	310
% q/q		-2.7%	-0.4%	0.0%	3.2%	4.7%	1.5%	-1.5%	-2.6%	3.8%	2.2%	1.8%	5.3%	2.3%	1.3%
UOB	139	140	138	140	154	160	165	170	176	179	182	185	190	189	191
% q/q		0.7%	-1.4%	1.4%	10.0%	3.9%	3.1%	3.0%	3.5%	1.7%	1.7%	1.6%	2.7%	-0.5%	1.1%

Source: Company reports.

Expecting NIM decline, led by lower SORA and potential Fed cuts

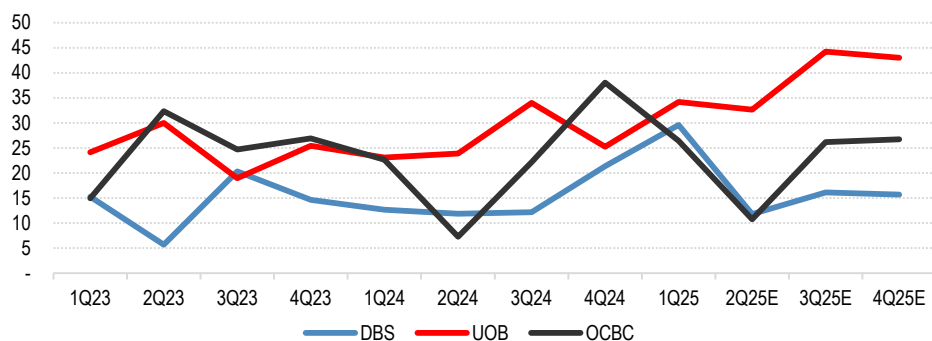
Figure 6: Singapore Banks: NIM trend (%)



Source: Company reports and J.P. Morgan estimates.

Expecting UOB credit costs to move up, partly on NPL coverage build

Figure 7: Singapore Banks: Credit costs trend



Source: Company reports and J.P. Morgan estimates.

Table 5: Singapore Banks: Buybacks and DPS expectations

SG Banks yields	DBS			OCBC			UOB		
	2025E	2026E	2027E	2025E	2026E	2027E	2025E	2026E	2027E
Regular DPS	2.46	2.70	2.88	0.79	0.77	0.83	1.64	1.65	1.88
Special DPS	0.60	0.60	0.60	0.22	0.24	0.18	0.25	-	-
Total DPS	3.06	3.30	3.48	1.01	1.01	1.01	1.89	1.65	1.88
Yield									
Regular	4.8%	5.3%	5.7%	4.7%	4.6%	4.9%	4.6%	4.6%	5.3%
Special	1.2%	1.2%	1.2%	1.3%	1.4%	1.1%	0.7%	0.0%	0.0%
Total	6.0%	6.5%	6.8%	6.0%	6.0%	6.0%	5.3%	4.6%	5.3%
Payout									
Regular payout	64%	70%	71%	50%	50%	50%	50%	50%	50%
Regular + special payout	80%	86%	85%	64%	65%	61%	58%	50%	50%
Regular + special + buyback payout	89%	100%	99%	73%	75%	70%	70%	62%	61%
Total buyback (\$ mn)	1,000	1,500	1,500	700	750	750	750	750	750
Buyback amt. per share	0.36	0.54	0.54	0.16	0.17	0.17	0.45	0.46	0.46
Yield on buyback	0.7%	1.1%	1.1%	0.9%	1.0%	1.0%	1.3%	1.3%	1.3%
Total yields	6.7%	7.5%	7.9%	7.0%	7.0%	7.1%	6.6%	5.9%	6.6%

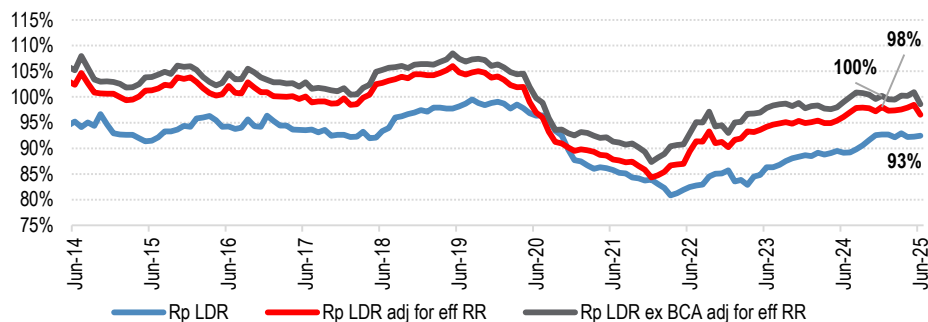
Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Indonesia: EPS revisions trending lower

Discussions with banks last week at our conference confirmed the case for continued negative revisions. Hence, we see limited reasons for sharp re-rating in the near-term. Valuations are low, and higher government spend should ease liquidity to a degree, but there are pockets of risks on credit growth and asset quality. Our relative preferences are for BCA and BRI (Neutral), while we hold UW on BMRI and BNI. The incremental risks to RoA at BRI opens up the possibility of near-term weakness for the stock. BNI has levers to manage NIM via higher LDR (we expect 96% by Dec-25 vs. 87% as on Jun-25), which should limit downside.

Elevated LDR is a key constraint to growth

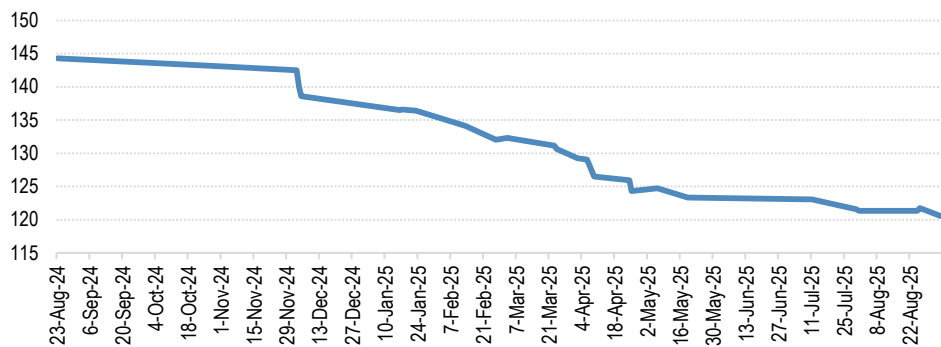
Figure 8: Indonesia: LDR



Source: CEIC.

There have been negative revisions across the big 4 Indo banks.

Figure 9: Indonesia: Street earnings estimates (EEG) - Big 4 average

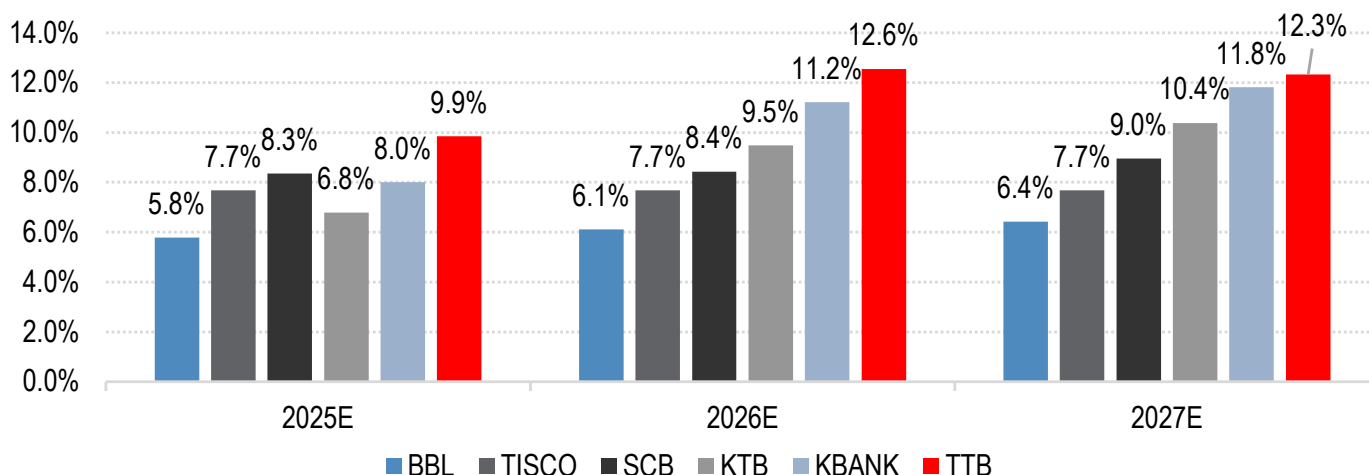


Source: Bloomberg Finance L.P.

Thailand: Dividend is the key

Banks lack EPS growth but are delivering steady AQ and DPS growth. This, combined with high CET1 (17.2-19.6%) allows the stocks to trade on DY and DY spreads ([link](#)); rather than EPS revisions. KTB and KBank stay our top picks on buyback expectations once BoT/SEC approve the changes in process. Tisco and SCB stay our preferred funding sources. NBFCs are coming off a low base, and have quite a bit more to run. Sawad at 9.1/1.3x 2025E PE/PB offers higher upside as liquidity continues to ease. Yet, as we get closer to elections, some of the risks to the trade may start showing. Hence, our views on the sector are turning more tactical at this point.

Figure 10: Thailand Banks: Total yields (Dividend + Buyback)



Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Total yields are relatively high, providing upside to select stocks

Table 6: Thailand Banks: Total yields breakdown

	BBL			KBANK			KTB			SCB			TTB			TISCO		
	2025E	2026E	2027E	2025E	2026E	2027E	2025E	2026E	2027E	2025E	2026E	2027E	2025E	2026E	2027E	2025E	2026E	2027E
Regular DPS	9.00	9.50	10.00	10.50	12.00	14.00	1.67	1.83	2.06	10.73	10.20	11.51	0.13	0.16	0.17	7.75	7.75	7.75
Special DPS	-	-	-	3.00	3.50	2.50	-	-	-	-	0.64	-	-	-	-	-	-	-
Total DPS	9.00	9.50	10.00	13.50	15.50	16.50	1.67	1.83	2.06	10.73	10.83	11.51	0.13	0.16	0.17	7.75	7.75	7.75
Yield																		
Regular DPS	5.9%	6.2%	6.6%	6.1%	7.0%	8.2%	6.4%	7.1%	7.9%	8.5%	8.1%	9.1%	7.2%	8.3%	9.0%	7.6%	7.6%	7.6%
Special DPS	0.0%	0.0%	0.0%	1.8%	2.0%	1.5%	0.0%	0.0%	0.0%	0.0%	0.5%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Total DPS	5.9%	6.2%	6.6%	7.9%	9.1%	9.6%	6.4%	7.1%	7.9%	8.5%	8.6%	9.1%	7.2%	8.3%	9.0%	7.6%	7.6%	7.6%
Payout																		
Regular	37%	40%	41%	55%	58%	57%	45%	60%	60%	80%	80%	80%	65%	70%	75%	96%	96%	92%
Regular + Special	37%	40%	41%	70%	75%	67%	45%	60%	60%	80%	85%	80%	65%	70%	75%	96%	96%	92%
Regular + Special + Buyback	37%	40%	41%	70%	91%	81%	45%	76%	75%	80%	85%	80%	90%	107%	104%	96%	96%	92%
Total Buyback (THB mn)	-	-	-	-	8,056	8,056	-	6,988	6,988	-	-	-	5,103	8,000	6,300	-	-	-
Buyback amt per share	-	-	-	-	3.40	3.40	-	0.50	0.50	-	-	-	0.05	0.08	0.06	-	-	-
Yield on Buyback	0.0%	0.0%	0.0%	0.0%	2.0%	2.0%	0.0%	1.9%	1.9%	0.0%	0.0%	0.0%	2.8%	4.4%	3.4%	0.0%	0.0%	0.0%
Total Yields	5.9%	6.2%	6.6%	7.9%	11.1%	11.6%	6.4%	9.0%	9.8%	8.5%	8.6%	9.1%	10.0%	12.7%	12.5%	7.6%	7.6%	7.6%
Yields on JPM PT																		
Regular DPS	5.8%	6.1%	6.5%	5.5%	6.3%	7.4%	6.2%	6.8%	7.6%	8.3%	7.8%	8.9%	7.1%	8.2%	8.9%	8.9%	8.9%	8.9%
Regular + Special DPS	5.8%	6.1%	6.5%	7.1%	8.2%	8.7%	6.2%	6.8%	7.6%	8.3%	8.3%	8.9%	7.1%	8.2%	8.9%	8.9%	8.9%	8.9%
Total yields (including BB)	5.8%	6.1%	6.5%	7.1%	9.9%	10.5%	6.2%	8.6%	9.5%	8.3%	8.3%	8.9%	9.9%	12.6%	12.3%	8.9%	8.9%	8.9%

Source: J.P. Morgan estimates, Bloomberg Finance L.P. Last priced as of 9th Sept, 2025.

Table 7: Thailand Financials: EPS revisions

	2025E					2026E				
	1m	3m	6m	12m	YTD	1m	3m	6m	12m	YTD
BBL	0%	-1%	-4%	0%	-2%	0%	-3%	-7%	-5%	-6%
KBANK	-1%	-1%	-5%	-2%	-5%	-1%	-4%	-9%	-6%	-8%
KTB	1%	3%	-2%	6%	3%	0%	-2%	-7%	1%	-3%
SCB	0%	2%	-1%	3%	3%	0%	0%	-5%	-2%	-3%
TTB	0%	-3%	-7%	-5%	-5%	-1%	-4%	-10%	-9%	-9%
TISCO	0%	-1%	-4%	-5%	-5%	0%	-1%	-4%	-8%	-7%
SAWAD	8%	3%	-4%	-13%	-12%	9%	2%	-6%	-16%	-16%
MTC	0%	0%	-3%	-3%	-5%	0%	-2%	-6%	-7%	-10%
TIDLOR	0%	4%	3%	-1%	1%	0%	3%	0%	-2%	-3%
Banks	0%	0%	-4%	-1%	-2%	0%	-2%	-7%	-5%	-6%
Non-Banks	3%	2%	-1%	-6%	-5%	3%	1%	-4%	-8%	-10%
Sector	1%	1%	-3%	-2%	-3%	1%	-1%	-6%	-6%	-7%

Source: Bloomberg Finance L.P. Data as of 9th Sept, 2025.

Malaysia: Steady and balanced returns over next 3Y

The results season suggested easing deposit competition, with weaker fees due to easing capital market activities. The sector investment case is a function of steady and balanced returns, with limited risks rather than one leading to sharp growth. Sharpe ratio for the sector tends to be high on a 3Y rolling basis, but with limited near term catalysts. Hence, the outperformance can be stealthy. We prefer PBK and HL BK in the sector. We reduce MAY PT post model update, but stay OW. Niaga has held well, but stays a possible source of risk for CIMB. We prefer to add on weakness. HLBK offers incrementally higher yield, with lower risk on BoCD/China, leading to possible re-rating.

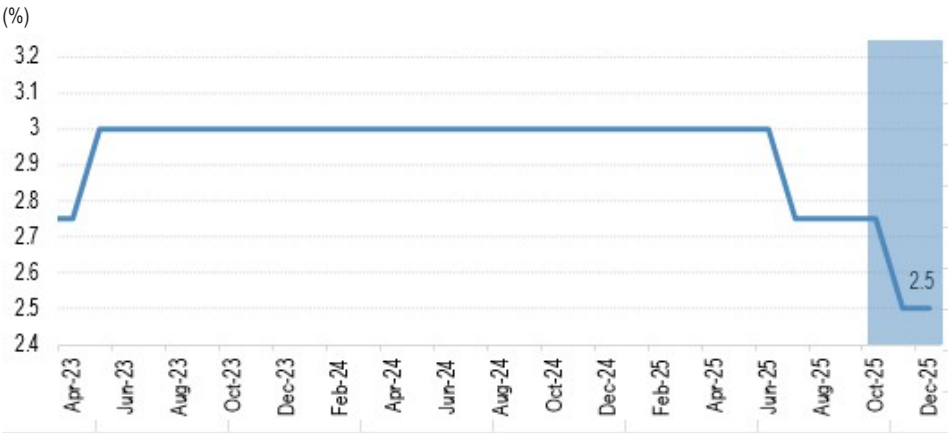
Table 8: Malaysia banks: Lending and Deposit rates

%	Wt Avg TD rates					Wt Avg saving deposits rate	Wt Avg lending rate on outstanding loans
	1M	3M	6M	9M	12M		
Dec-23	2.51	2.61	2.66	2.66	2.71	0.43	5.11
Jan-24	2.51	2.60	2.65	2.65	2.70	0.43	5.12
Feb-24	2.46	2.59	2.62	2.61	2.67	0.43	5.14
Mar-24	2.48	2.58	2.62	2.61	2.67	0.43	5.12
Apr-24	2.44	2.56	2.60	2.61	2.64	0.43	5.13
May-24	2.39	2.52	2.55	2.57	2.60	0.43	5.13
Jun-24	2.37	2.51	2.54	2.57	2.58	0.43	5.12
Jul-24	2.39	2.50	2.53	2.56	2.57	0.43	5.12
Aug-24	2.38	2.49	2.53	2.56	2.57	0.43	5.11
Sep-24	2.35	2.47	2.52	2.56	2.56	0.43	5.09
Oct-24	2.28	2.44	2.49	2.52	2.53	0.43	5.07
Nov-24	2.27	2.44	2.50	2.51	2.53	0.43	5.08
Dec-24	2.27	2.44	2.50	2.50	2.53	0.43	5.05
Jan-25	2.27	2.44	2.50	2.50	2.53	0.43	5.01
Feb-25	2.24	2.44	2.50	2.50	2.52	0.44	5.05
Mar-25	2.23	2.42	2.49	2.53	2.52	0.44	5.03
Apr-25	2.21	2.40	2.48	2.48	2.51	0.44	5.00
May-25	2.21	2.37	2.45	2.46	2.48	0.44	4.98
Jun-25	2.18	2.36	2.44	2.45	2.48	0.42	4.97
Jul-25	1.95	2.10	2.18	2.20	2.22	0.37	4.84
Current vs last month	(23)	(26)	(26)	(25)	(26)	(5)	(13)
Current vs 3M ago	(26)	(30)	(29)	(28)	(29)	(7)	(15)
Current vs 6M ago	(32)	(34)	(31)	(30)	(31)	(6)	(16)
Current vs 12M ago	(44)	(40)	(35)	(36)	(36)	(6)	(27)

Source: BNM. Note: Based on data for commercial banks.

JPM economists forecast one more rate cut in Nov-25.

Figure 11: Malaysia: OPR trends and forecasts



Source: Bloomberg Finance L.P. J.P. Morgan estimates.

Table 9: Malaysia Banks: EPS revisions

	2025E					2026E				
	1m	3m	6m	12m	YTD	1m	3m	6m	12m	YTD
AMM	0%	1%	-1%	4%	1%	0%	1%	-2%	1%	-1%
CIMB	-1%	-1%	-2%	-4%	-4%	0%	-2%	-3%	-6%	-5%
HLBK	0%	-2%	-5%	-5%	-6%	-1%	-3%	-6%	-7%	-6%
MAY	-1%	-1%	-2%	-1%	-1%	-1%	-1%	-4%	-3%	-3%
PBK	-1%	-2%	-4%	-2%	-3%	-1%	-2%	-4%	-2%	-2%
RHB	-1%	-2%	-4%	2%	0%	0%	-2%	-3%	1%	-1%
Average	0%	-1%	-3%	-1%	-2%	0%	-1%	-4%	-3%	-3%

Source: Bloomberg Finance L.P. Note: FY26/27E for AMM and HLBK.

Malaysia banks earnings summary

AMMB:

Missed JPMe by 5% due to weaker operating trends and asset quality, with rising impaired loans and higher credit costs offsetting some NIM/NII improvement.

CIMB:

Missed JPMe by 6% as flat investment income disappointed despite a beat in NII and good cost control; asset quality held up, but higher credit costs and headline miss may weigh on the stock.

PBK:

Missed JPMe by 7% mainly due to higher than expected credit costs and weak fee income; NIM was stable, and loan market share improved.

HLBK:

Beat JPMe by 6% with strong profit growth, expanding NIM, firm loan and deposit growth, and healthy asset quality; one of the best sector performances this quarter.

RHB:

Beat JPMe by 7% on strong investment and trading income, steady core trends, and better-than-feared asset quality, though costs were higher and NIM declined slightly.

MAY:

Slight beat to JPMe (1%) driven by stronger treasury and better cost of funds, but higher provisions and rising NPLs led to lower coverage; slower loan growth and NIM compression expected, with dividend yield remaining the key investment highlight.

Table 10: Malaysia Banks: 2Q25 earnings growth (q/q)

MY Banks QoQ	Maybank	HLBK	RHBC	CIMB	PBK	AMMB
Interest Income	0%	4%	0%	-2%	1%	0%
Interest Expense	-2%	2%	0%	-4%	-1%	-2%
Net Interest Income	2%	7%	0%	1%	2%	4%
Non-Interest Income	-3%	-6%	18%	5%	1%	-5%
Fee income	2%	-1%	4%	-5%	-3%	-6%
Investment income	34%	-12%	22%	0%	31%	4%
Other Operating income	170%	-20%	100%	NM	-16%	-13%
Operating Revenue	0%	5%	5%	2%	1%	1%
Operating Costs	2%	4%	5%	-1%	3%	-2%
PPOP	-2%	5%	6%	4%	0%	5%
Loan loss provisions	10%	-101%	15%	42%	-13%	55%
Impairment Loss/Other Provisions	21%	-144%	NM	NM	NM	102%
Associate	69%	13%	-4%	-94%	2%	-21%
Pre-Tax	-2%	-19%	8%	1%	1%	0%
Tax	-15%	-15%	12%	20%	2%	-3%
Profit before MI	2%	-20%	7%	-5%	1%	0%
MI and EO	36%	n.a	77%	-23%	-4%	-166%
Core Attributable profit	2%	-20%	7%	-4%	1%	0%
Net attributable profit	2%	15%	-4%	-4%	1%	0%
Common Equity	2%	2%	4%	2%	3%	0%
Gross Loans	0%	4%	1%	0%	1%	-1%
Net Loans	0%	4%	1%	0%	1%	-1%
Deposits	1%	6%	1%	1%	1%	-3%
NPL	2%	0%	2%	-1%	2%	11%
LLR	-1%	2%	3%	-2%	-1%	5%
Change in bps						
NIM	(4)	3	(3)	(1)	(1)	5
CIR	103	(18)	(28)	(137)	61	(164)
LDR	(71)	(154)	(2)	(84)	23	202
Credit Costs (bps)	2	80	2	11	(0)	9
NPL Ratio	3	(2)	1	(1)	1	18
Coverage Ratio	(437)	186	63	(187)	(599)	(459)
CET1 ratio	60	(47)	32	7	0	8
Tier 1 ratio	60	(49)	(10)	5	(8)	8

Source: Company reports.

Table 11: Malaysia Banks: 2Q25 earnings growth (y/y)

MY Banks YoY	Maybank	HLBK	RHBC	CIMB	PBK	AMMB
Interest Income	-4%	3%	0%	-3%	2%	1%
Interest Expense	-8%	0%	2%	-6%	0%	-5%
Net Interest Income	1%	7%	-2%	0%	5%	10%
Non-Interest Income	16%	25%	11%	-1%	15%	11%
Fee income	2%	0%	-6%	-6%	-3%	-12%
Investment income	5%	161%	29%	-3%	43%	45%
Other Operating income	NM	-5%	-18%	78%	NM	-3%
Operating Revenue	6%	10%	2%	0%	7%	10%
Operating Costs	7%	0%	3%	-1%	8%	8%
PPOP	4%	17%	1%	1%	6%	11%
Loan loss provisions	11%	-110%	-22%	29%	NM	139%
Impairment Loss/Other Provisions	NM	NM	NM	-74%	NM	-40%
Associate	20%	-9%	42%	NM	-80%	-5%
Pre-Tax	2%	6%	7%	-3%	2%	1%
Tax	2%	9%	-6%	-1%	6%	-5%
Profit before MI	2%	5%	11%	-4%	1%	3%
MI and EO	-39%	n.a	176%	-13%	NM	78%
Core Attributable profit	4%	5%	11%	-4%	-1%	3%
Net attributable profit	4%	5%	11%	-4%	-1%	3%
Common Equity	-1%	5%	5%	2%	4%	3%
Gross Loans	1%	8%	6%	1%	6%	4%
Net Loans	1%	8%	6%	1%	6%	4%
Deposits	8%	8%	4%	1%	4%	2%
NPL	3%	10%	-9%	-13%	-11%	5%
LLR	-6%	-31%	0%	-14%	2%	-9%
Change in bps						
NIM	(6)	1	(9)	(7)	(1)	12
CIR	78	(392)	39	(39)	41	(67)
LDR	(602)	(51)	141	(25)	190	221
Credit Costs (bps)	2	7	(7)	8	3	14
NPL Ratio	2	1	(25)	(35)	(10)	1
Coverage Ratio	(1,073)	(5,816)	711	(72)	1,975	(1,166)
CET1 ratio	1	(11)	(66)	25	(50)	166
Tier 1 ratio	(25)	(68)	(50)	25	(48)	166

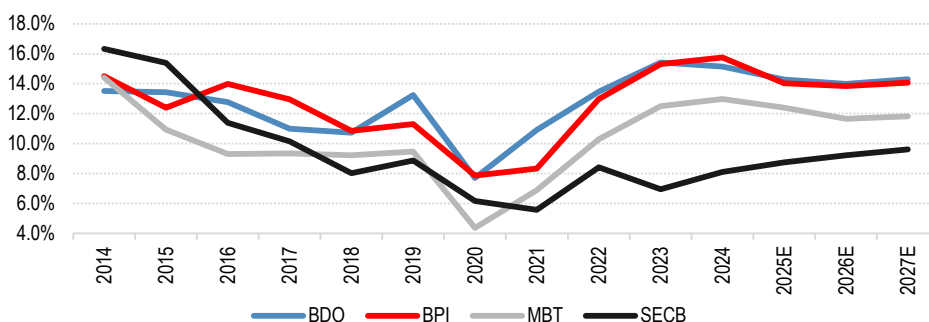
Source: Company reports.

Philippines: Growth intact, weakness provides opportunity to add

Discussions affirm a steady outlook, with EPS downside from rate cuts more than discounted by the stock price declines in last 3M. Loan growth is holding better-than-expected, and asset quality is broadly stable, with NPL/credit cost increases largely driven by mix. Less dovish monetary policy stance and 2H25 earnings improvement are key catalysts. Extent of 2H cost improvement at BDO and scope for trading gains at MBT are areas of near-term upside. BDO and BPI are trading over 1.5SD below mean despite higher ROE, providing an attractive entry point. Please see [link](#) for detailed takeaways.

ROE remains elevated vs. history

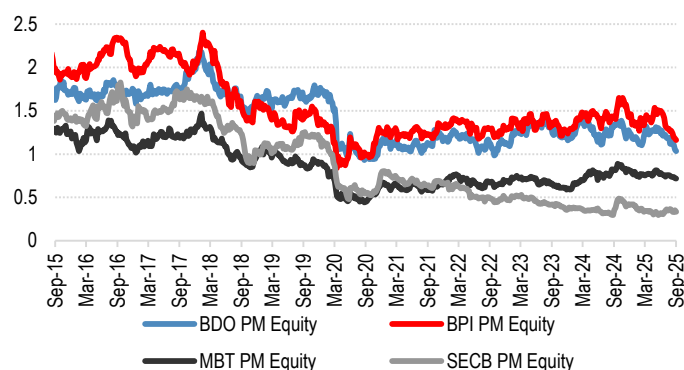
Figure 12: Philippine Banks: RoE trend



Source: Company reports and J.P. Morgan estimates.

Valuations have come off across the sector, allowing for an opportunity to add positions.

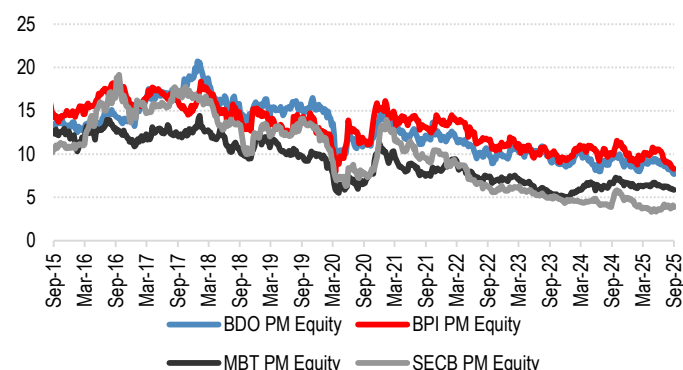
Figure 13: Philippine Banks: 12m forward PB



Source: Bloomberg Finance L.P. Last priced as of 9th Sep, 2025.

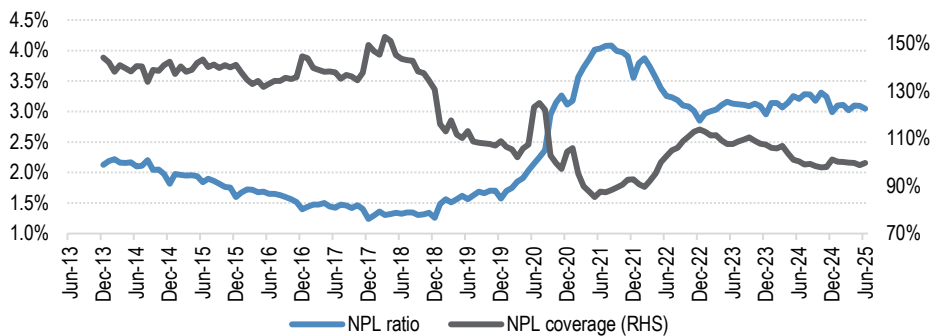
NPL ratio has stabilized at system level

Figure 14: Philippine Banks: 12m forward PE



Source: Bloomberg Finance L.P. Last priced as of 9th Sep, 2025.

Figure 15: Philippines: System NPL and Coverage ratio trend



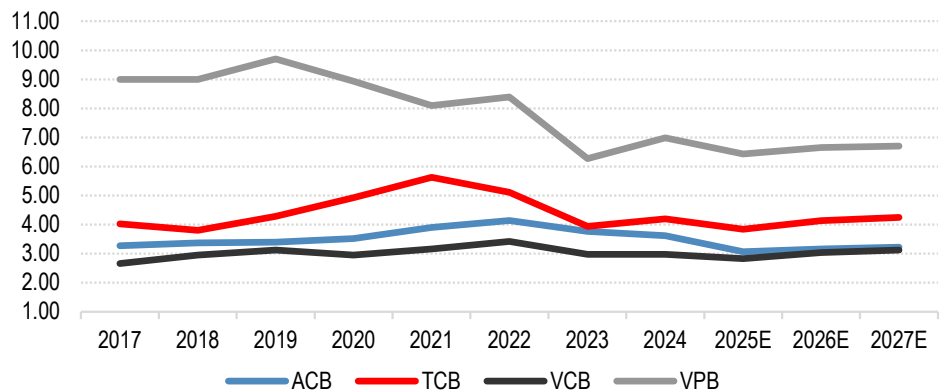
Source: CEIC.

Vietnam: Recovery sustaining, FTSE re-classification a potential catalyst

The recovery is sustaining, with the trade deal improving visibility on the outlook ([link](#)). Credit growth should slow sequentially, but NIM should expand in 2H, and asset quality improvements should continue. We recommend staying invested ahead of potential FTSE re-classification of VN to EM in October. VCB is the potential direct beneficiary and our preferred pick. We see scope for improvement at ACB as real estate conditions improve in the South. Sector-wide risks include potential trade deceleration in 2H and liquidity conditions (109% LDR). Please see [link](#) for a more detailed discussion.

Expecting NIM improvement from 2025 lows

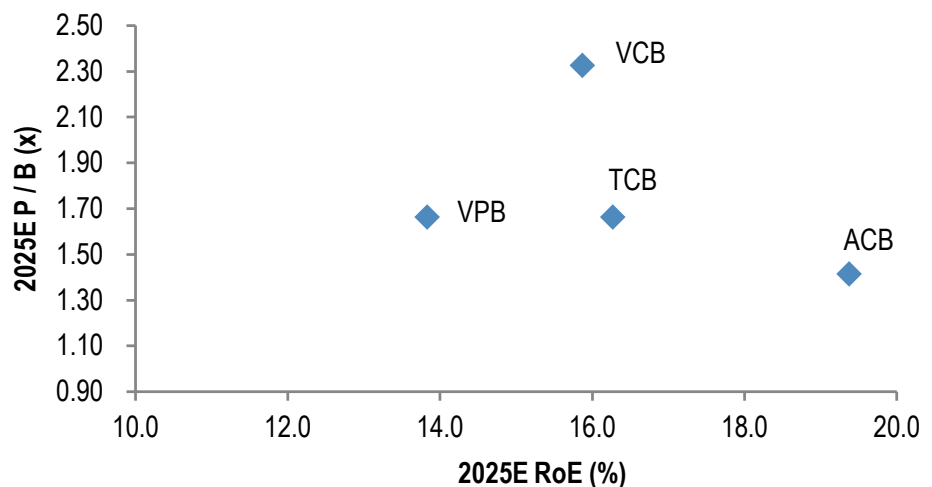
Figure 16: Vietnam Banks: NIM trends



Source: Company reports and J.P. Morgan estimates.

ACB appears most attractive on PB ROE basis

Figure 17: Vietnam Banks: PB vs RoE



Source: Company reports and J.P. Morgan estimates.

▲ Overweight

Previous: Neutral

DBSM.SI, DBS SP

Price (09 Sep 25): S\$50.88

▲ **Price Target (Dec-26): S\$56.00**

Prior (Jun-26): S\$50.50

APAC Banks

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J.P. Morgan Securities (Asia Pacific) Limited/ J.P.

Morgan Broking (Hong Kong) Limited

Quarterly Forecasts (FYE Dec)

Adj. EPS (\$)	2024A	2025E	2026E
Q1	1.04	1.02A	
Q2	0.98	1.00A	
Q3	1.06	0.95	
Q4	0.89	0.86	
FY	3.97	3.83	3.83

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	10	7	10	13	13
Growth	22	7	29	26	82
Momentum	22	10	4	60	63
Quality	7	1	4	29	32
Low Vol	54	13	10	51	10
ESGQ	87	87	24	15	90

DBS Group Holdings

Reassuringly expensive

The bank's commitment to and delivery of payouts in numerous forms (progressively increasing regular dividends, special dividends and buyback) allows investors to pay a multiple for the income stream. DBS is positioned to deliver ~S\$10.8-11.2bn in profits over the next 3Y, despite 15/12bps NIM decline in 2025/26E. Faster asset gathering (CASA and AuM) should drive revenues. WM continues to underpin non-II, while asset quality appears intact. A quarter when NII growth will lag peers would lead to short-term risks for the stock, allowing investors with longer term horizons to scale up positions.

Valuation

Our Dec-26 PT of S\$56 is based on a fair P/B of 2.1x, assuming a normalized RoE of 15.5%, a risk-free rate of 4.2%, a cost of capital of 8.7% and a growth rate of 2.50%.

Table 12: DBS: Valuation

	Core Net (\$\$ mn)	Core EPS (\$\$)	P/E (x)	BVPS (\$\$)	P/B (x)	Dividend (\$\$)	Div Yld (%)	Core RoA (%)	Core RoRWA (%)	Core RoE (%)
2021	6,801	2.41	21.1	19.5	2.61	1.09	2.1%	1.01%	2.02%	12.6%
2022	8,193	2.89	17.6	19.2	2.64	1.82	3.6%	1.13%	2.35%	14.8%
2023	10,286	3.63	14.0	21.0	2.42	1.75	3.4%	1.38%	2.85%	17.9%
2024	11,408	4.01	12.7	23.4	2.18	2.22	4.4%	1.45%	3.14%	18.0%
2025E	10,937	3.87	13.1	24.4	2.08	3.06	6.0%	1.28%	2.96%	16.1%
2026E	10,825	3.87	13.2	25.7	1.98	3.30	6.5%	1.21%	2.76%	15.4%
2027E	11,322	4.09	12.4	26.1	1.95	3.48	6.8%	1.21%	2.72%	15.8%
Price (\$\$)		50.88		Number of shares (mn)		2,837		Market Cap (\$\$ mn)		144,364
Normalised RoE				PB based Valuation				PE based Valuation		
NIM (on avg. assets)		1.60%		Risk-free rate		4.20%		Fair PE		13.5x
Non-IR/revenues		39.6%		Cost of capital		8.7%		12m Rolling EPS		\$S3.87
Cost/income		40.6%		Long term growth		2.50%		PE based Fair Value		\$S52.3x
Operating RoA		1.58%		Fair PB		2.10x		Implied Value of Growth		
LLP/Loans		-0.20%		PV of Terminal Value		\$S48.6		12m Rolling EPS		\$S3.87
Net RoAA		1.24%		PV of Dividends		\$S3.0		Capitalized Value (\$\$)		\$44.5x
Equity/Assets		8.0%		PV of today's Fair Value		\$S51.5		Value of Growth (\$\$)		\$6.4x
Normalised RoE		15.5%		PB based Dec-26 Fair Value		\$S56.0		Attributable to Growth		12.6%

Annual forecasts

Table 13: DBS: Annual P&L

S\$ in mn	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
Interest Income	9,644	9,748	10,833	13,798	15,592	12,208	10,185	15,927	27,862	30,927	28,271	26,868	27,143
Interest Expense	(2,544)	(2,443)	(3,042)	(4,843)	(5,967)	(3,132)	(1,745)	(4,986)	(14,220)	(16,503)	(13,919)	(12,816)	(12,688)
Net Interest Income	7,100	7,305	7,791	8,955	9,625	9,076	8,440	10,941	13,642	14,424	14,352	14,052	14,455
Non-Interest Income	3,687	4,184	4,133	4,137	4,919	5,516	5,857	5,768	6,752	8,123	8,761	9,397	9,982
Net Fee income	2,144	2,331	2,622	2,780	3,052	3,058	3,524	3,091	3,384	4,168	4,752	5,227	5,645
Trading income	1,204	1,357	1,058	1,178	1,459	1,405	1,791	2,313	1,369	1,541	1,572	1,635	1,700
Other operating income	339	496	453	179	408	1,053	542	364	1,999	2,414	2,438	2,536	2,637
Total Revenues	10,787	11,489	11,924	13,092	14,544	14,592	14,297	16,709	20,394	22,547	23,114	23,449	24,437
Costs	(4,900)	(4,972)	(5,130)	(5,798)	(6,258)	(6,158)	(6,469)	(7,090)	(8,056)	(8,895)	(9,274)	(9,615)	(9,970)
PPOP	5,887	6,517	6,794	7,294	8,286	8,434	7,828	9,619	12,338	13,652	13,840	13,834	14,467
Loan loss provisions	(672)	(1,395)	(1,879)	(708)	(704)	(3,063)	(51)	(234)	(591)	(623)	(807)	(939)	(984)
Other provisions	(71)	(39)	(15)	(2)	1	(3)	(1)	(3)	(8)	(22)	(11)	(6)	(3)
Other income	14	0	0	0	0	0	0	0	0	0	0	0	0
Pre-Tax	5,158	5,083	4,900	6,584	7,583	5,368	7,776	9,382	11,739	13,007	13,022	12,889	13,481
Tax	(727)	(723)	(727)	(974)	(1,116)	(612)	(973)	(1,188)	(1,452)	(1,598)	(2,083)	(2,062)	(2,157)
MI & EO	(113)	(122)	(133)	(76)	(38)	(35)	(2)	(1)	(1)	(1)	(1)	(1)	(1)
Core profit	4,318	4,238	4,040	5,534	6,429	4,721	6,801	8,193	10,286	11,408	10,937	10,825	11,322
Attributable profit	4,454	4,238	4,371	5,577	6,391	4,721	6,801	8,193	10,062	11,289	10,837	10,725	11,222

Source: Company reports and J.P. Morgan estimates.

Table 14: DBS: Annual DuPont

	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
NIM (% of avg. IEA)	1.77%	1.80%	1.75%	1.85%	1.89%	1.62%	1.45%	1.75%	2.15%	2.13%	2.00%	1.85%	1.82%
IEA/Assets	89.5%	86.6%	89.1%	90.5%	90.2%	91.0%	87.2%	87.4%	85.6%	86.3%	84.5%	84.9%	85.0%
Margins (% of avg. Assets)	1.58%	1.56%	1.56%	1.68%	1.70%	1.48%	1.26%	1.53%	1.84%	1.84%	1.69%	1.57%	1.55%
Non-IR contribution	34.2%	36.4%	34.7%	31.6%	33.8%	37.8%	41.0%	34.5%	33.1%	36.0%	37.9%	40.1%	40.8%
Non-IR/Avg. Assets	0.82%	0.89%	0.83%	0.77%	0.87%	0.90%	0.88%	0.81%	0.91%	1.04%	1.03%	1.05%	1.07%
Revenue/Assets	2.40%	2.45%	2.39%	2.45%	2.57%	2.37%	2.14%	2.34%	2.75%	2.88%	2.72%	2.63%	2.61%
Cost/Income	45.4%	43.3%	43.0%	44.3%	43.0%	42.2%	45.2%	42.4%	39.5%	39.5%	40.1%	41.0%	40.8%
C/Assets	1.09%	1.06%	1.03%	1.09%	1.11%	1.00%	0.97%	0.99%	1.09%	1.14%	1.09%	1.08%	1.07%
Pre-Provision ROA	1.31%	1.39%	1.36%	1.37%	1.47%	1.37%	1.17%	1.35%	1.66%	1.74%	1.63%	1.55%	1.55%
LLP/Loans	-0.24%	-0.47%	-0.59%	-0.21%	-0.20%	-0.83%	-0.01%	-0.06%	-0.14%	-0.15%	-0.18%	-0.20%	-0.20%
Loan/Assets	63.0%	63.0%	63.4%	63.4%	63.0%	60.2%	59.3%	58.4%	56.8%	54.8%	52.2%	51.4%	51.5%
Other Income/Assets	-0.01%	-0.01%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Operating ROA	1.15%	1.08%	0.98%	1.23%	1.34%	0.87%	1.16%	1.31%	1.58%	1.66%	1.53%	1.44%	1.44%
Pre-Tax ROA	1.15%	1.08%	0.98%	1.23%	1.34%	0.87%	1.16%	1.31%	1.58%	1.66%	1.53%	1.44%	1.44%
Tax Rate	-14.1%	-14.2%	-14.8%	-14.8%	-14.7%	-11.4%	-12.5%	-12.7%	-12.4%	-12.3%	-16.0%	-16.0%	-16.0%
Minorities & Outside Int.	-0.03%	-0.03%	-0.03%	-0.01%	-0.01%	-0.01%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
ROA	0.99%	0.89%	0.86%	1.03%	1.12%	0.75%	1.01%	1.13%	1.35%	1.43%	1.27%	1.20%	1.20%
RoRWA	1.66%	1.52%	1.52%	1.90%	2.13%	1.47%	2.02%	2.35%	2.79%	3.11%	2.94%	2.73%	2.70%
Equity/Assets	8.51%	8.77%	8.85%	8.60%	8.43%	8.15%	7.96%	7.67%	7.70%	8.05%	7.97%	7.87%	7.68%
ROE	11.6%	10.2%	9.7%	12.0%	13.3%	9.2%	12.6%	14.8%	17.5%	17.8%	16.0%	15.3%	15.6%

Source: Company reports and J.P. Morgan estimates.

Quarterly forecasts

Table 15: DBS: Quarterly P&L

S\$ in mn	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25E	4Q25E
Interest Income	6,250	6,978	7,254	7,380	7,726	7,741	7,713	7,747	7,454	7,087	6,941	6,789
Interest Expense	(2,979)	(3,545)	(3,750)	(3,946)	(4,221)	(4,147)	(4,116)	(4,019)	(3,773)	(3,439)	(3,444)	(3,263)
Net Interest Income	3,271	3,433	3,504	3,434	3,505	3,594	3,597	3,728	3,681	3,648	3,496	3,527
Non-Interest Income	1,728	1,654	1,750	1,620	2,103	1,951	2,222	1,847	2,301	2,149	2,188	2,124
Net Fee income	851	823	843	867	1,043	1,048	1,109	968	1,275	1,167	1,214	1,096
Trading income	382	325	346	316	388	362	530	261	401	395	375	401
Other operating income	495	506	561	437	672	541	583	618	625	587	599	627
Total Revenues	4,999	5,087	5,254	5,054	5,608	5,545	5,819	5,575	5,982	5,797	5,684	5,651
Costs	(1,882)	(1,931)	(2,038)	(2,205)	(2,079)	(2,172)	(2,249)	(2,395)	(2,214)	(2,270)	(2,323)	(2,467)
PPOP	3,117	3,156	3,216	2,849	3,529	3,373	3,570	3,180	3,768	3,527	3,361	3,184
Loan loss provisions	(161)	(60)	(215)	(155)	(135)	(128)	(130)	(230)	(325)	(130)	(178)	(175)
Other provisions	0	(12)	0	4	0	(32)	(6)	16	(6)	(9)	0	4
Other income	0	0	0	0	0	0	0	0	0	0	0	0
Pre-Tax	2,956	3,084	3,001	2,698	3,394	3,213	3,434	2,966	3,437	3,388	3,184	3,013
Tax	(379)	(399)	(373)	(301)	(432)	(416)	(414)	(336)	(531)	(573)	(509)	(470)
MI and EO	(6)	5	5	(5)	(6)	6	7	(8)	(9)	9	9	(10)
Core profit	2,571	2,690	2,633	2,392	2,956	2,803	3,027	2,622	2,897	2,824	2,683	2,533
Attributable profit	2,571	2,630	2,593	2,268	2,951	2,789	3,027	2,522	2,897	2,824	2,683	2,433

Source: Company reports and J.P. Morgan estimates.

Table 16: DBS: Quarterly DuPont

	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25E	4Q25E
NIM (% of avg. IEA)	2.12%	2.16%	2.19%	2.13%	2.14%	2.14%	2.11%	2.15%	2.12%	2.05%	1.92%	1.90%
IEA/Assets	83.9%	84.9%	84.7%	86.2%	86.7%	86.0%	85.9%	85.3%	83.6%	85.0%	85.4%	85.3%
Margins (% of avg. Ass)	1.78%	1.83%	1.85%	1.84%	1.85%	1.84%	1.81%	1.83%	1.77%	1.74%	1.63%	1.62%
Non-IR contribution	34.6%	32.5%	33.3%	32.1%	37.5%	35.2%	38.2%	33.1%	38.5%	37.1%	38.5%	37.6%
Non-IR/Avg. Assets	0.93%	0.88%	0.93%	0.87%	1.11%	0.99%	1.13%	0.91%	1.10%	1.02%	1.03%	0.98%
Revenue/Assets	2.69%	2.71%	2.80%	2.72%	2.95%	2.82%	2.95%	2.76%	2.87%	2.76%	2.68%	2.62%
Cost/Income	37.6%	38.0%	38.8%	43.6%	37.1%	39.2%	38.6%	43.0%	37.0%	39.2%	40.9%	43.7%
C/Assets	1.01%	1.03%	1.08%	1.19%	1.09%	1.10%	1.14%	1.19%	1.06%	1.08%	1.10%	1.14%
Pre-Provision ROA	1.7%	1.7%	1.7%	1.5%	1.9%	1.7%	1.8%	1.6%	1.8%	1.7%	1.6%	1.5%
LLP/Loans	-0.15%	-0.06%	-0.20%	-0.15%	-0.13%	-0.12%	-0.12%	-0.21%	-0.30%	-0.12%	-0.16%	-0.16%
Loan/Assets	56.7%	56.2%	56.4%	57.1%	56.0%	54.8%	54.1%	53.2%	52.7%	52.4%	52.0%	51.7%
Other Income/Assets	0.00%	-0.01%	0.00%	0.00%	0.00%	-0.02%	0.00%	0.01%	0.00%	0.00%	0.00%	0.00%
Operating ROA	1.59%	1.65%	1.60%	1.45%	1.78%	1.65%	1.74%	1.46%	1.65%	1.62%	1.50%	1.40%
Pre-Tax ROA	1.59%	1.64%	1.60%	1.45%	1.78%	1.63%	1.74%	1.47%	1.65%	1.61%	1.50%	1.40%
Tax Rate	-12.8%	-12.9%	-12.4%	-11.2%	-12.7%	-13.0%	-12.1%	-11.3%	-15.4%	-16.9%	-16.0%	-15.6%
Minorities & Outside Int	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
ROA	1.38%	1.40%	1.38%	1.22%	1.55%	1.42%	1.53%	1.25%	1.39%	1.34%	1.26%	1.13%
RoRWA	2.93%	2.90%	2.78%	2.44%	3.16%	2.91%	3.34%	2.92%	3.29%	3.19%	2.94%	2.57%
Equity/Assets	7.37%	7.42%	7.58%	7.90%	7.95%	7.89%	8.09%	8.12%	7.96%	7.87%	7.81%	7.84%
ROE	18.7%	18.8%	18.2%	15.4%	19.5%	17.9%	18.9%	15.3%	17.4%	17.0%	16.2%	14.4%

Source: Company reports and J.P. Morgan estimates.

Price Performance



	YTD	1m	3m	12m
Abs	16.4%	0.3%	11.8%	36.8%
Rel	2.9%	-1.1%	2.7%	13.9%

Company Data

Shares O/S (mn)	2,838
52-week range (\$\$)	51.45-36.30
Market cap (\$ mn)	112,522
Exchange rate	1.28
Free float (%)	71.6%
3M ADV (mn)	3.90
3M ADV (\$ mn)	144.3
Volatility (90 Day)	13
Index	FTSTI
BBG ANR (Buy Hold Sell)	10 8 1

Key Metrics (FYE Dec)

\$S in millions	FY24A	FY25E	FY26E	FY27E
Financial Estimates				
Net interest income	14,424	14,352	14,052	14,455
Non interest income	8,123	8,761	9,397	9,982
Operating expenses	(8,895)	(9,274)	(9,615)	(9,970)
Adj. PPOP	13,652	13,840	13,834	14,467
Provision for loan losses	(623)	(807)	(939)	(984)
Adj. PBT	12,888	12,922	12,789	13,381
Adj. net income	11,289	10,837	10,725	11,222
Adj. EPS	3.97	3.83	3.83	4.05
BBG EPS	3.97	3.89	3.99	4.20
DPS	2.22	3.07	3.32	3.50
Loans	430,594	442,609	463,700	485,886
Deposits	561,730	594,932	626,454	648,715
Total Assets	827,219	869,914	915,714	953,271
Margins and Growth				
NIM	2.1%	2.0%	1.9%	1.8%
Ratios				
Loan/ Deposit ratio	76.7%	74.4%	74.0%	74.9%
NPL / Loans	1.1%	1.1%	1.3%	1.4%
Coverage	127.4%	119.1%	102.6%	88.5%
CET 1	-	-	-	-
Non-int. income/ Income	36.0%	37.9%	40.1%	40.8%
Cost/Income	39.5%	40.1%	41.0%	40.8%
LLP/Loans	(0.1%)	(0.2%)	(0.2%)	(0.2%)
ROA	1.4%	1.3%	1.2%	1.2%
ROE	17.9%	16.0%	15.3%	15.6%
Valuation				
Dividend yield	4.4%	6.0%	6.5%	6.9%
Adj. P/E	12.8	13.3	13.3	12.6
P/ BV	2.18	2.08	1.98	1.95

Summary Investment Thesis and Valuation

Investment Thesis

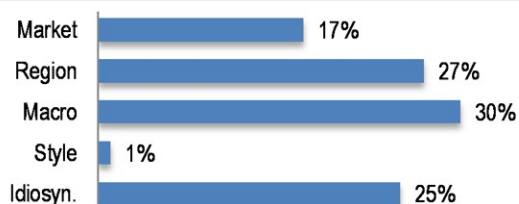
We are OW on DBS.

- The bank's commitment to and delivery of payouts in numerous forms (progressively increasing regular dividends, special dividends and buyback) allows investors to pay a multiple for the income stream.
- DBS is positioned to deliver ~S\$10.8-11.2bn in profits over the next 3Y, despite 15/12bps NIM decline in 2025/26E. Faster asset gathering (CASA and AuM) should drive revenues. WM continues to underpin non-II, while asset quality appears intact. The bank has reduced rate-sensitivity, which is helping improve capital generation visibility. Yet, the synchronized decline in rates across USD, SGD and HKD suggests NIM will still come off, and DPS would stabilize in 2028-30E.
- DBS has delivered one of the best RoE expansions in the last decade as technology and process led changes across the franchise resulted in better growth, efficiency and returns. The bank's digital strength is driving gains in loan market share, WM, as well as underwriting, which had previously seen challenges at the bank.

Valuation

Our Dec-26 PT of S\$56 is based on a fair P/B of 2.1x, assuming a normalized RoE of 15.5%, a risk-free rate of 4.2%, a cost of capital of 8.7% and a growth rate of 2.50%.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.77	0.53
Region: Singapore	0.60	0.73
Macro:		
HSI Volatility Index	-0.55	-0.59
JP Morgan EMBI Global Spread	-0.51	-0.32
Emerging Economies CPI(YoY)	0.37	0.23
Quant Styles:		
Growth	0.00	0.37
Momentum	-0.06	0.32
DivYld	0.19	-0.14

DBS Group Holdings (Overweight; Price Target: S\$56.00)

Investment Thesis

We are OW on DBS.

- The bank's commitment to and delivery of payouts in numerous forms (progressively increasing regular dividends, special dividends and buyback) allows investors to pay a multiple for the income stream.
- DBS is positioned to deliver ~S\$10.8-11.2bn in profits over the next 3Y, despite 15/12bps NIM decline in 2025/26E. Faster asset gathering (CASA and AuM) should drive revenues. WM continues to underpin non-II, while asset quality appears intact. The bank has reduced rate-sensitivity, which is helping improve capital generation visibility. Yet, the synchronized decline in rates across USD, SGD and HKD suggests NIM will still come off, and DPS would stabilize in 2028-30E.
- DBS has delivered one of the best RoE expansions in the last decade as technology and process led changes across the franchise resulted in better growth, efficiency and returns. The bank's digital strength is driving gains in loan market share, WM, as well as underwriting, which had previously seen challenges at the bank.
- A quarter when NII growth will lag peers, would lead to short-term risks for the stock; allowing investors with longer term horizon to scale up positions.
- Any indication of a pick-up in NPL formation would be a catalyst for de-rating. A key risk area could be trade-related exposure.

Valuation

Our Dec-26 PT of S\$56 is based on a fair P/B of 2.1x, assuming a normalized RoE of 15.5%, a risk-free rate of 4.2%, a cost of capital of 8.7% and a growth rate of 2.50%.

Risks to Rating and Price Target

Upside catalysts include: (1) further increases in payout; (2) resilient GDP growth, leading to better-than-expected growth and asset quality; (3) sustained improvements in underwriting and monitoring, leading to lower-than-expected credit costs; (4) better-than-expected efficiency gains due to digital investments; and (5) better-than-expected WM performance on sustained inflows into SG.

Downside risks include: (1) dividend disappointment; (2) asset quality deterioration, potentially from trade-related exposure or CRE; and (3) faster and/or larger Fed rate cuts or decline in SORA, which would drive a larger than expected NIM compression. Any acquisition will come with two-sided risks.

DBS Group Holdings: Summary of Financials

Income Statement						Balance Sheet					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Interest income	27,862	30,927	28,271	26,868	27,143	Cash and cash equivalents	0	0	0	0	0
Interest expense	(14,220)	(16,503)	(13,919)	(12,816)	(12,688)	Deposits with banks	117,674	139,061	142,277	154,227	156,235
Net interest income	13,642	14,424	14,352	14,052	14,455	Net loans	416,163	430,594	442,609	463,700	485,886
Non interest income	6,752	8,123	8,761	9,397	9,982	PP&E	3,689	3,873	3,873	3,989	4,109
o/w Fee income	3,384	4,168	4,752	5,227	5,645	Net intangibles	6,313	6,372	6,372	6,372	6,372
o/w Trading income	1,369	1,541	1,572	1,635	1,700	LT investments	154,787	189,665	220,011	231,012	242,563
Net revenues	20,394	22,547	23,114	23,449	24,437	Other assets	40,675	57,654	54,771	56,414	58,107
Non interest expense	(8,056)	(8,895)	(9,274)	(9,615)	(9,970)	Total assets	739,301	827,219	869,914	915,714	953,271
o/w Employee costs	0	0	0	0	0	Interest earning assets	694,613	765,410	810,853	854,988	890,733
Pre-Prov. Profits	12,338	13,652	13,840	13,834	14,467	Deposits	535,103	561,730	594,932	626,454	648,715
Provisions	(591)	(623)	(807)	(939)	(984)	Borrowings	96,102	133,343	149,244	159,885	171,346
Adj. PBT	11,515	12,888	12,922	12,789	13,381	Other liabilities	48,241	65,705	56,841	57,716	61,179
Income taxes	(1,452)	(1,598)	(2,083)	(2,062)	(2,157)	Total liabilities	679,446	760,778	801,017	844,055	881,240
Minority interest	(1)	(1)	(1)	(1)	(1)	Shareholder equity	59,673	66,394	68,850	71,612	71,984
Adj. Net profit	10,062	11,289	10,837	10,725	11,222	Minority interests	182	47	47	47	47
PPOP per share	4.35	4.80	4.91	4.96	5.25	Total liabilities and Shareholder equity	739,301	827,219	869,914	915,714	953,271
Reported EPS	3.55	3.97	3.83	3.83	4.05	Interest bearing liabilities	604,787	604,787	683,643	726,995	763,040
Adj. EPS	3.55	3.97	3.83	3.83	4.05	Book Value Per Share	21.03	23.38	24.42	25.69	26.11
DPS	1.75	2.22	3.07	3.32	3.50	Tangible Book Value Per Share	21.03	23.38	24.42	25.69	26.11
Diluted shares outstanding	2,836	2,843	2,830	2,804	2,772						
Balance Sheet Gearing	FY23A	FY24A	FY25E	FY26E	FY27E	Asset Quality/Capital	FY23A	FY24A	FY25E	FY26E	FY27E
Loans/Deposits	77.8%	76.7%	74.4%	74.0%	74.9%	Loan loss reserves/Loans	(1.4%)	(1.4%)	(1.3%)	(1.3%)	(1.2%)
Investment/Assets	20.1%	22.0%	24.1%	25.3%	25.3%	NPLs/Loans	1.1%	1.1%	1.1%	1.3%	1.4%
Loan/Assets	56.8%	54.8%	52.2%	51.4%	51.5%	Loan loss reserves/NPLs	124.3%	127.5%	123.2%	110.2%	95.0%
Customer deposits/Liabilities	78.8%	73.8%	74.3%	74.2%	73.6%	NPL y/y growth	(1.3%)	1.8%	4.6%	17.9%	15.9%
LT debt/Liabilities	13.7%	15.9%	18.1%	18.8%	19.2%	Tier 1 ratio	15.3%	17.7%	16.9%	16.1%	15.2%
						CAR	16.1%	18.6%	17.7%	16.9%	15.9%
Ratio Analysis (%)	FY23A	FY24A	FY25E	FY26E	FY27E	Ratio Analysis (%)	FY23A	FY24A	FY25E	FY26E	FY27E
Net interest margin	2.2%	2.1%	2.0%	1.9%	1.8%	Return on equity (ROE)	17.6%	17.9%	16.0%	15.3%	15.6%
Non interest income/Net revenue	33.1%	36.0%	37.9%	40.1%	40.8%	Return on assets (ROA)	1.4%	1.4%	1.3%	1.2%	1.2%
Non interest income/Avg. Assets	0.9%	1.0%	1.0%	1.1%	1.1%	Operating ROA	1.6%	1.7%	1.5%	1.4%	1.4%
Efficiency ratio	39.5%	39.5%	40.1%	41.0%	40.8%	Pre-Tax ROA	1.6%	1.6%	1.5%	1.4%	1.4%
Leverage ratio	7.6%	8.0%	7.6%	7.3%	7.0%	Pre-Provision ROA	1.7%	1.7%	1.6%	1.5%	1.5%
Revenue/Assets	2.8%	2.9%	2.7%	2.6%	2.6%	Tax rate	12.6%	12.4%	16.1%	16.1%	16.1%
RORWA	2.8%	3.1%	2.9%	2.7%	2.7%						
RWA	368,363	352,002	382,762	402,914	428,972	Net loans y/y growth	0.4%	3.5%	2.8%	4.8%	4.8%
Avg. RWA	357,629	360,183	367,382	392,838	415,943	Assets y/y growth	(0.5%)	11.9%	5.2%	5.3%	4.1%
Avg. IEA	634,435	676,148	717,200	757,957	794,303	RWA y/y growth	6.2%	(4.4%)	8.7%	5.3%	6.5%
Gross Loans	422,152	436,684	448,565	469,749	491,935	Deposits y/y growth	1.5%	5.0%	5.9%	5.3%	3.6%
Avg. IBL	604,787	604,787	683,643	726,995	763,040	Net interest income y/y growth	24.7%	5.7%	(0.5%)	(2.1%)	2.9%
LLR	(5,989)	(6,090)	(5,955)	(6,049)	(6,049)	Revenues y/y growth	22.1%	10.6%	2.5%	1.5%	4.2%
NPLs	4,697	4,780	4,998	5,895	6,835	Adj. EPS y/y growth	22.6%	11.9%	(3.5%)	(0.1%)	5.8%
P/BV (x)	2.42	2.18	2.08	1.98	1.95	BVPS y/y growth	9.3%	11.1%	4.5%	5.2%	1.7%
Adj. P/E (x)	14.3	12.8	13.3	13.3	12.6	IE assets/Assets	85.6%	86.3%	84.5%	84.9%	85.0%
Dividend yield	3.4%	4.4%	6.0%	6.5%	6.9%	Margins (as % of Avg. Assets)	1.7%	1.7%	1.5%	1.4%	1.4%
Dividend payout	49.2%	55.9%	80.2%	86.7%	86.5%	LLP/Loans	(0.1%)	(0.1%)	(0.2%)	(0.2%)	(0.2%)
						Equity/Assets	7.7%	8.0%	8.0%	7.9%	7.7%
						Cost/Assets	1.1%	1.1%	1.1%	1.1%	1.1%
						Assets/Equity	13.0	12.4	12.5	12.7	13.0

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec

Neutral

OCBC.SI, OCBC SP

Price (09 Sep 25): S\$16.76

▼ **Price Target (Dec-26): S\$17.00**

Prior (Jun-26): S\$17.50

APAC Banks

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J.P. Morgan Securities Singapore Private Limited/
J.P. Morgan Securities (Asia Pacific) Limited/ J.P.
Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur
Adj. EPS - 26E (S\$)	1.60	1.54

Quarterly Forecasts (FYE Dec)

Adj. EPS (S\$)	2024A	2025E	2026E
Q1	0.44	0.42A	
Q2	0.43	0.40A	
Q3	0.44	0.39	
Q4	0.37	0.38	
FY	1.67	1.58	1.54

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	13	22	19	7	16
Growth	35	13	22	7	63
Momentum	60	26	13	66	66
Quality	13	10	10	4	22
Low Vol	19	1	4	16	1
ESGQ	15	15	86	23	89

OCBC Bank

Steady, with limited catalysts

The bank is witnessing a sharper decline in NIM vs. peers, off a higher base as SGD rates continue to come off. Guidance suggests further risks. On the other hand, the bank is benefiting from significant inflows of funds into Singapore, and in SGD. The preference for NII growth suggests that the risks to NIM may be higher as rates reset lower.

We forecast 50% regular payout ratio in 2025-27, with 11-15% payout in the form of special dividends. We assume that the absolute DPS will stay steady in 2025-27, despite EPS movements. In case the bank allows DPS to reduce in line with EPS, it'll be a risk.

Valuation

Our Dec-26 PT of S\$17 is based on a fair P/B of 1.16x, assuming a normalized RoE of 12.0%, a risk-free rate of 4.7%, a cost of capital of 10.4% and a growth rate of 1.0%.

Table 17: OCBC: Valuation

	Net Inc (S\$ mn)	Core EPS (S\$)	Core P/E (x)	BVPS (S\$)	P/B (x)	Dividend (S\$)	Div Yld (%)	RoA (%)	RoRWA (%)	RoE (%)	
2021	4,812	1.07	15.7	11.5	1.46	0.53	3.2%	0.90%	2.19%	9.7%	
2022	5,691	1.27	13.2	11.4	1.47	0.68	4.1%	1.03%	2.52%	11.1%	
2023	6,986	1.55	10.8	11.8	1.42	0.82	4.9%	1.22%	3.00%	13.4%	
2024	7,519	1.67	10.0	12.8	1.31	1.01	6.0%	1.25%	3.21%	13.6%	
2025E	7,100	1.58	10.6	13.4	1.25	1.01	6.0%	1.11%	2.92%	12.1%	
2026E	6,858	1.54	10.9	13.9	1.21	1.01	6.0%	1.02%	2.65%	11.4%	
2027E	7,288	1.66	10.1	14.5	1.16	1.01	6.0%	1.05%	2.65%	11.7%	
Price (S\$)		16.76		Number of shares (mn)		4,515		Market Cap (S\$ mn)		75,671	
Normalised RoE			PB based Valuation				PE based Valuation				
NIM (on avg. assets)		1.32%		Risk-free rate		4.7%		Fair PE		9.7x	
Non-IR/revenues		39.4%		Cost of capital		10.4%		12m Rolling EPS		S\$1.56	
Cost/income		40.5%		Long term growth		1.0%		PE based Dec-26 Fair Value		S\$15.1	
Operating RoA		1.29%		Fair PB		1.16x		Implied Value of Growth			
LLP/Loans		-0.25%		PV of Terminal Value		S\$14.4		12m Rolling EPS		S\$1.56	
Net RoAA		1.09%		PV of Dividends		S\$1.0		Capitalized Value (S\$)		\$14.93	
Equity/Assets		9.1%		PV of today's Fair Value		S\$15.4		Value of Growth (S\$)		\$1.83	
Normalised RoE		12.0%		PB based Dec-26 Fair Value		S\$17.0		Attributable to Growth		10.9%	

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Annual forecasts

Table 18: OCBC: Annual P&L

S\$ in mn	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
Interest Income	7,607	8,486	8,368	9,118	11,049	12,098	9,143	7,425	11,590	20,867	22,444	19,943	18,398	18,418
Interest Expense	(2,871)	(3,297)	(3,316)	(3,695)	(5,159)	(5,767)	(3,177)	(1,570)	(3,902)	(11,222)	(12,689)	(10,931)	(9,848)	(9,586)
Net Interest Income	4,736	5,189	5,052	5,423	5,890	6,331	5,966	5,855	7,688	9,645	9,755	9,012	8,550	8,832
Non-Interest Income	3,182	3,530	3,437	4,213	3,811	4,540	4,173	4,741	3,987	3,862	4,718	5,123	5,522	5,814
Net Fee income	1,495	1,643	1,638	1,953	2,031	2,123	2,003	2,245	1,851	1,804	1,970	2,246	2,425	2,571
Trading income	498	756	727	946	524	1,148	1,071	855	628	1,250	1,831	1,795	1,950	2,028
Other operating income	1,189	1,131	1,072	1,314	1,256	1,269	1,099	1,641	1,508	808	917	1,082	1,147	1,216
Total Revenues	7,918	8,719	8,489	9,636	9,701	10,871	10,139	10,596	11,675	13,507	14,473	14,135	14,072	14,646
Costs	(3,258)	(3,664)	(3,788)	(4,034)	(4,214)	(4,644)	(4,439)	(4,764)	(5,026)	(5,223)	(5,742)	(5,721)	(5,912)	(6,050)
PPOP	4,660	5,055	4,701	5,602	5,487	6,227	5,700	5,832	6,649	8,284	8,731	8,414	8,160	8,596
Loan loss provisions	(359)	(409)	(656)	(621)	(307)	(747)	(2,043)	(873)	(584)	(733)	(690)	(734)	(869)	(906)
Other provisions	(72)	(177)	(166)	(154)	(83)	(102)	(104)	(103)	(104)	(103)	(59)	(59)	(59)	(59)
Other income	112	353	396	389	455	566	612	824	978	953	994	1,123	1,236	1,359
Pre-Tax	4,341	4,822	4,275	5,216	5,552	5,944	4,165	5,680	6,939	8,401	8,976	8,744	8,468	8,990
Tax	(687)	(717)	(629)	(803)	(877)	(814)	(437)	(648)	(1,057)	(1,236)	(1,228)	(1,399)	(1,355)	(1,438)
Minorities and Hybrids	(234)	(205)	(173)	(267)	(183)	(170)	(142)	(174)	(134)	(144)	(161)	(177)	(186)	(195)
Core Reported profit	3,420	3,900	3,473	4,146	4,492	4,960	3,586	4,858	5,748	7,021	7,587	7,168	6,927	7,357
Profits to Equity SHs	3,785	3,844	3,414	4,089	4,459	4,810	3,530	4,812	5,691	6,986	7,519	7,100	6,858	7,288

Source: Company reports and J.P. Morgan estimates.

Table 19: OCBC: Annual DuPont

	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
NIM (% of avg. IEA)	1.68%	1.67%	1.67%	1.65%	1.70%	1.77%	1.61%	1.54%	1.91%	2.28%	2.20%	1.91%	1.74%	1.74%
IEA/Assets	76.1%	78.4%	75.7%	76.0%	75.3%	74.5%	72.9%	71.4%	72.9%	74.1%	73.5%	73.4%	73.4%	73.3%
Margins (% of avg. Assets)	1.28%	1.31%	1.26%	1.25%	1.28%	1.32%	1.18%	1.10%	1.40%	1.69%	1.62%	1.40%	1.28%	1.27%
Non-IR contribution	40.2%	40.5%	40.5%	43.7%	39.3%	41.8%	41.2%	44.7%	34.1%	28.6%	32.6%	36.2%	39.2%	39.7%
Non-IR/Avg. Assets	0.86%	0.89%	0.86%	0.97%	0.83%	0.95%	0.82%	0.89%	0.72%	0.68%	0.78%	0.80%	0.82%	0.84%
Revenue/Assets	2.14%	2.20%	2.12%	2.23%	2.10%	2.27%	2.00%	1.99%	2.12%	2.37%	2.40%	2.20%	2.10%	2.11%
Cost/Income	41.1%	42.0%	44.6%	41.9%	43.4%	42.7%	43.8%	45.0%	43.0%	38.7%	39.7%	40.5%	42.0%	41.3%
C/Assets	0.88%	0.93%	0.95%	0.93%	0.91%	0.97%	0.88%	0.90%	0.91%	0.92%	0.95%	0.89%	0.88%	0.87%
Pre-Provision ROA	1.26%	1.28%	1.18%	1.30%	1.19%	1.30%	1.13%	1.10%	1.21%	1.45%	1.45%	1.31%	1.22%	1.24%
LLP/Loans	-0.19%	-0.19%	-0.30%	-0.27%	-0.12%	-0.29%	-0.77%	-0.31%	-0.20%	-0.25%	-0.22%	-0.22%	-0.26%	-0.26%
Loan/Assets	51.3%	53.1%	53.8%	52.9%	53.7%	54.5%	52.5%	52.4%	53.1%	51.8%	51.0%	50.8%	50.8%	51.2%
Other Income/Assets	0.01%	0.04%	0.06%	0.05%	0.08%	0.10%	0.10%	0.14%	0.16%	0.15%	0.15%	0.17%	0.18%	0.19%
Operating ROA	1.16%	1.17%	1.01%	1.15%	1.12%	1.14%	0.72%	0.93%	1.10%	1.32%	1.33%	1.20%	1.09%	1.11%
Pre-Tax ROA	1.17%	1.22%	1.07%	1.21%	1.20%	1.24%	0.82%	1.07%	1.26%	1.47%	1.49%	1.36%	1.26%	1.30%
Tax Rate	-15.8%	-14.9%	-14.7%	-15.4%	-15.8%	-13.7%	-10.5%	-11.4%	-15.2%	-14.7%	-13.7%	-16.0%	-16.0%	-16.0%
Minorities & Outside Int.	-0.06%	-0.05%	-0.04%	-0.06%	-0.04%	-0.04%	-0.03%	-0.03%	-0.02%	-0.03%	-0.03%	-0.03%	-0.03%	-0.03%
ROA	1.04%	0.99%	0.87%	0.96%	0.97%	1.02%	0.71%	0.91%	1.04%	1.23%	1.26%	1.12%	1.03%	1.06%
RoRWA	2.27%	2.05%	1.78%	2.12%	2.28%	2.35%	1.66%	2.19%	2.52%	3.00%	3.21%	2.92%	2.65%	2.65%
Equity/Assets	7.2%	7.9%	8.6%	8.4%	8.5%	9.0%	9.2%	9.3%	9.3%	9.1%	9.2%	9.1%	9.0%	9.0%
ROE	14.4%	12.4%	10.1%	11.3%	11.5%	11.3%	7.7%	9.8%	11.2%	13.5%	13.7%	12.2%	11.5%	11.8%

Source: Company reports and J.P. Morgan estimates.

Quarterly forecasts

Table 20: OCBC: Quarterly P&L

S\$ in mn	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25E	4Q25E
Interest Income	4,675	5,171	5,438	5,582	5,615	5,615	5,596	5,617	5,411	4,993	4,834	4,706
Interest Expense	(2,336)	(2,783)	(2,982)	(3,120)	(3,178)	(3,185)	(3,163)	(3,162)	(3,066)	(2,710)	(2,611)	(2,544)
Net Interest Income	2,338	2,389	2,456	2,462	2,437	2,430	2,433	2,455	2,345	2,283	2,222	2,162
Non-Interest Income	1,012	1,066	973	811	1,189	1,199	1,369	961	1,310	1,264	1,271	1,278
Net Fee income	453	430	461	460	479	466	508	517	546	580	568	551
Trading income	321	374	292	263	421	439	628	343	458	458	442	437
Other operating income	238	262	220	88	289	294	233	101	306	226	260	290
Total Revenues	3,350	3,455	3,429	3,273	3,626	3,629	3,802	3,416	3,655	3,547	3,493	3,440
Costs	(1,244)	(1,329)	(1,340)	(1,310)	(1,346)	(1,373)	(1,463)	(1,560)	(1,415)	(1,389)	(1,419)	(1,498)
PPOP	2,106	2,126	2,089	1,963	2,280	2,256	2,339	1,856	2,240	2,158	2,074	1,942
Loan loss provisions	(110)	(239)	(184)	(200)	(169)	(55)	(169)	(297)	(212)	(87)	(213)	(221)
Other provisions	(25)	(39)	(26)	(13)	(25)	(111)	(7)	84	(5)	(33)	0	(21)
Other income	260	250	254	189	255	243	251	245	274	263	271	315
Pre-Tax	2,231	2,098	2,133	1,939	2,341	2,333	2,414	1,888	2,297	2,301	2,131	2,016
Tax	(347)	(315)	(345)	(229)	(344)	(310)	(339)	(235)	(390)	(439)	(320)	(250)
Minorities and Hybrids	(6)	(72)	22	(88)	(15)	(79)	(101)	34	(24)	(46)	(46)	(61)
Core Reported profits	1,879	1,710	1,810	1,622	1,982	1,944	1,974	1,687	1,883	1,816	1,765	1,704
Profits to Equity SHs	1,863	1,694	1,802	1,609	1,965	1,927	1,957	1,670	1,866	1,799	1,748	1,687

Source: Company reports and J.P. Morgan estimates.

Table 21: OCBC: Quarterly DuPont

	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25E	4Q25E
NIM (% of avg. IEA)	2.30%	2.26%	2.27%	2.29%	2.27%	2.20%	2.18%	2.15%	2.04%	1.92%	1.83%	1.77%
IEA/Assets	73.2%	73.7%	73.7%	73.3%	73.3%	74.2%	73.9%	74.0%	74.0%	74.4%	74.5%	74.2%
Margins (% of avg. Assets)	1.68%	1.67%	1.67%	1.68%	1.66%	1.63%	1.61%	1.59%	1.51%	1.43%	1.36%	1.31%
Non-IR contribution	30.2%	30.9%	28.4%	24.8%	32.8%	33.0%	36.0%	28.1%	35.8%	35.6%	36.4%	37.2%
Non-IR/Avg. Assets	0.72%	0.74%	0.67%	0.56%	0.81%	0.80%	0.91%	0.63%	0.83%	0.79%	0.78%	0.78%
Revenue/Assets	2.38%	2.40%	2.35%	2.25%	2.46%	2.43%	2.53%	2.23%	2.32%	2.21%	2.16%	2.10%
Cost/Income	37.1%	38.5%	39.1%	40.0%	37.1%	37.8%	38.5%	45.7%	38.7%	39.2%	40.6%	43.5%
C/Assets	0.88%	0.92%	0.92%	0.90%	0.91%	0.92%	0.97%	1.02%	0.90%	0.87%	0.88%	0.92%
Pre-Provision ROA	1.50%	1.48%	1.43%	1.35%	1.55%	1.51%	1.56%	1.21%	1.42%	1.35%	1.28%	1.19%
LLP/Loans	-0.15%	-0.32%	-0.25%	-0.27%	-0.23%	-0.07%	-0.22%	-0.38%	-0.26%	-0.11%	-0.26%	-0.27%
Loan/Assets	52.3%	51.4%	51.0%	51.1%	50.7%	50.6%	50.7%	50.9%	50.8%	50.5%	50.4%	50.5%
Other Income/Assets	0.17%	0.15%	0.16%	0.12%	0.16%	0.09%	0.16%	0.21%	0.17%	0.14%	0.17%	0.18%
Operating ROA	1.42%	1.31%	1.31%	1.21%	1.43%	1.47%	1.45%	1.02%	1.29%	1.29%	1.15%	1.05%
Pre-Tax ROA	1.59%	1.46%	1.46%	1.33%	1.59%	1.56%	1.61%	1.23%	1.46%	1.44%	1.32%	1.23%
Tax Rate	-15.5%	-15.0%	-16.2%	-11.8%	-14.7%	-13.3%	-14.0%	-12.5%	-17.0%	-19.1%	-15.0%	-12.4%
Minorities & Outside Int.	0.00%	-0.05%	0.01%	-0.06%	-0.01%	-0.05%	-0.07%	0.02%	-0.01%	-0.03%	-0.03%	-0.04%
ROA	1.32%	1.18%	1.24%	1.11%	1.33%	1.29%	1.30%	1.09%	1.18%	1.12%	1.08%	1.03%
RoRWA	3.21%	2.89%	2.99%	2.67%	3.27%	3.11%	3.27%	2.88%	3.15%	3.02%	2.88%	2.69%
Equity/Assets	9.19%	8.95%	8.71%	8.90%	9.17%	9.23%	9.26%	9.25%	9.31%	9.26%	9.05%	9.01%
ROE	14.4%	13.2%	14.2%	12.4%	14.5%	14.0%	14.1%	11.8%	12.7%	12.1%	11.9%	11.4%

Source: Company reports and J.P. Morgan estimates.

Price Performance



	YTD	1m	3m	12m
Abs	0.4%	-0.2%	2.4%	11.7%
Rel	-13.1%	-1.5%	-6.8%	-11.2%

Company Data

Shares O/S (mn)	4,491
52-week range (\$S)	17.75-14.21
Market cap (\$ mn)	58,667
Exchange rate	1.28
Free float (%)	85.2%
3M ADV (mn)	5.37
3M ADV (\$ mn)	69.8
Volatility (90 Day)	10
Index	FTSTI
BBG ANR (Buy Hold Sell)	4 14 1

Key Metrics (FYE Dec)

\$S in millions	FY24A	FY25E	FY26E	FY27E
Financial Estimates				
Net interest income	9,755	9,012	8,550	8,832
Non interest income	4,718	5,123	5,522	5,814
Operating expenses	(5,742)	(5,721)	(5,912)	(6,050)
Adj. PPOP	8,731	8,414	8,160	8,596
Provision for loan losses	(690)	(734)	(869)	(906)
Adj. PBT	8,976	8,744	8,468	8,990
Adj. net income	7,519	7,100	6,858	7,288
Adj. EPS	1.67	1.58	1.54	1.66
BBG EPS	1.71	1.59	1.64	1.71
DPS	1.01	1.01	1.01	1.01
Loans	315,096	328,937	342,735	357,142
Deposits	390,687	415,988	428,344	441,112
Total Assets	625,050	659,434	681,270	704,337
Margins and Growth				
NIM	-	-	-	-
Ratios				
Loan/ Deposit ratio	80.7%	79.1%	80.0%	81.0%
NPL / Loans	0.9%	0.9%	1.0%	1.0%
Coverage	144.0%	142.5%	139.5%	143.4%
CET 1	-	-	-	-
Non-int. income/ Income	32.6%	36.2%	39.2%	39.7%
Cost/Income	39.7%	40.5%	42.0%	41.3%
LLP/Loans	(0.2%)	(0.2%)	(0.3%)	(0.3%)
ROA	1.2%	1.1%	1.0%	1.1%
ROE	13.6%	12.1%	11.4%	11.7%
Valuation				
Dividend yield	6.0%	6.0%	6.0%	6.0%
Adj. P/E	10.0	10.6	10.9	10.1
P/ BV	1.31	1.25	1.21	1.16

Summary Investment Thesis and Valuation

Investment Thesis

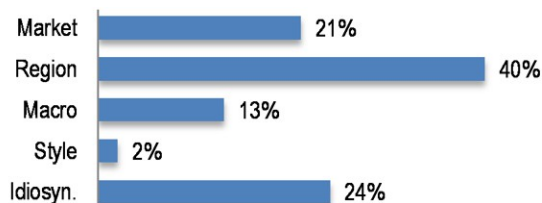
We hold a Neutral rating on OCBC.

- The bank is witnessing a sharper decline in NIM vs. peers, off a higher base as SGD rates continue to come off. Guidance suggests further risks. We expect 29bps/17bps NIM compression in FY25/26E, following a sharp 28bps decline over the last 4 quarters.
- We forecast 11.5-12.2% RoE over 2025-27, with WM being a bright spot. The bank is benefitting from significant inflows of funds into Singapore, and in SGD. The preference for NII growth suggests that the risks to NIM may be higher as rates reset lower.
- We forecast 50% regular payout ratio in 2025-27, with 11-15% payout in form of special dividends. Basically, we assume that the absolute DPS will stay steady in 2025-27, despite EPS movements. In case the bank allows DPS to reduce in line with EPS, it'll be a risk. We further forecast S\$700-750mn of buyback every year, which adds about 1% to total returns.

Valuation

Our Dec-26 PT of S\$17 is based on a fair P/B of 1.16x, assuming a normalized RoE of 12.0%, a risk-free rate of 4.7%, a cost of capital of 10.4% and a growth rate of 1.0%.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.78	0.46
Region: Singapore	0.66	0.76
Macro:		
HSI Volatility Index	-0.57	-0.60
Citi Economic Surprise - EM	0.26	0.23
US 10 Year Yield	-0.28	-0.18
Quant Styles:		
Growth	0.03	0.36
Momentum	0.05	0.27
DivYld	0.10	-0.18

Investment Thesis, Valuation and Risks

OCBC Bank (Neutral; Price Target: S\$17.00)

Investment Thesis

We hold a Neutral rating on OCBC.

- The bank is witnessing a sharper decline in NIM vs. peers, off a higher base as SGD rates continue to come off. Guidance suggests further risks. We expect 29bps/17bps NIM compression in FY25/26E, following a sharp 28bps decline over the last 4 quarters.
- We forecast 11.5-12.2% RoE over 2025-27, with WM being a bright spot. The bank is benefitting from significant inflows of funds into Singapore, and in SGD. The preference for NII growth suggests that the risks to NIM may be higher as rates reset lower.
- We forecast 50% regular payout ratio in 2025-27, with 11-15% payout in form of special dividends. Basically, we assume that the absolute DPS will stay steady in 2025-27, despite EPS movements. In case the bank allows DPS to reduce in line with EPS, it'll be a risk. We further forecast S\$700-750mn of buyback every year, which adds about 1% to total returns.
- The bank has expanded inorganically over the last 10-15 years, with Wing Hang and Bank of Ningbo being notable transactions. There appears to be a commitment to deepen this presence, with capabilities being broadened in the GBA and HK markets, among others. This could lead to near-term risks if the growth in Greater China is via inorganic means and transactions are not immediately accretive.

Valuation

Our Dec-26 PT of S\$17 is based on a fair P/B of 1.16x, assuming a normalized RoE of 12.0%, a risk-free rate of 4.7%, a cost of capital of 10.4% and a growth rate of 1.0%.

Risks to Rating and Price Target

Upside risks include a significant improvement in DPS, a meaningfully value-accretive deal, better than-expected growth at GE, and better-than-expected WM fees. Bank of Ningbo (20%-owned by OCBC) has competitive advantages in local SMEs and high-net-worth retail clients, which can drive faster growth at the group.

Downside risks include weaker than expected NIM, market share losses in wealth management, and M&A, if transactions are not immediately accretive.

OCBC Bank: Summary of Financials

Income Statement						Balance Sheet					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Interest income	20,867	22,444	19,943	18,398	18,418	Cash and cash equivalents	0	0	0	0	0
Interest expense	(11,222)	(12,689)	(10,931)	(9,848)	(9,586)	Deposits with banks	72,337	77,006	80,117	79,530	79,255
Net interest income	9,645	9,755	9,012	8,550	8,832	Net loans	292,754	315,096	328,937	342,735	357,142
Non interest income	3,862	4,718	5,123	5,522	5,814	PP&E	3,528	3,725	3,800	3,989	4,189
o/w Fee income	1,804	1,970	2,246	2,425	2,571	Net intangibles	4,501	4,504	4,504	4,504	4,504
o/w Trading income	1,250	1,831	1,795	1,950	2,028	LT investments	102,200	113,454	124,799	128,543	132,400
Net revenues	13,507	14,473	14,135	14,072	14,646	Other assets	106,104	111,265	117,277	121,968	126,847
Non interest expense	(5,223)	(5,742)	(5,721)	(5,912)	(6,050)	Total assets	581,424	625,050	659,434	681,270	704,337
o/w Employee costs	0	0	0	0	0	Interest earning assets	451,211	484,270	510,446	526,933	544,445
Pre-Prov. Profits	8,284	8,731	8,414	8,160	8,596	Deposits	363,770	390,687	415,988	428,344	441,112
Provisions	(733)	(690)	(734)	(869)	(906)	Borrowings	26,553	31,553	32,184	33,793	35,483
Adj. PBT	8,401	8,976	8,744	8,468	8,990	Other liabilities	136,797	144,130	150,598	156,842	163,349
Income taxes	(1,236)	(1,228)	(1,399)	(1,355)	(1,438)	Total liabilities	527,120	566,370	598,770	618,979	639,944
Minority interest	(144)	(161)	(177)	(186)	(195)	Shareholder equity	52,920	57,616	59,600	61,227	63,329
Adj. Net profit	6,986	7,519	7,100	6,858	7,288	Minority interests	1,384	1,064	1,064	1,064	1,064
PPOP per share	1.84	1.94	1.88	1.84	1.95	Total liabilities and Shareholder equity	581,424	625,050	659,434	681,270	704,337
Reported EPS	1.55	1.67	1.58	1.54	1.66	Interest bearing liabilities	401,207	433,805	460,894	475,368	490,355
Adj. EPS	1.55	1.67	1.58	1.54	1.66	Book Value Per Share	11.78	12.80	13.37	13.87	14.49
DPS	0.82	1.01	1.01	1.01	1.01	Tangible Book Value Per Share	11.47	12.57	13.13	13.63	14.25
Diluted shares outstanding	4,507	4,502	4,485	4,442	4,398						
Balance Sheet Gearing	FY23A	FY24A	FY25E	FY26E	FY27E	Asset Quality/Capital	FY23A	FY24A	FY25E	FY26E	FY27E
Loans/Deposits	80.5%	80.7%	79.1%	80.0%	81.0%	Loan loss reserves/Loans	(1.3%)	(1.3%)	(1.3%)	(1.4%)	(1.4%)
Investment/Assets	16.8%	17.9%	18.5%	18.9%	18.8%	NPLs/Loans	0.9%	0.9%	0.9%	1.0%	1.0%
Loan/Assets	51.8%	51.0%	50.8%	50.8%	51.2%	Loan loss reserves/NPLs	119.8%	141.5%	143.2%	140.9%	141.5%
Customer deposits/Liabilities	69.0%	69.0%	69.5%	69.2%	68.9%	NPL y/y growth	(17.1%)	0.8%	11.3%	10.6%	5.0%
LT debt/Liabilities	4.7%	5.3%	5.5%	5.4%	5.5%	Tier 1 ratio	16.5%	17.8%	17.1%	16.5%	16.0%
						CAR	-	-	-	-	-
Ratio Analysis (%)	FY23A	FY24A	FY25E	FY26E	FY27E	Ratio Analysis (%)	FY23A	FY24A	FY25E	FY26E	FY27E
Net interest margin	28.6%	32.6%	36.2%	39.2%	39.7%	Return on equity (ROE)	13.4%	13.6%	12.1%	11.4%	11.7%
Non interest income/Net revenue	0.7%	0.8%	0.8%	0.8%	0.8%	Return on assets (ROA)	1.2%	1.2%	1.1%	1.0%	1.1%
Non interest income/Avg. Assets	38.7%	39.7%	40.5%	42.0%	41.3%	Operating ROA	1.3%	1.3%	1.2%	1.1%	1.1%
Efficiency ratio	6.8%	7.0%	6.8%	6.6%	6.6%	Pre-Tax ROA	1.5%	1.5%	1.4%	1.3%	1.3%
Leverage ratio	2.4%	2.4%	2.2%	2.1%	2.1%	Pre-Provision ROA	1.5%	1.4%	1.3%	1.2%	1.2%
Revenue/Assets	3.0%	3.2%	2.9%	2.6%	2.6%	Tax rate	14.7%	13.7%	16.0%	16.0%	16.0%
RORWA	236,694	236,288	253,882	269,102	285,256	Net loans y/y growth	0.4%	7.6%	4.4%	4.2%	4.2%
RWA	234,171	236,491	245,085	261,492	277,179	Assets y/y growth	3.8%	7.5%	5.5%	3.3%	3.4%
Avg. RWA	423,065	443,419	471,497	491,719	507,834	RWA y/y growth	2.2%	(0.2%)	7.4%	6.0%	6.0%
Avg. IEA	296,653	319,166	333,422	347,588	362,380	Deposits y/y growth	3.9%	7.4%	6.5%	3.0%	3.0%
Gross Loans	395,876	414,257	443,868	464,488	479,104	Net interest income y/y growth	25.5%	1.1%	(7.6%)	(5.1%)	3.3%
Avg. IBL	(3,899)	(4,070)	(4,484)	(4,853)	(5,238)	Revenues y/y growth	15.7%	7.2%	(2.3%)	(0.4%)	4.1%
LLR	2,805	2,827	3,146	3,480	3,653	Adj. EPS y/y growth	22.0%	7.7%	(5.2%)	(2.5%)	7.3%
NPLs	1.42	1.31	1.25	1.21	1.16	BVPS y/y growth	3.0%	8.7%	4.4%	3.8%	4.5%
P/BV (x)	10.8	10.0	10.6	10.9	10.1	IE assets/Assets	74.1%	73.5%	73.4%	73.4%	73.3%
Adj. P/E (x)	4.9%	6.0%	6.0%	6.0%	6.0%	Margins (as % of Avg. Assets)	1.6%	1.5%	1.3%	1.2%	1.2%
Dividend yield	52.9%	60.5%	63.8%	65.4%	60.9%	LLP/Loans	(0.2%)	(0.2%)	(0.2%)	(0.3%)	(0.3%)
Dividend payout						Equity/Assets	9.1%	9.2%	9.1%	9.0%	9.0%
						Cost/Assets	0.9%	1.0%	0.9%	0.9%	0.9%
						Assets/Equity	10.9	10.9	11.0	11.1	11.1

Source: Company reports and J.P. Morgan estimates.
Note: \$S in millions (except per-share data). Fiscal year ends Dec

▼ Underweight

Previous: Neutral

UOBH.SI, UOB SP

Price (09 Sep 25): S\$35.57

▼ **Price Target (Dec-26): S\$32.50**

Prior (Jun-26): S\$36.50

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J.P. Morgan Securities (Asia Pacific) Limited/ J.P.

Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur
Adj. EPS - 26E (S\$)	3.50	3.30

Quarterly Forecasts (FYE Dec)

Adj. EPS (S\$)	2024A	2025E	2026E
Q1	0.87	0.88A	
Q2	0.84	0.79A	
Q3	0.95	0.78	
Q4	0.90	0.82	
FY	3.56	3.28	3.30

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	1	1	1	4	10
Growth	29	19	35	10	66
Momentum	69	22	19	51	79
Quality	16	16	13	13	29
Low Vol	22	7	7	26	7
ESGQ	17	75	80	12	14

United Overseas Bank (UOB)

AQ risk is underappreciated

UOB has delivered RoE with the least volatility among Singapore banks over the past 20 years. This may change over the next few quarters, as asset quality is incrementally showing up as a risk. We expect 11.1-12% RoE in the next 3Y, with 16/13bps NIM compression in 2025/26, and credit costs at ~40bps (ann) for the next six quarters. The bank has committed to a 50% payout ratio for regular dividends. Hence, as EPS risk increases, DPS will be at risk as well. This should be one of the catalysts for a weaker stock price.

Valuation

Our Dec-26 PT of S\$32.5 is based on a fair P/B of 1.03x with a normalized RoE of 11.1%, a risk-free rate of 4.5%, a cost of capital of 10.8% and a growth rate of 0.5%.

Table 22: UOB: Valuation

	Net Inc (S\$ mn)	EPS (S\$)	P/E (x)	BVPS (S\$)	P/B (x)	Dividend (S\$)	Div Yld (%)	RoA (%)	RoRWA (%)	RoE (%)
2020	2,825	1.69	21.0	23.0	1.54	0.78	2.2%	0.68%	1.25%	7.5%
2021	4,003	2.39	14.9	24.1	1.48	1.20	3.4%	0.90%	1.65%	10.2%
2022	4,485	2.68	13.3	24.2	1.47	1.35	3.8%	0.98%	1.73%	11.7%
2023	5,615	3.36	10.6	26.0	1.37	1.70	4.8%	1.16%	2.10%	14.2%
2024	5,946	3.56	10.0	28.1	1.27	2.05	5.8%	1.16%	2.22%	13.6%
2025E	5,442	3.28	10.9	29.0	1.23	1.89	5.3%	1.00%	2.02%	11.5%
2026E	5,409	3.30	10.8	30.4	1.17	1.65	4.6%	0.95%	1.89%	11.1%
2027E	6,103	3.77	9.4	32.4	1.10	1.88	5.3%	1.02%	2.03%	12.0%
Price (S\$)		35.57	Number of shares (mn)			1,663	Market Cap (S\$ mn)			59,166
Normalised RoE			PB based Valuation				PE based Valuation			
NIM (on avg. assets)		1.61%	Risk-free rate			4.50%	Fair PE			9.27x
Non-IR/revenues		35.5%	Cost of capital			10.8%	12m Rolling EPS			S\$3.29
Cost/income		44.0%	Long term growth			0.50%	PE based 12M Fwd Fair Value			S\$30.5
Operating RoA		1.40%	Fair PB			1.03x	Implied Value of Growth			
LLP/Loans		-0.40%	PV of Terminal Value			S\$27.9	12m Rolling EPS			S\$3.29
Net RoAA		0.95%	PV of Dividends			S\$1.4	Capitalized Value (S\$)			\$30.46
Equity/Assets		8.6%	PV of today's Fair Value			S\$29.3	Value of Growth (S\$)			\$5.11
Normalised RoE		11.1%	PV of Dec-26E fair value			S\$32.5	Attributable to Growth			14.4%

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Annual forecasts

Table 23: UOB: Annual P&L

S\$ in million	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
Interest Income	7,826	8,291	9,077	11,141	12,557	9,623	8,204	12,862	22,242	23,259	20,136	18,059	18,294
Interest Expense	(2,900)	(3,300)	(3,548)	(4,921)	(5,994)	(3,587)	(1,816)	(4,519)	(12,563)	(13,585)	(10,901)	(9,140)	(8,942)
Net Interest Income	4,926	4,991	5,528	6,220	6,563	6,036	6,388	8,343	9,679	9,674	9,235	8,919	9,352
Non-Interest Income	3,122	3,071	3,323	2,896	3,467	3,141	3,401	3,232	4,253	4,620	4,794	5,256	5,667
Net Fee income	1,883	1,931	2,161	1,966	2,032	1,997	2,412	2,143	2,235	2,395	2,658	2,871	3,043
Trading income	954	877	902	648	1,116	880	730	829	1,690	2,003	1,803	2,019	2,221
Other operating income	285	263	260	282	319	264	259	260	328	222	333	366	403
Total Revenues	8,048	8,061	8,851	9,116	10,030	9,177	9,789	11,575	13,932	14,294	14,029	14,175	15,019
Costs	(3,530)	(3,696)	(4,027)	(4,003)	(4,472)	(4,184)	(4,313)	(5,016)	(5,777)	(6,074)	(6,147)	(6,244)	(6,369)
PPOP	4,518	4,365	4,824	5,113	5,558	4,992	5,476	6,559	8,155	8,220	7,882	7,931	8,650
Loan loss provisions	(588)	(571)	(660)	(395)	(450)	(1,595)	(629)	(627)	(784)	(873)	(1,324)	(1,445)	(1,337)
Other provisions	(84)	(23)	(67)	2	15	42	(28)	21	(161)	(81)	(16)	-	-
Other income	90	6	110	106	51	98	118	97	93	121	109	125	131
Pre-Tax	3,936	3,777	4,207	4,826	5,174	3,536	4,937	6,050	7,303	7,387	6,651	6,611	7,444
Tax	(649)	(669)	(800)	(805)	(813)	(606)	(850)	(1,221)	(1,228)	(1,140)	(1,097)	(1,091)	(1,228)
MI & EO	(11)	(12)	(16)	(13)	(18)	(15)	(12)	(10)	(14)	(14)	(13)	(13)	(14)
Core Profit	3,276	3,096	3,390	4,008	4,343	2,915	4,075	4,819	6,061	6,233	5,541	5,508	6,202
Attributable profits	3,170	3,012	3,288	3,898	4,249	2,825	4,003	4,731	5,965	6,134	5,442	5,409	6,103

Source: Company reports and J.P. Morgan estimates.

Table 24: UOB: Annual DuPont

	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
NIM (% of avg. IEA)	1.77%	1.71%	1.77%	1.82%	1.78%	1.57%	1.56%	1.86%	2.09%	2.03%	1.87%	1.74%	1.74%
IEA/Assets	89.3%	89.0%	89.4%	91.6%	93.0%	91.9%	92.0%	93.1%	90.1%	89.8%	90.1%	90.1%	90.3%
Margins (% of avg. Assets)	1.58%	1.52%	1.58%	1.67%	1.66%	1.44%	1.43%	1.73%	1.88%	1.82%	1.69%	1.57%	1.57%
Non-IR contribution	38.8%	38.1%	37.5%	31.8%	34.6%	34.2%	34.7%	27.9%	30.5%	32.3%	34.2%	37.1%	37.7%
Non-IR/Avg. Assets	1.00%	0.94%	0.95%	0.78%	0.87%	0.75%	0.76%	0.67%	0.83%	0.87%	0.88%	0.93%	0.95%
Revenue/Assets	2.58%	2.46%	2.53%	2.44%	2.53%	2.19%	2.20%	2.40%	2.71%	2.69%	2.57%	2.50%	2.52%
Cost/Income	43.9%	45.9%	45.5%	43.9%	44.6%	45.6%	44.1%	43.3%	41.5%	42.5%	43.8%	44.1%	42.4%
C/Assets	1.13%	1.13%	1.15%	1.07%	1.13%	1.00%	0.97%	1.04%	1.12%	1.14%	1.12%	1.10%	1.07%
Pre-Provision ROA	1.45%	1.33%	1.38%	1.37%	1.40%	1.19%	1.23%	1.36%	1.59%	1.55%	1.44%	1.40%	1.45%
LLP/Loans	-0.3%	-0.3%	-0.29%	-0.16%	-0.17%	-0.58%	-0.21%	-0.20%	-0.24%	-0.26%	-0.39%	-0.41%	-0.36%
Loan/Assets	65.3%	66.0%	66.1%	66.7%	66.9%	65.8%	66.5%	65.4%	62.3%	62.1%	62.8%	62.5%	62.3%
Other Income/Assets	0.00%	-0.01%	0.01%	0.03%	0.02%	0.03%	0.02%	0.02%	-0.01%	0.01%	0.02%	0.02%	0.02%
Operating ROA	1.26%	1.16%	1.19%	1.26%	1.29%	0.81%	1.09%	1.23%	1.43%	1.38%	1.20%	1.14%	1.23%
Pre-Tax ROA	1.26%	1.15%	1.20%	1.29%	1.31%	0.85%	1.11%	1.26%	1.42%	1.39%	1.22%	1.16%	1.25%
Tax Rate	-16.5%	-17.7%	-19.0%	-16.7%	-15.7%	-17.1%	-17.2%	-20.2%	-16.8%	-15.4%	-16.5%	-16.5%	-16.5%
Minorities & Outside Int.	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Core ROA	1.02%	0.92%	0.94%	1.04%	1.07%	0.68%	0.90%	0.98%	1.16%	1.16%	1.00%	0.95%	1.02%
ROA	1.00%	0.92%	0.94%	1.04%	1.07%	0.68%	0.90%	0.93%	1.09%	1.12%	1.00%	0.95%	1.02%
RoRWA	1.64%	1.45%	1.58%	1.86%	1.90%	1.25%	1.65%	1.73%	2.10%	2.22%	2.02%	1.89%	2.03%
Equity/Assets	8.99%	9.05%	9.25%	9.29%	9.18%	9.06%	8.84%	8.39%	8.18%	8.52%	8.68%	8.58%	8.53%
Core ROE	11.3%	10.1%	10.2%	11.2%	11.7%	7.5%	10.2%	11.7%	14.2%	13.6%	11.5%	11.1%	12.0%
ROE	11.1%	10.1%	10.2%	11.2%	11.7%	7.5%	10.2%	11.1%	13.4%	13.1%	11.5%	11.1%	12.0%

Source: Company reports and J.P. Morgan estimates.

Quarterly forecasts

Table 25: UOB: Quarterly P&L

S\$ in million	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25E	4Q25E
Interest Income	5,152	5,451	5,692	5,947	5,855	5,706	5,791	5,907	5,630	5,042	4,796	4,668
Interest Expense	(2,743)	(3,014)	(3,263)	(3,543)	(3,493)	(3,305)	(3,331)	(3,456)	(3,221)	(2,706)	(2,541)	(2,433)
Net Interest Income	2,409	2,437	2,429	2,404	2,362	2,401	2,460	2,451	2,409	2,336	2,254	2,236
Non-Interest Income	1,115	1,104	1,027	1,007	1,161	1,075	1,374	1,010	1,248	1,129	1,185	1,232
Net Fee income	552	524	591	568	580	618	630	567	694	636	649	680
Trading income	474	478	375	363	521	406	709	367	466	414	455	467
Other operating income	89	102	61	76	60	51	35	76	88	79	81	85
Total Revenues	3,524	3,541	3,456	3,411	3,523	3,476	3,834	3,461	3,657	3,465	3,439	3,468
Costs	(1,440)	(1,448)	(1,416)	(1,473)	(1,475)	(1,452)	(1,590)	(1,558)	(1,559)	(1,535)	(1,538)	(1,515)
PPOP	2,084	2,093	2,040	1,938	2,048	2,024	2,244	1,903	2,097	1,930	1,901	1,953
Loan loss provisions	(192)	(238)	(151)	(203)	(186)	(194)	(281)	(212)	(290)	(279)	(381)	(374)
Other provisions	18	(132)	(91)	44	16	(44)	(30)	(23)	(7)	(9)	0	0
Other income	25	26	20	22	26	30	25	40	22	(3)	40	50
Pre-Tax	1,935	1,749	1,818	1,801	1,904	1,816	1,958	1,708	1,822	1,639	1,560	1,629
Tax	(345)	(208)	(305)	(370)	(317)	(307)	(299)	(219)	(310)	(317)	(250)	(221)
MI & EO	(13)	(34)	(34)	67	(22)	(22)	(22)	51	(22)	16	15	(22)
Core Profit	1,577	1,507	1,479	1,498	1,566	1,488	1,638	1,540	1,490	1,338	1,325	1,386
Attributable profit	1,510	1,415	1,382	1,404	1,487	1,424	1,610	1,523	1,490	1,338	1,325	1,386
Preference dividends	31	33	33	25	25	25	25	25	25	25	25	25
Core Profits for SHs	1,546	1,474	1,446	1,473	1,541	1,463	1,613	1,515	1,466	1,313	1,301	1,362
Profits for SHs	1,479	1,382	1,349	1,379	1,462	1,399	1,585	1,498	1,466	1,313	1,301	1,362

Source: Company reports and J.P. Morgan estimates.

Table 26: UOB: Quarterly DuPont

	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25E	4Q25E
NIM (% of avg. IEA)	2.14%	2.12%	2.09%	2.02%	2.02%	2.05%	2.05%	2.00%	2.00%	1.91%	1.82%	1.78%
IEA/Assets	90.7%	91.5%	90.3%	90.9%	90.5%	91.3%	90.2%	90.3%	89.8%	91.2%	90.8%	90.8%
Margins (% of avg. Assets)	1.94%	1.94%	1.89%	1.84%	1.83%	1.87%	1.85%	1.81%	1.80%	1.74%	1.65%	1.61%
Non-IR contribution	31.6%	31.2%	29.7%	29.5%	33.0%	30.9%	35.8%	29.2%	34.1%	32.6%	34.4%	35.5%
Non-IR/Avg. Assets	0.89%	0.88%	0.80%	0.78%	0.89%	0.83%	1.04%	0.75%	0.93%	0.84%	0.88%	0.90%
Revenue/Assets	2.80%	2.81%	2.71%	2.63%	2.71%	2.69%	2.90%	2.56%	2.72%	2.58%	2.54%	2.52%
Cost/Income	40.9%	40.9%	41.0%	43.2%	41.9%	41.8%	41.5%	45.0%	42.6%	44.3%	44.7%	43.7%
C/Assets	1.14%	1.15%	1.11%	1.13%	1.14%	1.13%	1.20%	1.15%	1.16%	1.14%	1.14%	1.10%
Pre-Provision ROA	1.66%	1.66%	1.60%	1.49%	1.58%	1.57%	1.70%	1.41%	1.56%	1.44%	1.41%	1.42%
LLP/Loans	-0.24%	-0.30%	-0.19%	-0.25%	-0.23%	-0.24%	-0.34%	-0.25%	-0.34%	-0.33%	-0.44%	-0.43%
Loan/Assets	63.2%	63.0%	62.4%	61.5%	62.0%	63.0%	62.5%	62.2%	63.1%	63.6%	63.7%	63.2%
Operating ROA	1.50%	1.47%	1.48%	1.34%	1.43%	1.42%	1.48%	1.25%	1.34%	1.23%	1.12%	1.15%
Pre-Tax ROA	1.54%	1.39%	1.42%	1.39%	1.47%	1.41%	1.48%	1.27%	1.36%	1.22%	1.15%	1.18%
Tax Rate	-17.8%	-11.9%	-16.8%	-20.5%	-16.6%	-16.9%	-15.2%	-12.8%	-17.0%	-19.3%	-16.0%	-13.6%
Minorities & Outside Int.	-0.01%	-0.03%	-0.03%	0.05%	-0.02%	-0.02%	-0.02%	0.04%	-0.02%	0.01%	0.01%	-0.02%
Core ROA	1.23%	1.17%	1.13%	1.13%	1.19%	1.13%	1.22%	1.12%	1.09%	0.98%	0.96%	0.99%
ROA	1.18%	1.10%	1.06%	1.06%	1.13%	1.08%	1.20%	1.11%	1.09%	0.98%	0.96%	0.99%
RoRWA	2.29%	2.12%	2.02%	2.02%	2.12%	2.00%	2.36%	2.34%	2.22%	1.96%	1.93%	1.98%
Equity/Assets	8.33%	8.46%	8.19%	8.19%	8.49%	8.66%	8.54%	8.60%	8.89%	8.95%	8.73%	8.61%
Core ROE	14.8%	13.8%	13.8%	13.9%	14.0%	13.1%	14.3%	13.1%	12.3%	10.9%	11.0%	11.5%
ROE	14.1%	13.0%	12.9%	13.0%	13.3%	12.5%	14.0%	12.9%	12.3%	10.9%	11.0%	11.5%

Source: Company reports and J.P. Morgan estimates.

Price Performance



	YTD	1m	3m	12m
Abs	-2.1%	-0.4%	0.7%	11.5%
Rel	-15.6%	-1.7%	-8.5%	-11.4%

Company Data

Shares O/S (mn)	1,659
52-week range (\$S)	38.64-28.59
Market cap (\$ mn)	45,985
Exchange rate	1.28
Free float (%)	86.0%
3M ADV (mn)	2.91
3M ADV (\$ mn)	81.5
Volatility (90 Day)	11
Index	FTSTI
BBG ANR (Buy Hold Sell)	7 10 1

Key Metrics (FYE Dec)

\$S in millions	FY24A	FY25E	FY26E	FY27E
Financial Estimates				
Net interest income	9,674	9,235	8,919	9,352
Non interest income	4,620	4,794	5,256	5,667
Operating expenses	(6,074)	(6,147)	(6,244)	(6,369)
Adj. PPOP	8,220	7,882	7,931	8,650
Provision for loan losses	(873)	(1,324)	(1,445)	(1,337)
Adj. PBT	7,199	6,651	6,611	7,444
Adj. net income	5,946	5,442	5,409	6,103
Adj. EPS	3.56	3.28	3.30	3.77
BBG EPS	3.59	3.40	3.60	3.86
DPS	2.05	1.89	1.65	1.88
Loans	333,930	344,241	356,238	376,088
Deposits	403,978	418,882	436,284	459,350
Total Assets	537,664	555,415	580,837	612,640
Margins and Growth				
NIM	2.0%	1.9%	1.7%	1.7%
Ratios				
Loan/ Deposit ratio	82.7%	82.2%	81.7%	81.9%
NPL / Loans	1.5%	1.5%	1.6%	1.7%
Coverage	75.5%	78.4%	86.8%	91.4%
CET 1	15.5%	14.8%	14.6%	14.7%
Non-int. income/ Income	32.3%	34.2%	37.1%	37.7%
Cost/Income	42.5%	43.8%	44.1%	42.4%
LLP/Loans	(0.3%)	(0.4%)	(0.4%)	(0.4%)
ROA	1.1%	1.0%	1.0%	1.0%
ROE	13.1%	11.5%	11.1%	12.0%
Valuation				
Dividend yield	5.8%	5.3%	4.6%	5.3%
Adj. P/E	10.0	10.9	10.8	9.4
P/ BV	1.27	1.23	1.17	1.10

Summary Investment Thesis and Valuation

Investment Thesis

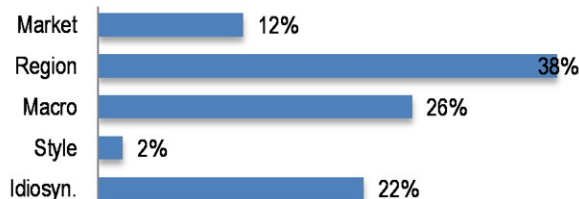
We are UW on UOB.

- UOB has delivered RoE with the least volatility among Singapore banks over the past 20 years. This may change over the next few quarters, as asset quality is incrementally showing up as a risk. We expect 11.1-12% RoE in the next 3Y, with 16/13bps NIM compression in 2025/26, and credit costs at ~40bps (ann) for the next six quarters.
- The bank has committed to a 50% payout ratio for regular dividends. Hence, as EPS risk increases, DPS will be at risk as well. This should be one of the catalysts for weaker stock price.
- Valuations for the bank could be at risk, as AQ related worries will increasingly start to dominate.

Valuation

Our Dec-26 PT of S\$32.5 is based on a fair P/B of 1.03x with a normalized RoE of 11.1%, a risk-free rate of 4.5%, a cost of capital of 10.8% and a growth rate of 0.5%.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.69	0.45
Region: Singapore	0.77	0.79
Macro:		
HSI Volatility Index	-0.43	-0.51
JP Morgan EMBI Global Spread	-0.47	-0.30
US 10 Year Yield	-0.25	-0.23
Quant Styles:		
Growth	-0.18	0.21
Momentum	-0.11	0.19
DivYld	0.23	-0.10

Investment Thesis, Valuation and Risks

United Overseas Bank (UOB) *(Underweight; Price Target: S\$32.50)*

Investment Thesis

We are UW on UOB.

- UOB has delivered RoE with the least volatility among Singapore banks over the past 20 years. This may change over the next few quarters, as asset quality is incrementally showing up as a risk. We expect 11.1-12% RoE in the next 3Y, with 16/13bps NIM compression in 2025/26, and credit costs at ~40bps (ann) for next six quarters.
- Commercial real estate in US and HK are key sources of risk to credit costs. Select EM Asean markets are also sources of risk for the bank.
- Following increased spend in the last 2Y, we expect cost control to be a focus, supporting efficiency improvements.
- Management's commitment to 14-14.5% CET1 by 2027 vs. 15.1% fully phased-in as of 2Q25 provides visibility on the capital return. We expect S\$750mn annual buyback over next 3Y, which is broadly in line with guidance and largely known.
- On the other hand, the bank has committed to 50% payout ratio, for regular dividends. Hence, as EPS risk increases, DPS will be at risk as well. This should be one of the catalysts for weaker stock price.
- Valuations for the bank could be at risk, as AQ-related worries will increasingly start to dominate.

Valuation

Our Dec-26 PT of S\$32.5 is based on a fair P/B of 1.03x with a normalized RoE of 11.1%, a risk-free rate of 4.5%, a cost of capital of 10.8% and a growth rate of 0.5%.

Risks to Rating and Price Target

Downside catalysts include credit cost increases, growth and NIM disappointments, and lower-than-expected dividends and buyback. Higher operating costs would also be a downside risk. Higher-than-anticipated digital investment spending could be a drag on profitability.

Upside risks include sustained delivery on RoE, cost management post investments in 2023-24, and higher dividend. On PPOP, the bank's ability to manage early wins from its digital investments could lead to positive revisions, and investments coming to fruition earlier than anticipated would pose upside risks to costs.

United Overseas Bank (UOB): Summary of Financials

Income Statement						Balance Sheet					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Interest income	22,242	23,259	20,136	18,059	18,294	Cash and cash equivalents	0	0	0	0	0
Interest expense	(12,563)	(13,585)	(10,901)	(9,140)	(8,942)	Deposits with banks	87,443	76,009	69,862	73,224	81,417
Net interest income	9,679	9,674	9,235	8,919	9,352	Net loans	317,005	333,930	344,241	356,238	376,088
Non interest income	4,253	4,620	4,794	5,256	5,667	PP&E	4,508	4,852	5,143	5,400	5,616
o/w Fee income	2,235	2,395	2,658	2,871	3,043	Net intangibles	4,984	4,979	4,979	4,979	4,979
o/w Trading income	1,690	2,003	1,803	2,019	2,221	LT investments	90,339	96,625	108,220	116,878	119,215
Net revenues	13,932	14,294	14,029	14,175	15,019	Other assets	19,241	21,269	22,971	24,119	25,325
Non interest expense	(5,777)	(6,074)	(6,147)	(6,244)	(6,369)	Total assets	523,520	537,664	555,415	580,837	612,640
o/w Employee costs	(3,553)	(3,699)	(3,754)	(3,811)	(3,887)	Interest earning assets	498,932	510,465	526,502	551,422	582,566
Pre-Prov. Profits	8,155	8,220	7,882	7,931	8,650	Deposits	385,469	403,978	418,882	436,284	459,350
Provisions	(784)	(873)	(1,324)	(1,445)	(1,337)	Borrowings	68,651	61,102	60,780	65,550	70,210
Adj. PBT	6,953	7,199	6,651	6,611	7,444	Other liabilities	25,680	25,375	27,638	29,131	30,714
Income taxes	(1,228)	(1,140)	(1,097)	(1,091)	(1,228)	Total liabilities	479,800	490,455	507,299	530,965	560,274
Minority interest	(14)	(14)	(13)	(13)	(14)	Shareholder equity	43,478	46,985	47,892	49,648	52,141
Adj. Net profit	5,615	5,946	5,442	5,409	6,103	Minority interests	242	224	224	224	224
PPOP per share	4.87	4.92	4.74	4.83	5.34	Total liabilities and Shareholder equity	523,520	537,664	555,415	580,837	612,640
Reported EPS	3.36	3.56	3.28	3.30	3.77	Interest bearing liabilities	454,120	465,080	479,661	501,834	529,560
Adj. EPS	3.36	3.56	3.28	3.30	3.77	Book Value Per Share	26.00	28.11	29.00	30.44	32.37
DPS	1.70	2.05	1.89	1.65	1.88	Tangible Book Value Per Share	25.85	27.98	28.87	30.30	32.23
Diluted shares outstanding	1,674	1,672	1,661	1,641	1,621						
Balance Sheet Gearing	FY23A	FY24A	FY25E	FY26E	FY27E	Asset Quality/Capital	FY23A	FY24A	FY25E	FY26E	FY27E
Loans/Deposits	82.2%	82.7%	82.2%	81.7%	81.9%	Loan loss reserves/Loans	(1.3%)	(1.2%)	(1.2%)	(1.4%)	(1.5%)
Investment/Assets	15.9%	17.6%	18.7%	19.8%	19.8%	NPLs/Loans	1.5%	1.5%	1.5%	1.6%	1.7%
Loan/Assets	62.3%	62.1%	62.8%	62.5%	62.3%	Loan loss reserves/NPLs	85.1%	80.2%	77.0%	82.8%	89.2%
Customer deposits/Liabilities	80.3%	82.4%	82.6%	82.2%	82.0%	NPL y/y growth	(3.8%)	6.0%	3.3%	9.8%	9.3%
LT debt/Liabilities	14.2%	13.4%	12.2%	12.2%	12.4%	Tier 1 ratio	14.4%	16.6%	14.8%	14.6%	14.7%
						CAR	16.6%	18.2%	16.4%	16.1%	16.1%
Ratio Analysis (%)	FY23A	FY24A	FY25E	FY26E	FY27E	Ratio Analysis (%)	FY23A	FY24A	FY25E	FY26E	FY27E
Net interest margin	2.1%	2.0%	1.9%	1.7%	1.7%	Return on equity (ROE)	13.4%	13.1%	11.5%	11.1%	12.0%
Non interest income/Net revenue	30.5%	32.3%	34.2%	37.1%	37.7%	Return on assets (ROA)	1.1%	1.1%	1.0%	1.0%	1.0%
Non interest income/Avg. Assets	0.8%	0.9%	0.9%	0.9%	0.9%	Operating ROA	1.4%	1.4%	1.2%	1.1%	1.2%
Efficiency ratio	41.5%	42.5%	43.8%	44.1%	42.4%	Pre-Tax ROA	1.4%	1.4%	1.2%	1.2%	1.2%
Leverage ratio	7.8%	8.1%	7.5%	7.6%	7.6%	Pre-Provision ROA	1.6%	1.5%	1.4%	1.4%	1.4%
Revenue/Assets	2.7%	2.7%	2.6%	2.5%	2.5%	Tax rate	17.7%	15.8%	16.5%	16.5%	16.5%
RORWA	2.1%	2.2%	2.0%	1.9%	2.0%						
RWA	275,930	259,835	277,707	293,323	309,383	Net loans y/y growth	0.5%	5.3%	3.1%	3.5%	5.6%
Avg. RWA	267,514	267,883	268,771	285,515	301,353	Assets y/y growth	3.8%	2.7%	3.3%	4.6%	5.5%
Avg. IEA	462,994	476,735	492,559	512,014	538,644	RWA y/y growth	6.5%	(5.8%)	6.9%	5.6%	5.5%
Gross Loans	321,150	337,831	348,420	361,321	381,935	Deposits y/y growth	4.6%	4.8%	3.7%	4.2%	5.3%
Avg. IBL	434,135	434,135	446,198	463,557	487,124	Net interest income y/y growth	16.0%	(0.1%)	(4.5%)	(3.4%)	4.9%
LLR	(4,145)	(3,901)	(4,180)	(5,083)	(5,847)	Revenues y/y growth	20.4%	2.6%	(1.9%)	1.0%	6.0%
NPLs	4,870	5,164	5,333	5,856	6,398	Adj. EPS y/y growth	25.2%	6.0%	(7.9%)	0.6%	14.3%
P/BV (x)	1.37	1.27	1.23	1.17	1.10	BVPS y/y growth	7.3%	8.1%	3.2%	5.0%	6.3%
Adj. P/E (x)	10.6	10.0	10.9	10.8	9.4	IE assets/Assets	90.1%	89.8%	90.1%	90.1%	90.3%
Dividend yield	4.8%	5.8%	5.3%	4.6%	5.3%	Margins (as % of Avg. Assets)	1.8%	1.7%	1.6%	1.5%	1.5%
Dividend payout	50.7%	57.6%	57.6%	50.0%	50.0%	LLP/Loans	(0.2%)	(0.3%)	(0.4%)	(0.4%)	(0.4%)
						Equity/Assets	8.2%	8.5%	8.7%	8.6%	8.5%
						Cost/Assets	1.1%	1.1%	1.1%	1.1%	1.1%
						Assets/Equity	12.2	11.7	11.5	11.6	11.7

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec

▲ Neutral

Previous: Underweight

SGXL.SI, SGX SP

Price (09 Sep 25): S\$16.35

▲ **Price Target (Dec-26): S\$16.00**

Prior (Jun-26): S\$14.00

APAC Banks

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J.P. Morgan Securities Singapore Private Limited/

J.P. Morgan Securities (Asia Pacific) Limited/ J.P.

Morgan Broking (Hong Kong) Limited

Key Changes (FYE Jun)

	Prev	Cur
Adj. EPS - 26E (S\$)	0.62	0.64
Adj. EPS - 27E (S\$)	0.66	0.69

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)				
	%Rank	6M	1Y	3Y	5Y	
Value	97	97	97	94	88	
Growth	13	51	13	32	7	
Momentum	13	16	26	63	22	
Quality	1	4	1	1	1	
Low Vol	66	10	1	13	19	
ESGQ	13	11	85	9	16	

Singapore Exchange

Flows keep coming

SGX offers relative earnings visibility and limited mark-to-market and balance sheet risks, with a net cash position and gross debt/EBITDA of 0.8x. The bourse is benefitting from liquidity inflows into SG and efforts to improve the equity market, which has led to higher cash equities ADT. However, valuations have moved past meaningfully above mean, which limits upside.

Table 27: SGX: Earnings sensitivity table

ADT	12 month fwd		EPS	16.35	PE Multiples					Yield	Velocity with STI @ 4298
Assumptions	Net Profit	EPS	Sensitivity	Curr P/E	15.7	19.9	24.0	26.1	28.2		
\$S mn	\$S mn	\$S	%	x	-1 SD	Mean	+1 SD	+1.5 SD	+2 SD		
1,900	923	0.88	31%	18.6	13.8	17.5	21.1	23.0	24.8	3.4%	48%
1,850	895	0.85	27%	19.2	13.4	16.9	20.5	22.3	24.0	3.3%	47%
1,800	867	0.83	23%	19.8	13.0	16.4	19.8	21.6	23.3	3.2%	45%
1,750	839	0.80	19%	20.5	12.5	15.9	19.2	20.9	22.5	3.1%	44%
1,700	811	0.77	15%	21.2	12.1	15.4	18.6	20.2	21.8	3.0%	43%
1,650	784	0.75	11%	21.9	11.7	14.8	17.9	19.5	21.1	2.9%	42%
1,600	756	0.72	7%	22.7	11.3	14.3	17.3	18.8	20.3	2.8%	40%
1,550	729	0.69	3%	23.5	10.9	13.8	16.7	18.1	19.6	2.7%	39%
1,540	723	0.67	0%	24.3	10.5	13.3	16.1	17.5	18.9	2.6%	39%
1,450	675	0.64	-4%	25.4	10.1	12.8	15.4	16.8	18.1	2.5%	37%
1,400	648	0.62	-8%	26.5	9.7	12.3	14.8	16.1	17.4	2.4%	35%
1,350	621	0.59	-12%	27.7	9.3	11.7	14.2	15.4	16.7	2.3%	34%
1,300	594	0.57	-16%	28.9	8.9	11.2	13.6	14.8	16.0	2.2%	33%
1,250	568	0.54	-20%	30.2	8.5	10.7	13.0	14.1	15.2	2.1%	32%
1,200	541	0.52	-23%	31.7	8.1	10.2	12.4	13.5	14.5	2.0%	30%

Source: J.P. Morgan estimates, Bloomberg Finance L.P. Priced as of 9th Sept, 2025.

Earnings forecasts

Table 28: SGX: Annual forecasts

\$S'000	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Fixed Income, Currencies and Commodities	138,991	171,414	211,754	252,745	338,166	322,497	350,059	390,783	432,644	478,223
Equities	668,287	759,680	701,089	698,867	709,183	668,982	771,965	795,588	834,299	869,822
Data, Connectivity and Indices	102,530	121,604	143,110	147,429	147,059	240,196	248,601	265,243	279,579	294,787
Operating revenue	909,808	1,052,698	1,055,953	1,099,041	1,194,408	1,231,675	1,370,625	1,451,614	1,546,523	1,642,832
Staff	(191,337)	(215,172)	(236,194)	(250,954)	(276,159)	(291,730)	(300,860)	(316,142)	(332,256)	(353,771)
Technology	(79,391)	(68,937)	(74,397)	(81,343)	(88,094)	(90,965)	(92,452)	(97,034)	(101,844)	(107,867)
Processing and royalties	(47,258)	(53,739)	(62,937)	(69,216)	(73,116)	(69,647)	(72,458)	(75,356)	(78,371)	(81,505)
Premises	(19,892)	(9,879)	(9,656)	(9,997)	(9,801)	(10,380)	(10,255)	(10,563)	(10,880)	(11,206)
Professional fees	(14,603)	(13,394)	(16,971)	(15,788)	(18,344)	(17,320)	(18,880)	(19,446)	(20,030)	(20,631)
Others	(33,798)	(35,921)	(30,561)	(37,637)	(41,029)	(49,398)	(47,961)	(50,007)	(52,148)	(54,389)
Operating expenses	(448,791)	(486,904)	(525,239)	(561,593)	(604,865)	(625,293)	(627,782)	(656,861)	(687,373)	(724,888)
Operating profits	461,017	565,794	530,714	537,448	589,543	606,382	742,843	794,753	859,150	917,944
Other gains/(losses)	13,468	7,455	10,048	17,674	99,836	117,101	59,746	48,930	51,512	54,196
Share of JV & associates	(1,500)	(2,301)	(4,286)	(10,534)	(15,557)	(14,466)	(16,698)	(13,358)	(12,023)	(10,820)
PBT	472,985	570,948	536,476	544,588	673,822	709,017	785,891	830,325	898,639	961,320
Tax	(81,887)	(98,963)	(90,699)	(92,687)	(103,257)	(111,439)	(137,764)	(145,553)	(157,528)	(168,516)
Non-controlling interests	-	(170)	(371)	(503)	330	329	(144)	(152)	(165)	(176)
Attributable net profits	391,098	471,815	445,406	451,398	570,895	597,907	647,983	684,620	740,946	792,628
Operating profit margin	51%	54%	50%	49%	49%	49%	54%	55%	56%	56%
Basic EPS (cents)	36.5	44.1	41.6	42.2	53.4	55.9	60.6	63.9	69.1	73.8
Key Parameters										
ADT - Securities (\$\$ mn)	-	1,318	1,350	1,273	1,102	1,059	1,345	1,473	1,570	1,609
ADT - Derivatives	-	966,883	922,592	985,075	1,003,849	1,086,576	1,263,348	1,379,675	1,494,538	1,620,650

Source: Company reports and J.P. Morgan estimates.

Table 29: SGX: Quarterly forecasts

Income Statement (\$S'000)	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E
Fixed Income, Currencies and Commodities	75,648	76,232	83,853	86,764	88,162	84,747	85,128	92,022	93,420	96,559	100,294	100,510
Equities	163,303	156,975	172,908	175,796	192,471	194,598	188,158	196,738	201,323	193,134	198,199	202,932
Data, Connectivity and Indices	59,313	60,776	59,949	60,158	60,713	61,536	62,767	63,585	64,857	65,506	66,816	68,064
Operating revenue	298,263	293,984	316,710	322,718	341,346	340,881	336,053	352,345	359,600	355,199	365,309	371,506
Staff	(66,894)	(73,246)	(75,746)	(75,844)	(75,065)	(73,884)	(77,507)	(74,404)	(74,596)	(76,600)	(80,556)	(84,390)
Technology	(21,708)	(23,673)	(23,112)	(22,472)	(23,010)	(21,410)	(21,734)	(26,298)	(24,663)	(24,768)	(25,062)	(22,540)
Processing and royalties	(16,747)	(15,371)	(17,676)	(19,853)	(18,662)	(17,206)	(17,550)	(19,040)	(19,230)	(19,422)	(19,616)	(17,088)
Premises	(2,536)	(2,848)	(2,563)	(2,433)	(2,506)	(2,458)	(2,557)	(2,734)	(2,488)	(2,538)	(2,589)	(2,947)
Professional fees	(3,402)	(2,225)	(5,563)	(6,130)	(4,291)	(3,027)	(5,146)	(6,416)	(5,133)	(5,390)	(5,659)	(3,265)
Others	(34,635)	(34,613)	(36,462)	(39,132)	(29,742)	(27,499)	(34,051)	(50,547)	(34,175)	(34,757)	(34,066)	(35,322)
Operating expenses	(145,119)	(150,984)	(162,213)	(166,977)	(153,387)	(145,593)	(158,544)	(170,258)	(160,285)	(163,476)	(167,549)	(165,551)
Operating profits	153,144	143,000	154,497	155,741	187,959	195,288	177,508	182,088	199,315	191,723	197,760	205,955
Other gains/(losses)	24,382	29,128	36,410	37,087	22,252	22,570	20,313	20,911	14,638	16,102	16,907	16,888
Share of JV & associates	(3,494)	(3,855)	(3,855)	(3,262)	(2,773)	(2,213)	(5,754)	(5,958)	(3,277)	(3,441)	(3,303)	(3,338)
PBT	171,465	165,588	185,094	186,870	202,978	211,570	188,093	183,250	206,435	200,356	207,537	215,997
Tax	(28,292)	(27,403)	(27,764)	(27,980)	(36,536)	(37,889)	(30,095)	(33,244)	(36,126)	(35,062)	(36,319)	(38,046)
Non-controlling interests	111	127	48	43	(63)	(63)	(11)	(7)	(37)	(36)	(37)	(42)
Attributable net profits	143,284	138,312	157,378	158,933	166,379	173,618	157,987	149,999	170,272	165,257	171,181	177,910
Operating profit margin	51%	49%	49%	48%	55%	57%	53%	52%	55%	54%	54%	55%
Basic EPS (cents)	13.4	12.9	14.7	14.9	15.5	16.2	14.8	14.0	15.9	15.4	16.0	16.6
Key Parameters												
ADT - Securities (\$\$ mn)	991	932	1,119	1,200	1,339	1,186	1,335	1,533	1,485	1,377	1,510	1,523
ADT - Derivatives	1,041,675	1,017,612	1,134,990	1,154,965	1,202,374	1,239,777	1,281,650	1,334,436	1,265,615	1,351,167	1,468,058	1,442,689

Source: Company reports and J.P. Morgan estimates.

Price Performance



	YTD	1m	3m	12m
Abs	28.3%	2.1%	16.3%	48.9%
Rel	14.8%	0.7%	7.1%	26.0%

Company Data

Shares O/S (mn)	1,071
52-week range (\$\$)	16.94-10.85
Market cap (\$ mn)	13,643
Exchange rate	1.28
Free float (%)	100.0%
3M ADV (mn)	2.21
3M ADV (\$ mn)	26.7
Volatility (90 Day)	18
Index	FTSTI
BBG ANR (Buy Hold Sell)	6 5 5

Key Metrics (FYE Jun)

\$S in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
ADV - Equities	1,345	1,473	1,570	1,609
ADV - Derivatives	-	-	-	-
Total revenue	1,371	1,452	1,547	1,643
Operating expense	(628)	(657)	(687)	(725)
Adj. EBITDA	888	932	1,003	1,068
Adj. EBIT	803	844	911	972
Adj. net income	648	685	741	793
Adj. EPS	0.60	0.64	0.69	0.73
BBG EPS	0.59	0.62	0.66	-
DPS	0.38	0.45	0.49	0.53
Margins and Growth				
Total revenue growth	11.3%	5.9%	6.5%	6.2%
EBIT margin	58.6%	58.1%	58.9%	59.2%
Net margin	47.3%	47.2%	47.9%	48.2%
Adj. EPS growth	10.5%	5.4%	8.0%	6.7%
Ratios				
Adj. tax rate	17.5%	17.5%	17.5%	17.5%
Dividend payout	62.2%	70.0%	70.7%	71.7%
Net debt/Equity	NM	NM	NM	-
Net debt/EBITDA	NM	NM	NM	-
ROA	15.9%	14.9%	14.2%	14.4%
ROE	31.1%	29.7%	29.3%	28.7%
Valuation				
Dividend yield	2.3%	2.7%	3.0%	3.2%
Adj. P/E	27.1	25.7	23.8	22.3
P/BV	8.0	7.3	6.7	6.1

Summary Investment Thesis and Valuation

Investment Thesis

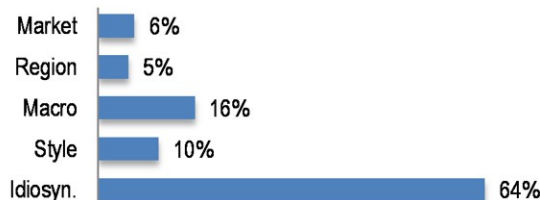
We are Neutral on SGX.

- SGX offers relative earnings visibility and limited mark-to-market and balance sheet risks, with a net cash position and gross debt/EBITDA of 0.8x. This allows the exchange to sustain dividends and to lever up for inorganic growth if required.
- The fundamental outlook for SGX is steady, in our view. The bourse has a relatively diversified business model, with FICC, equities and equity derivatives contributing almost equally to the bottom line.
- The bourse is benefitting from liquidity inflows into SG and efforts to improve the equity market, which has led to higher cash equities ADT. However, valuations have moved past meaningfully above mean, which limits upside.

Valuation

Our Dec-26 PT of S\$16 is based on a mean dynamic P/E of 24x, 1SD above the mean. Our dynamic P/E methodology encompasses three-year rolling-average P/E and SD bands.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.18	0.24
Region: Singapore	0.28	0.29
Macro:		
Citi Economic Surprise - EM	0.51	0.35
US 10 Year Yield	-0.19	-0.23
HSI Volatility Index	-0.12	-0.19
Quant Styles:		
Momentum	0.13	0.23
Quality	-0.30	-0.13
Growth	0.29	0.13

Investment Thesis, Valuation and Risks

Singapore Exchange *(Neutral; Price Target: S\$16.00)*

Investment Thesis

We are Neutral on SGX.

- SGX offers relative earnings visibility and limited mark-to-market and balance sheet risks, with a net cash position and gross debt/EBITDA of 0.8x. This allows the exchange to sustain dividends and to lever up for inorganic growth if required.
- The fundamental outlook for SGX is steady, in our view. The bourse has a relatively diversified business model, with FICC, equities and equity derivatives contributing almost equally to the bottom line.
- The bourse is benefitting from liquidity inflows into SG and efforts to improve the equity market, which has led to higher cash equities ADT. However, valuations have moved past meaningfully above mean, which limits upside.
- SGX has guided for consistent increase in DPS to 44.5c/48.5c/52.5c over the next 3Y. Yet, payout remains at ~70% range, below historical highs. Further, dividend yield is at ~3%, lower vs. banks.
- The acquisitions of BidFX and MaxxTrader have propelled FICC to be a source of growth, with the bourse successfully growing beyond its US\$100bn ADV target on OTC FX. We continue to see FICC as a key earnings driver for SGX over the next few years, as we expect a 9% FICC revenue CAGR over FY24-27.
- SGX is open to M&A to build capacity in newer segments, as it has done in the recent past. The strategy is to go with “fill the gap” deals, rather than anything transformational, which, in any case, would be tough to execute.

Valuation

Our Dec-26 PT of S\$16 is based on a mean dynamic P/E of 24x, 1SD above the mean. Our dynamic P/E methodology encompasses three-year rolling-average P/E and SD bands. This allows us to assess objectively whether the stock has re- or de-rated. The implied volume metric gauges what the stock price implies for the next 12 months' average turnover.

Risks to Rating and Price Target

Upside risks include: (1) a sharp increase in the dividend payout; (2) a further revival of the IPO pipeline; (3) better-than-expected derivatives volumes; (4) sustained strength in equity volumes; (5) accelerated growth in FICC; and (6) sustained inflows into Singapore.

Downside risks include: (1) declines in equity volumes; (2) weak volumes of F&O; (3) a deceleration in FX growth; and (4) weaker-than-expected commodities volumes. In addition, the high bar for inorganic growth suggests that any large deal would likely be met with initial skepticism, unless and until proven otherwise. Hence, M&A is a potential downside catalyst for the stock.

Singapore Exchange: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E	Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Total revenue	1,232	1,371	1,452	1,547	1,643	Cash flow from operating activities	616	842	735	786	850
o/w Trading revenues	1,232	1,371	1,452	1,547	1,643	o/w Depreciation & amortization	96	85	88	92	96
SG&A	(529)	(543)	(569)	(596)	(629)	o/w Changes in working capital	(15)	185	(55)	(65)	(66)
o/w Compensation expense	(292)	(301)	(316)	(332)	(354)	Cash flow from investing activities	(138)	(266)	(28)	(29)	(30)
o/w Non-compensation expense	-	-	-	-	-	o/w Capital expenditure	(277)	(645)	(92)	(96)	(100)
Adj. EBITDA	819	888	932	1,003	1,068	Cash flow from financing activities	(460)	(449)	(495)	(539)	(584)
D&A	(96)	(85)	(88)	(92)	(96)	o/w Dividends paid	(365)	(385)	(477)	(520)	(564)
Adj. EBIT	723	803	844	911	972	o/w Share issue/(buyback)	0	0	0	0	0
Net Interest	-	-	-	-	-	o/w Net debt issued/(repaid)	-	-	-	-	-
Other income / (expense)	-	-	-	-	-	Net change in cash	18	126	212	218	236
Adj. PBT	709	786	830	899	961	Adj. Free cash flow to firm	339	196	643	690	751
Tax	(111)	(138)	(146)	(158)	(169)	y/y Growth	167.4%	(42.1%)	227.1%	7.4%	8.8%
Adj. Net Income	598	648	685	741	793						
Reported EPS	0.55	0.60	0.64	0.69	0.73						
Adj. EPS	0.55	0.60	0.64	0.69	0.73						
DPS	0.35	0.38	0.45	0.49	0.53						
Payout ratio	63.3%	62.2%	70.0%	70.7%	71.7%						
Shares outstanding	1,096	1,075	1,078	1,080	1,082						
Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E	Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	998	1,130	1,981	2,199	2,435	EBITDA margin	66.5%	64.8%	64.2%	64.8%	65.0%
Accounts receivable	1,113	936	991	1,056	1,122	EBIT margin	58.7%	58.6%	58.1%	58.9%	59.2%
Other current assets	0	6	6	6	6	Net profit margin	48.5%	47.3%	47.2%	47.9%	48.2%
Current assets	2,112	2,072	2,978	3,260	3,562	ROE	32.6%	31.1%	29.7%	29.3%	28.7%
PP&E	68	76	80	84	88	ROA	15.4%	15.9%	14.9%	14.2%	14.4%
Other non current assets	1,036	1,255	1,262	1,269	1,276	ROCE	33.3%	31.8%	30.1%	29.7%	29.0%
Total assets	3,985	4,144	5,061	5,354	5,668	Net debt/equity	NM	NM	NM	NM	-
Short term borrowings	0	0	0	0	-	P/E (x)	30.0	27.1	25.7	23.8	22.3
Payables	1,078	1,029	1,077	1,127	1,189	P/BV (x)	9.1	8.0	7.3	6.7	6.1
Other short term liabilities	160	181	833	849	865	EV/EBITDA (x)	20.7	18.6	16.8	15.4	14.3
Current liabilities	1,238	1,211	1,910	1,976	2,054	Dividend yield	2.1%	2.3%	2.7%	3.0%	3.2%
Long-term debt	0	0	0	0	-	Tax rate	15.7%	17.5%	17.5%	17.5%	17.5%
Other long term liabilities	785	734	734	734	734	Revenue y/y growth	3.1%	11.3%	5.9%	6.5%	6.2%
Total liabilities	2,024	1,944	2,644	2,709	2,787	EBITDA y/y growth	4.0%	8.3%	5.0%	7.6%	6.5%
Shareholders' equity	1,961	2,200	2,417	2,645	2,880	Adj. Net Income y/y growth	4.7%	8.4%	5.7%	8.2%	7.0%
Minority interests	-	-	-	-	-	EPS y/y growth	5.5%	10.5%	5.4%	8.0%	6.7%
Total liabilities & equity	3,985	4,144	5,061	5,354	5,668	DPS y/y growth	6.2%	8.7%	18.7%	9.0%	8.2%
BVPS	1.79	2.05	2.24	2.45	2.66	Consolidated volumes (ADV)	-	-	-	-	-
y/y growth	16.0%	14.4%	9.6%	9.2%	8.6%	Volume growth (YoY)	(3.9%)	27.0%	9.5%	6.5%	2.5%
Net debt/(cash)	(998)	(1,130)	(1,981)	(2,199)	-						

Source: Company reports and J.P. Morgan estimates.

Note: \$S in millions (except per-share data). Fiscal year ends Jun. o/w - out of which

Overweight

MBBM.KL, MAY MK

Price (09 Sep 25):RM10.04

▼ **Price Target (Dec-26):RM10.70**

Prior (Jun-26):RM11.00

APAC Banks

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J.P. Morgan Securities Singapore Private Limited/
J.P. Morgan Securities (Asia Pacific) Limited/ J.P.
Morgan Broking (Hong Kong) Limited

Quarterly Forecasts (FYE Dec)

Adj. EPS (RM)

	2024A	2025E	2026E
Q1	0.21	0.21A	
Q2	0.21	0.22A	
Q3	0.21	0.21	
Q4	0.21	0.23	
FY	0.84	0.87	0.87

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	26	28	28	28	32
Growth	38	38	38	28	82
Momentum	59	44	55	32	78
Quality	24	19	13	26	55
Low Vol	3	1	1	5	7
ESGQ	24	19	23	15	90

Maybank (Malayan Banking)

High yield, steady execution

The Malaysian banking sector is delivering a good combination of growth (4-8% loan and PPop growth), benign AQ, improving quality and quantity of payouts (all cash, above 50% payout) as well as a re-rating following domestic fund allocation shifts. Maybank has come off, and provides a good entry point to these trends, with management confirming the outlook for improved cash dividends on the back of steady NIMs which benefit from best CASA franchise.

Valuation

Our Dec-26 PT of RM10.7 is based on a two-stage DDM methodology using the following valuation assumptions: RFR of 4.0%, CoE of 10%, normalized RoE of 11% and terminal growth of 3.0%.

Table 30: MAY: Valuation

	Net Inc (RM mn)	EPS (RM)	P/E (x)	BVPS (RM)	P/B (x)	Dividend (RM)	Div Yld (%)	RoA (%)	RoRWA (%)	RoE (%)
2021	8,096	0.70	14.4	7.22	1.39	0.58	5.8%	0.93%	2.0%	9.5%
2022	8,235	0.69	14.6	7.13	1.41	0.58	5.8%	0.90%	2.0%	9.6%
2023	9,350	0.78	12.9	7.85	1.28	0.60	6.0%	0.95%	2.2%	10.4%
2024	10,089	0.84	12.0	7.79	1.29	0.61	6.1%	0.96%	2.3%	10.7%
2025E	10,529	0.87	11.5	8.04	1.25	0.63	6.3%	0.96%	2.3%	11.0%
2026E	10,535	0.87	11.5	8.25	1.22	0.70	7.0%	0.92%	2.1%	10.7%
2027E	11,045	0.92	11.0	8.44	1.19	0.75	7.5%	0.92%	2.1%	11.0%
Price (RM)		10.04	Number of shares (mn)			12,081	Market Cap (RM mn)			121,294
Normalised RoE				PB based Valuation				PE based Valuation		
NIM (on avg. assets)		1.89%	Risk-free rate			4.00%	Fair PE			10.4x
Non-IR/revenues		31.0%	Cost of capital			10.0%	12m Rolling EPS			RM0.87
Cost/income		49.5%	Long term growth			3.0%	PE based Dec-26 Fair Value			RM9.1
Operating RoA		1.38%	Fair PB			1.14x	Implied Value of Growth			
LLP/Loans		-0.25%	PV of Terminal Value			RM8.5	12m Rolling EPS			RM0.9
Net RoAA		0.93%	PV of Dividends			RM1.2	Capitalized Value			RM8.7
Equity/Assets		8.5%	PV of today's Fair Value			RM9.7	Value of Growth			RM1.3
Normalised RoE		11.0%	PV of Dec-26 fair value			RM10.7	Attributable to Growth			13.1%

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Annual forecasts

Table 31: MAY: Annual P&L

P&L (RMmn)	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
Interest Income	26,984	29,059	31,031	33,636	35,199	29,405	27,526	32,861	43,992	47,954	46,041	46,165	48,513
Interest Expense	(12,601)	(13,925)	(14,817)	(16,750)	(18,138)	(13,242)	(8,933)	(11,617)	(24,035)	(27,081)	(25,034)	(24,703)	(25,882)
Net Interest Income	14,383	15,134	16,214	16,887	17,061	16,163	18,593	21,244	19,957	20,873	21,007	21,461	22,631
Fee income	3,821	3,649	3,564	3,358	3,370	3,374	3,638	3,343	3,514	3,830	3,853	4,043	4,242
Investment income	1,208	1,528	1,654	858	3,406	4,320	366	92	4,211	4,736	4,320	4,414	4,529
Other operating income	547	367	630	704	501	(394)	466	1,191	263	500	900	945	992
Insurance Income	412	336	194	1,026	(611)	238	1,371	1,742	(996)	(647)	259	285	313
Non-Interest Income	5,988	5,881	6,041	5,945	6,666	7,537	5,842	6,304	7,040	8,468	9,383	9,740	10,131
Total Revenues	20,371	21,015	22,255	22,832	23,727	23,700	24,435	27,548	26,997	29,341	30,390	31,201	32,762
Costs	(9,615)	(9,954)	(10,523)	(10,416)	(10,548)	(10,182)	(10,505)	(12,740)	(13,024)	(14,229)	(14,849)	(15,561)	(16,329)
PPOP	10,756	11,061	11,731	12,416	13,179	13,518	13,930	14,808	13,972	15,112	15,541	15,640	16,433
Loan loss provisions	(1,684)	(2,833)	(1,959)	(1,591)	(2,287)	(4,599)	(2,659)	(2,189)	(1,826)	(1,671)	(1,639)	(1,823)	(1,951)
Impairment Loss	(329)	(182)	(69)	(22)	(36)	(472)	(571)	(596)	145	24	(93)	0	0
Associate	211	173	215	98	158	209	186	131	240	236	248	248	248
Pre-Tax	8,954	8,219	9,918	10,901	11,014	8,657	10,887	12,153	12,532	13,702	14,057	14,065	14,730
Tax	(2,165)	(1,881)	(2,301)	(2,545)	(2,538)	(1,938)	(2,565)	(3,780)	(2,917)	(3,195)	(3,278)	(3,280)	(3,435)
MI and EO	(150)	(221)	(276)	(243)	(278)	(238)	(225)	(138)	(265)	(418)	(250)	(250)	(250)
Core Profits	6,639	6,118	7,341	8,113	8,198	6,481	8,096	8,235	9,350	10,089	10,529	10,535	11,045
Net Profits	6,836	6,743	7,521	8,113	8,198	6,481	8,096	8,235	9,350	10,089	10,529	10,535	11,045

Source: Company reports and J.P. Morgan estimates.

Table 32: MAY: Annual DuPont

	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
NIM (% of avg. IEA)	2.31%	2.27%	2.36%	2.33%	2.27%	2.13%	2.36%	2.44%	2.15%	2.05%	1.99%	1.95%	1.95%
IEA/Assets	92.3%	92.3%	91.4%	92.3%	91.7%	89.8%	90.1%	95.0%	94.1%	96.8%	96.2%	96.3%	96.4%
Margins (% of avg. Assets)	2.13%	2.10%	2.16%	2.15%	2.08%	1.91%	2.13%	2.31%	2.02%	1.99%	1.92%	1.87%	1.88%
Non-IR contribution	29.4%	28.0%	27.1%	26.0%	28.1%	31.8%	23.9%	22.9%	26.1%	28.9%	30.9%	31.2%	30.9%
Non-IR/Avg. Assets	0.89%	0.81%	0.80%	0.76%	0.81%	0.89%	0.67%	0.69%	0.71%	0.81%	0.86%	0.85%	0.84%
Revenue/Assets	3.02%	2.91%	2.96%	2.90%	2.89%	2.80%	2.80%	3.00%	2.73%	2.79%	2.77%	2.72%	2.71%
Cost/Income	47.2%	47.4%	47.3%	45.6%	44.5%	43.0%	43.0%	46.2%	48.2%	48.5%	48.9%	49.9%	49.8%
C/Assets	1.43%	1.38%	1.40%	1.32%	1.29%	1.20%	1.20%	1.39%	1.32%	1.35%	1.36%	1.36%	1.35%
Pre-Provision ROA	1.60%	1.53%	1.56%	1.58%	1.61%	1.60%	1.60%	1.61%	1.41%	1.44%	1.42%	1.37%	1.36%
LLP/Loans	-0.39%	-0.60%	-0.40%	-0.31%	-0.44%	-0.88%	-0.49%	-0.38%	-0.30%	-0.25%	-0.24%	-0.25%	-0.25%
Loan/Assets	64.4%	65.5%	65.3%	64.3%	63.4%	61.9%	61.7%	62.1%	62.1%	62.4%	62.7%	63.2%	64.1%
Other Income/Assets	-0.02%	0.00%	0.02%	0.01%	0.01%	-0.03%	-0.04%	-0.05%	0.04%	0.02%	0.01%	0.02%	0.02%
Operating ROA	1.33%	1.14%	1.32%	1.39%	1.34%	1.02%	1.25%	1.32%	1.27%	1.30%	1.28%	1.23%	1.22%
Pre-Tax ROA	1.33%	1.14%	1.32%	1.39%	1.34%	1.02%	1.25%	1.32%	1.27%	1.30%	1.28%	1.23%	1.22%
Tax Rate	-24.2%	-22.9%	-23.2%	-23.3%	-23.0%	-22.4%	-23.6%	-31.1%	-23.3%	-23.3%	-23.3%	-23.3%	-23.3%
Core ROA	0.98%	0.85%	0.98%	1.03%	1.00%	0.77%	0.93%	0.90%	0.95%	0.96%	0.96%	0.92%	0.92%
Core RoRWA	1.83%	1.63%	1.95%	2.16%	2.17%	1.65%	2.00%	2.03%	2.20%	2.27%	2.27%	2.11%	2.08%
Equity/Assets	8.5%	9.0%	9.4%	9.4%	9.6%	9.8%	9.8%	9.4%	9.1%	9.0%	8.7%	8.6%	8.3%
Core ROE	11.6%	9.4%	10.4%	10.9%	10.4%	7.8%	9.5%	9.6%	10.4%	10.7%	11.0%	10.7%	11.0%

Source: Company reports and J.P. Morgan estimates.

Quarterly forecasts

Table 33: MAY: Quarterly P&L

P&L (RMmn)	1Q22	2Q22	3Q22	4Q22	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25E	4Q25E
Interest Income	6,936	7,542	8,533	9,850	10,209	10,779	11,176	11,828	12,042	12,111	11,898	11,904	11,657	11,627	11,315	11,441
Interest Expense	(1,965)	(2,203)	(3,100)	(4,349)	(5,276)	(5,827)	(6,232)	(6,701)	(6,875)	(6,846)	(6,782)	(6,578)	(6,408)	(6,287)	(6,179)	(6,159)
Net Interest Income	4,971	5,338	5,433	5,501	4,933	4,953	4,944	5,127	5,167	5,264	5,116	5,326	5,248	5,340	5,136	5,282
Fee income	802	847	842	851	803	823	950	938	947	941	996	946	939	958	982	974
Investment income	231	(1,214)	567	508	649	1,598	740	1,223	1,660	1,272	938	865	1,000	1,236	1,015	1,069
Other operating income	(101)	734	137	422	267	38	175	(216)	261	(18)	68	189	161	434	174	131
Insurance Income	525	1,182	404	(370)	(415)	(254)	(159)	(168)	(535)	(222)	9	101	326	(377)	150	161
Non-Interest Income	1,457	1,549	1,950	1,348	1,305	2,251	1,706	1,777	2,333	2,022	2,012	2,102	2,426	2,302	2,321	2,335
Total Revenues	6,428	6,888	7,383	6,849	6,238	7,204	6,650	6,904	7,500	7,286	7,128	7,428	7,674	7,642	7,457	7,617
Costs	(2,908)	(3,109)	(3,363)	(3,359)	(2,966)	(3,315)	(3,197)	(3,547)	(3,580)	(3,535)	(3,420)	(3,693)	(3,705)	(3,742)	(3,676)	(3,726)
PPOP	3,520	3,779	4,020	3,490	3,272	3,889	3,453	3,358	3,920	3,750	3,707	3,735	3,969	3,899	3,781	3,892
Loan loss provisions	(443)	(838)	(600)	(309)	(360)	(562)	(440)	(464)	(468)	(381)	(377)	(445)	(384)	(423)	(419)	(413)
Impairment Loss	(154)	(319)	(242)	118	67	(13)	98	(7)	(76)	1	27	71	(42)	(51)	0	0
Associate	50	44	30	8	77	55	46	63	67	72	44	53	51	87	64	46
Pre-Tax	2,972	2,666	3,208	3,307	3,056	3,370	3,156	2,949	3,442	3,443	3,402	3,414	3,594	3,512	3,426	3,525
Tax	(886)	(757)	(1,039)	(1,099)	(723)	(972)	(750)	(471)	(846)	(792)	(817)	(739)	(951)	(809)	(790)	(728)
MI and EO	(42)	(52)	(4)	(41)	(67)	(59)	(48)	(90)	(108)	(121)	(47)	(143)	(55)	(74)	(60)	(61)
Core Profits	2,045	1,857	2,166	2,167	2,265	2,339	2,358	2,388	2,488	2,530	2,538	2,532	2,589	2,628	2,576	2,736
Net Profits	2,045	1,857	2,166	2,167	2,265	2,339	2,358	2,388	2,488	2,530	2,538	2,532	2,589	2,628	2,576	2,736

Source: Company reports and J.P. Morgan estimates.

Table 34: MAY: Quarterly DuPont

	1Q22	2Q22	3Q22	4Q22	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25E	4Q25E
NIM (% of avg. IEA)	2.34%	2.41%	2.42%	2.39%	2.19%	2.14%	2.13%	2.09%	2.03%	2.06%	2.03%	2.06%	2.04%	2.00%	1.97%	1.97%
IEA/Assets	94.3%	96.4%	95.8%	97.0%	94.6%	95.2%	93.4%	96.7%	97.6%	96.3%	95.2%	97.1%	95.5%	98.9%	96.0%	97.0%
Margins (% of avg. Asse	2.21%	2.33%	2.32%	2.32%	2.07%	2.03%	1.99%	2.02%	1.98%	1.99%	1.94%	2.00%	1.95%	1.98%	1.89%	1.91%
Non-IR contribution	22.7%	22.5%	26.4%	19.7%	20.9%	31.3%	25.7%	25.7%	31.1%	27.7%	28.2%	28.3%	31.6%	30.1%	31.1%	30.7%
Non-IR/Avg. Assets	0.65%	0.67%	0.83%	0.57%	0.55%	0.92%	0.69%	0.70%	0.90%	0.76%	0.76%	0.79%	0.90%	0.85%	0.86%	0.84%
Revenue/Assets	2.85%	3.00%	3.15%	2.88%	2.62%	2.96%	2.67%	2.72%	2.88%	2.75%	2.70%	2.80%	2.84%	2.84%	2.75%	2.76%
Cost/Income	45.2%	45.1%	45.6%	49.0%	47.5%	46.0%	48.1%	51.4%	47.7%	48.5%	48.0%	49.7%	48.3%	49.0%	49.3%	48.9%
C/Assets	1.29%	1.35%	1.43%	1.41%	1.24%	1.36%	1.29%	1.40%	1.37%	1.33%	1.29%	1.39%	1.37%	1.39%	1.36%	1.35%
Pre-Provision ROA	1.56%	1.65%	1.71%	1.47%	1.37%	1.60%	1.39%	1.32%	1.50%	1.41%	1.40%	1.41%	1.47%	1.45%	1.39%	1.41%
LLP/Loans	-0.32%	-0.59%	-0.41%	-0.21%	-0.24%	-0.38%	-0.29%	-0.30%	-0.29%	-0.23%	-0.23%	-0.27%	-0.23%	-0.25%	-0.25%	-0.24%
Loan/Assets	61.9%	61.9%	62.0%	61.8%	61.8%	61.4%	61.4%	61.9%	62.1%	62.4%	62.9%	62.8%	62.6%	62.8%	62.9%	62.8%
Other Income/Assets	-0.01%	-0.03%	-0.02%	0.01%	0.02%	0.00%	0.01%	0.01%	0.00%	0.01%	0.01%	0.01%	0.00%	0.00%	0.01%	0.00%
Operating ROA	1.37%	1.28%	1.46%	1.34%	1.22%	1.37%	1.21%	1.14%	1.32%	1.27%	1.26%	1.24%	1.33%	1.29%	1.24%	1.26%
Pre-Tax ROA	1.35%	1.25%	1.44%	1.35%	1.24%	1.37%	1.23%	1.15%	1.32%	1.28%	1.27%	1.25%	1.33%	1.29%	1.25%	1.26%
Tax Rate	-29.8%	-28.4%	-32.4%	-33.2%	-23.7%	-28.9%	-23.8%	-16.0%	-24.6%	-23.0%	-24.0%	-21.7%	-26.5%	-23.0%	-23.0%	-20.7%
Core ROA	0.95%	0.89%	0.97%	0.90%	0.94%	0.97%	0.93%	0.95%	0.99%	0.97%	0.96%	0.97%	0.97%	0.99%	0.95%	1.00%
Core RoRWA	2.1%	2.0%	2.2%	2.0%	2.2%	2.3%	2.2%	2.2%	2.3%	2.3%	2.3%	2.3%	2.3%	2.3%	2.2%	2.3%
Equity/Assets	9.4%	9.2%	9.0%	9.0%	9.0%	9.0%	9.1%	9.2%	9.0%	8.9%	8.8%	8.7%	8.6%	8.7%	8.8%	8.8%
ROE	10.1%	9.7%	10.8%	10.0%	10.4%	10.7%	10.2%	10.4%	10.9%	10.9%	10.9%	11.1%	11.3%	11.4%	10.8%	11.4%

Source: Company reports and J.P. Morgan estimates.

Price Performance



	YTD	1m	3m	12m
Abs	-2.0%	4.5%	3.7%	-7.9%
Rel	1.4%	2.6%	-0.7%	-4.0%

Company Data

Shares O/S (mn)	12,081
52-week range (RM)	11.04-9.32
Market cap (\$ mn)	28,753
Exchange rate	4.22
Free float (%)	50.2%
3M ADV (mn)	12.77
3M ADV (\$ mn)	29.4
Volatility (90 Day)	12
Index	FBMKLCI - FTSE BURSA MALAYSIA KLCI
BBG ANR (Buy Hold Sell)	13 6 1

Key Metrics (FYE Dec)

RM in millions	FY24A	FY25E	FY26E	FY27E
Financial Estimates				
Net interest income	20,873	21,007	21,461	22,631
Non interest income	8,468	9,383	9,740	10,131
Operating expenses	(14,229)	(14,849)	(15,561)	(16,329)
Adj. PPOP	15,112	15,541	15,640	16,433
Provision for loan losses	(1,671)	(1,639)	(1,823)	(1,951)
Adj. PBT	13,702	14,057	14,065	14,730
Adj. net income	10,089	10,529	10,535	11,045
Adj. EPS	0.84	0.87	0.87	0.92
BBG EPS	0.83	0.86	0.88	0.94
DPS	0.61	0.63	0.70	0.75
Loans	662,741	689,862	736,325	788,179
Deposits	741,897	776,934	825,149	876,659
Total Assets	1,075,322	1,115,932	1,175,396	1,238,277
Margins and Growth				
NIM	2.1%	2.0%	1.9%	1.9%
Ratios				
Loan/ Deposit ratio	89.3%	88.8%	89.2%	89.9%
NPL / Loans	1.2%	1.3%	1.3%	1.3%
Coverage	122.4%	115.9%	110.9%	106.4%
CET 1	-	-	-	-
Non-int. income/ Income	28.9%	30.9%	31.2%	30.9%
Cost/Income	48.5%	48.9%	49.9%	49.8%
LLP/Loans	(0.3%)	(0.2%)	(0.3%)	(0.3%)
ROA	1.0%	1.0%	0.9%	0.9%
ROE	10.7%	11.0%	10.7%	11.0%
Valuation				
Dividend yield	6.1%	6.3%	7.0%	7.5%
Adj. P/E	12.0	11.5	11.5	11.0
P/ BV	1.29	1.25	1.22	1.19

Summary Investment Thesis and Valuation

Investment Thesis

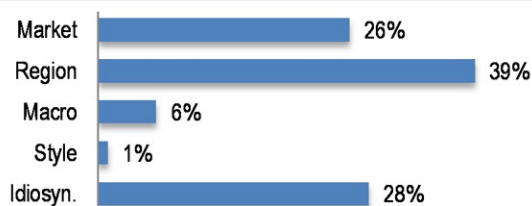
We are OW on MAY.

- The Malaysian banking sector is delivering a good combination of growth (4-8% loan and PPOP growth), benign AQ, improving quality and quantity of payouts (all cash, above 50% payout) as well as a re-rating following domestic fund allocation shifts. Maybank has come off, and provides a good entry point to these trends, with management confirming the outlook for improved cash dividends on the back of steady NIMs which benefit from best CASA franchise.
- We believe management's commitment to TSR has strengthened, which is showing in the commitment to upstream capital and increased focus on RoRWA. This should lead to an almost 70% payout until at least next year, if not longer, on our estimates.
- We forecast 6.5-7.7% dividend yields over 2025-27, one of the highest across the Malaysia banks. The bank stays above 14% CET1 for over 2025-27E on our forecasts, based on our payout assumptions of 70-78%.

Valuation

Our Dec-26 PT of RM10.7 is based on a two-stage DDM methodology using the following valuation assumptions: RFR of 4.0%, CoE of 10%, normalized RoE of 11% and terminal growth of 3.0%.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.55	0.52
Region: Malaysia	0.65	0.75
Macro:		
US 10 Year Yield	-0.41	-0.28
JP Morgan GBI-EM Global Div	0.00	0.28
Citi Economic Surprise - EM	0.28	0.22
Quant Styles:		
Size	0.16	0.25
Momentum	-0.14	0.19
Quality	-0.19	0.09

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

Investment Thesis, Valuation and Risks

Maybank (Malayan Banking) *(Overweight; Price Target: RM10.70)*

Investment Thesis

We are OW on MAY.

- The Malaysian banking sector is delivering a good combination of growth (4-8% loan and PPOP growth), benign AQ, improving quality and quantity of payouts (all cash, above 50% payout) as well as a re-rating following domestic fund allocation shifts. Maybank has come off, and provides a good entry point to these trends, with management confirming the outlook for improved cash dividends on the back of steady NIMs which benefit from best CASA franchise.
- We believe management's commitment to TSR has strengthened, which is showing in the commitment to upstream capital and increased focus on RoRWA. This should lead to an almost 70% payout until at least next year, if not longer, on our estimates.
- We forecast 6.5-7.7% dividend yields over 2025-27, one of the highest across the Malaysia banks. The bank stays above 14% CET1 for over 2025-27E on our forecasts, based on our payout assumptions of 70-78%.
- Valuations appear attractive at 10.8x/1.17x 2025E PE/PB for ~11% ROE. Our 2025-27 estimates are 1-4% above Street.

Valuation

Our Dec-26 PT of RM10.7 is based on a two-stage DDM methodology using the following valuation assumptions: RFR of 4.0%, CoE of 10%, normalized RoE of 11% and terminal growth of 3.0%.

Risks to Rating and Price Target

Upside catalysts include: 1) resiliency in asset quality, leading to lower credit costs; 2) further improvement in retail market share (loans and deposits) on the back of M25+ initiatives; and 3) a pick-up in corporate loan demand.

Downside risks include further NIM deterioration across home and overseas markets, especially from Singapore, weaker fee income, and a dividend disappointment.

Maybank (Malayan Banking): Summary of Financials

Income Statement						Balance Sheet					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Interest income	43,992	47,954	46,041	46,165	48,513	Cash and cash equivalents	0	0	0	0	0
Interest expense	(24,035)	(27,081)	(25,034)	(24,703)	(25,882)	Deposits with banks	58,115	79,964	84,526	89,745	92,792
Net interest income	19,957	20,873	21,007	21,461	22,631	Net loans	628,923	662,741	689,862	736,325	788,179
Non interest income	7,040	8,468	9,383	9,740	10,131	PP&E	3,329	3,322	3,411	3,503	3,597
o/w Fee income	3,514	3,830	3,853	4,043	4,242	Net intangibles	7,362	6,993	6,644	6,644	6,644
o/w Trading income	4,211	4,736	4,320	4,414	4,529	LT investments	283,260	270,394	278,505	284,075	289,757
Net revenues	26,997	29,341	30,390	31,201	32,762	Other assets	46,685	51,908	52,984	55,103	57,307
Non interest expense	(13,024)	(14,229)	(14,849)	(15,561)	(16,329)	Total assets	1,027,675	1,075,322	1,115,932	1,175,396	1,238,277
o/w Employee costs	(7,779)	(8,596)	(9,026)	(9,477)	(9,951)	Interest earning assets	970,298	1,013,098	1,052,893	1,110,146	1,170,729
Pre-Prov. Profits	13,972	15,112	15,541	15,640	16,433	Deposits	696,835	741,897	776,934	825,149	876,659
Provisions	(1,826)	(1,671)	(1,639)	(1,823)	(1,951)	Borrowings	126,763	120,878	122,189	126,240	130,437
Adj. PBT	12,532	13,702	14,057	14,065	14,730	Other liabilities	106,429	115,340	116,554	121,242	126,119
Income taxes	(2,917)	(3,195)	(3,278)	(3,280)	(3,435)	Total liabilities	930,026	978,115	1,015,677	1,072,631	1,133,215
Minority interest	(265)	(418)	(250)	(250)	(250)	Shareholder equity	94,642	93,971	97,018	99,528	101,825
Adj. Net profit	9,350	10,089	10,529	10,535	11,045	Minority interests	3,007	3,237	3,237	3,237	3,237
PPOP per share	1.16	1.25	1.29	1.30	1.36	Total liabilities and Shareholder equity	1,027,675	1,075,322	1,115,932	1,175,396	1,238,277
Reported EPS	0.78	0.84	0.87	0.87	0.92	Interest bearing liabilities	823,597	862,775	899,123	951,389	1,007,096
Adj. EPS	0.78	0.84	0.87	0.87	0.92	Book Value Per Share	7.85	7.79	8.04	8.25	8.44
DPS	0.60	0.61	0.63	0.70	0.75	Tangible Book Value Per Share	7.60	7.52	7.77	7.98	8.17
Diluted shares outstanding	12,056	12,066	12,067	12,067	12,067						
Balance Sheet Gearing	FY23A	FY24A	FY25E	FY26E	FY27E	Asset Quality/Capital	FY23A	FY24A	FY25E	FY26E	FY27E
Loans/Deposits	90.3%	89.3%	88.8%	89.2%	89.9%	Loan loss reserves/Loans	(1.6%)	(1.5%)	(1.5%)	(1.4%)	(1.4%)
Investment/Assets	26.8%	26.3%	25.0%	24.6%	23.8%	NPLs/Loans	1.3%	1.2%	1.3%	1.3%	1.3%
Loan/Assets	62.1%	62.4%	62.7%	63.2%	64.1%	Loan loss reserves/NPLs	123.9%	121.2%	119.0%	113.3%	108.5%
Customer deposits/Liabilities	74.9%	75.8%	76.5%	76.9%	77.4%	NPL y/y growth	(6.6%)	(3.2%)	8.1%	7.8%	7.7%
LT debt/Liabilities	13.4%	13.0%	12.2%	11.9%	11.6%	Tier 1 ratio	16.8%	16.1%	15.6%	15.0%	14.7%
						CAR	19.4%	18.9%	18.2%	17.4%	16.9%
Ratio Analysis (%)	FY23A	FY24A	FY25E	FY26E	FY27E	Ratio Analysis (%)	FY23A	FY24A	FY25E	FY26E	FY27E
Net interest margin	2.1%	2.1%	2.0%	1.9%	1.9%	Return on equity (ROE)	10.4%	10.7%	11.0%	10.7%	11.0%
Non interest income/Net revenue	26.1%	28.9%	30.9%	31.2%	30.9%	Return on assets (ROA)	0.9%	1.0%	1.0%	0.9%	0.9%
Non interest income/Avg. Assets	0.7%	0.8%	0.9%	0.9%	0.8%	Operating ROA	1.2%	1.3%	1.3%	1.2%	1.2%
Efficiency ratio	48.2%	48.5%	48.9%	49.9%	49.8%	Pre-Tax ROA	1.3%	1.3%	1.3%	1.2%	1.2%
Leverage ratio	7.5%	6.9%	6.9%	6.8%	6.6%	Pre-Provision ROA	1.4%	1.4%	1.4%	1.4%	1.4%
Revenue/Assets	2.7%	2.8%	2.8%	2.7%	2.7%	Tax rate	23.3%	23.3%	23.3%	23.3%	23.3%
RORWA	2.2%	2.3%	2.3%	2.1%	2.1%						
RWA	440,887	446,471	479,851	517,174	544,842	Net loans y/y growth	9.3%	5.4%	4.1%	6.7%	7.0%
Avg. RWA	424,748	443,679	463,161	498,512	531,008	Assets y/y growth	8.4%	4.6%	3.8%	5.3%	5.3%
Avg. IEA	929,596	1,017,482	1,053,656	1,103,150	1,163,246	RWA y/y growth	7.9%	1.3%	7.5%	7.8%	5.3%
Gross Loans	639,246	672,931	700,290	747,083	799,289	Deposits y/y growth	9.0%	6.5%	4.7%	6.2%	6.2%
Avg. IBL	787,638	843,186	880,949	925,256	979,242	Net interest income y/y growth	(6.1%)	4.6%	0.6%	2.2%	5.4%
LLR	(10,323)	(10,190)	(10,428)	(10,757)	(11,109)	Revenues y/y growth	(2.0%)	8.7%	3.6%	2.7%	5.0%
NPLs	8,600	8,326	8,999	9,699	10,446	Adj. EPS y/y growth	12.7%	7.8%	4.4%	0.1%	4.8%
P/BV (x)	1.28	1.29	1.25	1.22	1.19	BVPS y/y growth	10.0%	(0.8%)	3.2%	2.6%	2.3%
Adj. P/E (x)	12.9	12.0	11.5	11.5	11.0	IE assets/Assets	94.1%	96.8%	96.2%	96.3%	96.4%
Dividend yield	6.0%	6.1%	6.3%	7.0%	7.5%	Margins (as % of Avg. Assets)	2.0%	2.0%	2.0%	1.9%	1.9%
Dividend payout	77.4%	73.0%	72.2%	80.2%	81.9%	LLP/Loans	(0.3%)	(0.3%)	(0.2%)	(0.3%)	(0.3%)
						Equity/Assets	9.1%	9.0%	8.7%	8.6%	8.3%
						Cost/Assets	1.3%	1.4%	1.4%	1.4%	1.4%
						Assets/Equity	10.9	11.1	11.5	11.7	12.0

Source: Company reports and J.P. Morgan estimates.

Note: RM in millions (except per-share data). Fiscal year ends Dec

Overweight

HLBB.KL, HLBK MK
Price (09 Sep 25):RM20.10

▲ **Price Target (Dec-26):RM23.00**
Prior (Jun-26):RM22.00

APAC Banks

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Morgan Broking (Hong Kong) Limited

Quarterly Forecasts (FYE Jun)

Adj. EPS (RM)

	2025A	2026E	2027E
Q1	0.53	0.51	
Q2	0.56	0.53	
Q3	0.46	0.54	
Q4	0.53	0.87	
FY	2.08	2.45	2.22

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	7	9	5	19	15
Growth	55	28	38	17	38
Momentum	49	55	71	21	55
Quality	38	17	21	19	28
Low Vol	5	5	3	7	21
ESGQ	91	16	12	1	98

Hong Leong Bank

High quality and increasingly high yield

HLBK offers a solid track record on credit underwriting and has one of the most conservative LDRs among Malaysian banks, at 88%. Furthermore, we think RoA and RoE are on track to be industry-leading over the next three to five years. Hence, we see a path towards steady re-rating.

Valuation

Our Dec-26 PT of RM23 is based on a two-stage DDM methodology using the following valuation assumptions: RFR of 4.0%, CoE of 10.7%, normalized RoE of 10.7% and terminal growth of 4%.

Table 35: HLBK: Valuation

	Net Inc (RM mn)	EPS (RM)	P/E (x)	BVPS (RM)	P/B (x)	Dividend (RM)	Div Yld (%)	RoA (%)	RoRWA (%)	RoE (%)
2021	2,861	1.40	14.4	14.1	1.42	0.50	2.5%	1.25%	1.97%	10.1%
2022	3,289	1.61	12.5	15.1	1.33	0.55	2.7%	1.34%	2.17%	10.9%
2023	3,818	1.86	10.8	16.6	1.21	0.59	2.9%	1.43%	2.42%	11.8%
2024	4,196	2.05	9.8	18.2	1.10	0.68	3.4%	1.45%	2.50%	11.8%
2025	4,273	2.08	9.6	19.2	1.05	0.96	4.8%	1.53%	2.39%	12.2%
2026E	5,031	2.45	8.2	20.5	0.98	1.10	5.5%	1.33%	2.65%	10.6%
2027E	4,554	2.22	9.0	21.5	0.93	1.20	6.0%	1.31%	2.26%	10.6%
2028E	4,917	2.40	8.4	22.7	0.88	1.20	6.0%	1.33%	2.29%	10.8%
Price (RM)		20.10	Number of shares (mn)		2,050	Market Cap (RM mn)		41,205		

Normalised RoE		PB based Valuation		PE based Valuation	
NIM (on avg. assets)	1.64%	Risk-free rate	4.0%	Fair PE	9.3x
Non-IR/revenues	20.2%	Cost of capital	10.7%	12m Rolling EPS	RM2.4
Cost/income	37.6%	Long term growth	4.0%	PE based 12M fwd Fair Value	RM22.5
Operating RoA	1.28%	Fair PB	1.00x	Implied Value of Growth	
LLP/Loans	-0.08%	PV of Terminal Value	RM19.3	12m Rolling EPS	RM2.4
Net RoAA	1.32%	PV of Dividends	RM1.5	Capitalized Value	RM22.5
Equity/Assets	12.3%	PV of today's Fair Value	RM20.8	Value of Growth	-RM2.4
Normalised RoE	10.7%	PV of Dec-26 Fair value	RM23.0	Attributable to Growth	-11.9%

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Annual forecasts

Table 36: HLBK: Annual P&L

P&L (RMmn)	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E
Interest Income	7,399	7,775	8,314	7,943	7,151	7,287	9,684	11,352	11,745	11,949	12,146	12,685
Interest Expense	(3,995)	(4,236)	(4,843)	(4,332)	(2,774)	(2,626)	(5,037)	(6,544)	(6,597)	(6,535)	(6,512)	(6,641)
Net Interest Income	3,405	3,539	3,471	3,611	4,377	4,660	4,647	4,808	5,147	5,414	5,634	6,044
Fee income	609	574	585	521	570	610	599	680	720	768	812	859
Investment income	518	667	548	616	500	307	418	250	489	548	583	621
Islamic banking income	0	0	0	0	0	0	0	0	0	0	0	0
Other operating income	19	(1)	31	31	19	21	22	33	43	44	46	48
Non-Interest Income	1,146	1,239	1,164	1,167	1,090	937	1,038	963	1,251	1,359	1,441	1,528
Total Revenues	4,551	4,779	4,636	4,778	5,467	5,597	5,686	5,771	6,398	6,774	7,075	7,572
Costs	(2,008)	(2,060)	(2,092)	(2,104)	(2,078)	(2,098)	(2,233)	(2,339)	(2,479)	(2,579)	(2,684)	(2,792)
PPOP	2,543	2,718	2,544	2,675	3,389	3,499	3,452	3,432	3,919	4,194	4,391	4,780
Loan loss provisions	(161)	(77)	(12)	(328)	(654)	(164)	(115)	114	383	(158)	(145)	(154)
Impairment Loss	2	7	1	0	(0)	1	0	(1)	0	0	0	0
Associate	364	537	563	642	736	1,030	1,289	1,589	1,466	1,300	1,365	1,433
Pre-Tax	2,748	3,185	3,096	2,989	3,471	4,367	4,627	5,134	5,768	5,336	5,612	6,059
Tax	(603)	(608)	(522)	(495)	(610)	(1,078)	(808)	(938)	(1,087)	(1,006)	(1,057)	(1,142)
Net profits	2,145	2,577	2,574	2,495	2,861	3,289	3,818	4,196	4,681	4,331	4,554	4,917
Disposals/ Exceptionals	0	61	90	0	0	0	0	0	(408)	700	0	0
Reported profits	2,145	2,638	2,665	2,495	2,861	3,289	3,818	4,196	4,273	5,031	4,554	4,917

Source: Company reports and J.P. Morgan estimates.

Table 37: HLBK: Annual DuPont

	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E
NIM (% of avg. IEA)	2.09%	2.10%	1.96%	1.88%	2.14%	2.14%	1.98%	1.86%	1.90%	1.86%	1.82%	1.83%
IEA/Assets	84.6%	84.4%	86.5%	89.6%	89.2%	88.7%	88.0%	89.5%	88.5%	89.2%	89.2%	89.2%
Margins (% of avg. Assets)	1.77%	1.78%	1.69%	1.68%	1.91%	1.90%	1.74%	1.66%	1.68%	1.66%	1.62%	1.63%
Non-IR contribution	25%	26%	25%	24%	20%	17%	18%	17%	20%	20%	20%	20%
Non-IR/Avg. Assets	0.59%	0.62%	0.57%	0.54%	0.48%	0.38%	0.39%	0.33%	0.41%	0.42%	0.41%	0.41%
Revenue/Assets	2.36%	2.40%	2.26%	2.23%	2.39%	2.28%	2.13%	2.00%	2.09%	2.08%	2.04%	2.05%
Cost/Income	44.1%	43.1%	45.1%	44.0%	38.0%	37.5%	39.3%	40.5%	38.7%	38.1%	37.9%	36.9%
C/Assets	1.04%	1.03%	1.02%	0.98%	0.91%	0.85%	0.84%	0.81%	0.81%	0.79%	0.77%	0.76%
Pre-Provision ROA	1.32%	1.36%	1.24%	1.25%	1.48%	1.42%	1.29%	1.19%	1.28%	1.29%	1.26%	1.29%
LLP/Loans	-0.13%	-0.06%	-0.01%	-0.23%	-0.43%	-0.10%	-0.07%	0.06%	0.19%	-0.07%	-0.06%	-0.06%
Loan/Assets	63.8%	63.8%	65.0%	66.1%	65.8%	65.9%	65.5%	65.2%	66.1%	66.9%	67.1%	67.4%
Pre-Tax ROA	1.43%	1.60%	1.51%	1.39%	1.51%	1.78%	1.73%	1.78%	1.88%	1.64%	1.62%	1.64%
Tax Rate	-21.9%	-19.1%	-16.8%	-16.6%	-17.6%	-24.7%	-17.5%	-18.3%	-18.8%	-18.8%	-18.8%	-18.8%
Disposals/ Exceptionals	0.00%	0.03%	0.04%	0.00%	0.00%	0.00%	0.00%	0.00%	-0.13%	0.21%	0.00%	0.00%
Core ROA	1.11%	1.29%	1.26%	1.16%	1.25%	1.34%	1.43%	1.45%	1.53%	1.33%	1.31%	1.33%
ROA	1.11%	1.32%	1.30%	1.16%	1.25%	1.34%	1.43%	1.45%	1.40%	1.54%	1.31%	1.33%
RoRWA	1.75%	2.08%	2.00%	1.81%	1.97%	2.17%	2.42%	2.50%	2.39%	2.65%	2.26%	2.29%
Equity/Assets	11.4%	11.7%	12.0%	12.3%	12.4%	12.3%	12.2%	12.3%	12.5%	12.5%	12.4%	12.3%
Core ROE	9.8%	11.1%	10.4%	9.5%	10.1%	10.9%	11.8%	11.8%	12.2%	10.6%	10.6%	10.8%
ROE	9.8%	11.3%	10.8%	9.5%	10.1%	10.9%	11.8%	11.8%	11.2%	12.4%	10.6%	10.8%

Source: Company reports and J.P. Morgan estimates.

Quarterly forecasts

Table 38: HLBK: Quarterly P&L

P&L (RMmn)	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E
Interest Income	2,750	2,839	2,865	2,898	2,955	2,942	2,864	2,984	2,979	3,005	2,966	2,999
Interest Expense	(1,598)	(1,648)	(1,642)	(1,657)	(1,654)	(1,651)	(1,629)	(1,660)	(1,648)	(1,649)	(1,624)	(1,614)
Net Interest Income	1,152	1,191	1,223	1,241	1,301	1,290	1,235	1,324	1,330	1,356	1,342	1,385
Fee income	160	168	168	184	163	188	185	184	181	185	191	211
Investment income	76	99	38	38	130	149	111	98	127	139	153	129
Islamic banking income	0	0	0	0	0	0	0	0	0	0	0	0
Other operating income	6	7	6	14	7	5	17	13	20	22	24	(22)
Non-Interest Income	242	273	212	236	300	342	313	296	327	346	367	319
Total Revenues	1,394	1,465	1,436	1,477	1,601	1,632	1,548	1,620	1,658	1,702	1,710	1,704
Costs	(556)	(578)	(577)	(628)	(626)	(627)	(601)	(626)	(641)	(650)	(630)	(659)
PPOP	838	887	859	848	976	1,005	947	994	1,017	1,052	1,080	1,045
Loan loss provisions	51	6	26	31	(7)	(5)	398	(3)	(37)	(38)	(38)	(44)
Impairment Loss	(0)	0	(1)	0	(0)	1	(0)	0	0	0	0	0
Associate	354	448	384	402	375	400	324	367	312	315	318	356
Pre-Tax	1,243	1,341	1,268	1,282	1,343	1,401	1,670	1,358	1,291	1,329	1,360	1,357
Tax	(213)	(253)	(224)	(248)	(249)	(252)	(315)	(270)	(236)	(243)	(249)	(277)
Net profits	1,030	1,088	1,044	1,034	1,093	1,148	1,354	1,089	1,055	1,086	1,111	1,079
Reported profits	1,030	1,088	1,044	1,034	1,093	1,148	947	1,089	1,055	1,086	1,111	1,779

Source: Company reports and J.P. Morgan estimates.

Table 39: HLBK: Quarterly DuPont

	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E
NIM (% of avg. IEA)	1.84%	1.85%	1.87%	1.89%	1.92%	1.91%	1.87%	1.90%	1.86%	1.87%	1.83%	1.84%
IEA/Assets	89.0%	90.7%	91.0%	89.1%	91.6%	91.7%	88.3%	90.6%	90.7%	90.7%	90.7%	90.7%
Margins (% of avg. Assets)	1.64%	1.68%	1.70%	1.69%	1.76%	1.75%	1.65%	1.72%	1.69%	1.70%	1.66%	1.67%
Non-IR contribution	17.4%	18.7%	14.8%	16.0%	18.7%	21.0%	20.2%	18.2%	19.7%	20.3%	21.5%	18.7%
Non-IR/Avg. Assets	0.34%	0.39%	0.29%	0.32%	0.41%	0.46%	0.42%	0.38%	0.41%	0.43%	0.45%	0.38%
Revenue/Assets	1.98%	2.06%	1.99%	2.01%	2.17%	2.22%	2.07%	2.11%	2.10%	2.13%	2.11%	2.06%
Cost/Income	39.9%	39.4%	40.2%	42.5%	39.1%	38.4%	38.8%	38.6%	38.7%	38.2%	36.8%	38.7%
C/Assets	0.79%	0.81%	0.80%	0.85%	0.85%	0.85%	0.80%	0.81%	0.81%	0.81%	0.78%	0.80%
Pre-Provision ROA	1.19%	1.25%	1.19%	1.15%	1.32%	1.36%	1.27%	1.29%	1.29%	1.32%	1.33%	1.26%
LLP/Loans	0.11%	0.01%	0.06%	0.07%	-0.02%	-0.01%	0.80%	-0.01%	-0.07%	-0.07%	-0.07%	-0.08%
Loan/Assets	64.6%	64.6%	64.7%	65.0%	65.9%	66.8%	67.1%	66.8%	67.0%	67.3%	67.2%	67.1%
Other Income/Assets	0.50%	0.63%	0.53%	0.55%	0.51%	0.54%	0.43%	0.48%	0.39%	0.39%	0.39%	0.43%
Pre-Tax ROA	1.77%	1.89%	1.76%	1.74%	1.82%	1.90%	2.24%	1.77%	1.64%	1.66%	1.68%	1.64%
Tax Rate	-17.2%	-18.9%	-17.7%	-19.3%	-18.6%	-18.0%	-18.9%	-19.8%	-18.3%	-18.3%	-18.3%	-20.4%
ROA	1.46%	1.53%	1.45%	1.40%	1.48%	1.56%	1.27%	1.41%	1.34%	1.36%	1.37%	2.15%
RoRWA	2.51%	2.63%	2.50%	2.42%	2.54%	2.63%	2.12%	2.39%	2.26%	2.28%	2.30%	3.65%
Equity/Assets	12.1%	12.3%	12.5%	12.5%	12.5%	12.6%	12.8%	12.6%	12.4%	12.4%	12.4%	12.5%
ROE	12.1%	12.5%	11.6%	11.2%	11.9%	12.3%	9.9%	11.2%	10.8%	11.0%	11.0%	17.2%

Source: Company reports and J.P. Morgan estimates.

Price Performance



	YTD	1m	3m	12m
Abs	-2.2%	5.2%	2.0%	-4.0%
Rel	1.2%	3.3%	-2.4%	-0.1%

Company Data

Shares O/S (mn)	2,168
52-week range (RM)	21.88-18.42
Market cap (\$ mn)	10,329
Exchange rate	4.22
Free float (%)	34.8%
3M ADV (mn)	0.73
3M ADV (\$ mn)	3.4
Volatility (90 Day)	13
Index	FBMKLCI - FTSE BURSA MALAYSIA KLCI
BBG ANR (Buy Hold Sell)	17 0 0

Key Metrics (FYE Jun)

RM in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Net interest income	5,147	5,414	5,634	6,044
Non interest income	1,251	1,359	1,441	1,528
Operating expenses	(2,479)	(2,579)	(2,684)	(2,792)
Adj. PPOP	3,919	4,194	4,391	4,780
Provision for loan losses	383	(158)	(145)	(154)
Adj. PBT	5,768	5,336	5,612	6,059
Adj. net income	4,273	5,031	4,554	4,917
Adj. EPS	2.08	2.45	2.22	2.40
BBG EPS	2.12	2.20	2.33	-
DPS	0.96	1.10	1.20	1.20
Loans	208,965	224,561	239,879	256,255
Deposits	238,926	256,470	273,867	292,455
Total Assets	314,618	336,693	358,164	381,302
Margins and Growth				
NIM	1.9%	1.9%	1.8%	1.8%
Ratios				
Loan/ Deposit ratio	87.5%	87.6%	87.6%	87.6%
NPL / Loans	0.5%	0.6%	0.6%	0.6%
Coverage	96.8%	86.9%	76.1%	66.5%
CET 1	-	-	-	-
Non-int. income/ Income	19.5%	20.1%	20.4%	20.2%
Cost/Income	38.7%	38.1%	37.9%	36.9%
LLP/Loans	0.2%	(0.1%)	(0.1%)	(0.1%)
ROA	1.4%	1.5%	1.3%	1.3%
ROE	11.2%	12.4%	10.6%	10.8%
Valuation				
Dividend yield	4.8%	5.5%	6.0%	6.0%
Adj. P/E	9.6	8.2	9.0	8.4
P/ BV	1.11	1.04	0.99	0.93

Summary Investment Thesis and Valuation

Investment Thesis

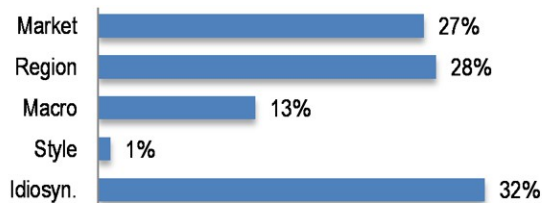
We have an OW rating on HLBK.

- The bank offers a solid track record on credit underwriting and has one of the most conservative LDRs among Malaysian banks, at 88%. Furthermore, we think RoA and RoE are on track to be industry-leading over the next three to five years. Hence, we see a path towards steady re-rating.
- The bank has been one of the first to operationalize large-scale digitalization across the institution. This should benefit its growth, as well as risk management. We think a sharp improvement in loan growth and fee income is likely to be the largest source of positive surprise in the next 6-12 months.

Valuation

Our Dec-26 PT of RM23 is based on a two-stage DDM methodology using the following valuation assumptions: RFR of 4.0%, CoE of 10.7%, normalized RoE of 10.7% and terminal growth of 4%.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.49	0.52
Region: Malaysia	0.53	0.64
Macro:		
US 10 Year Yield	-0.33	-0.29
Citi Economic Surprise - EM	0.39	0.25
Generic 1st 'CO' Future	0.53	0.25
Quant Styles:		
Size	0.09	0.24
Quality	-0.12	0.14
DivYld	0.17	0.10

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

Investment Thesis, Valuation and Risks

Hong Leong Bank (*Overweight; Price Target: RM23.00*)

Investment Thesis

We have an OW rating on HLBK.

- The bank offers a solid track record on credit underwriting and has one of the most conservative LDRs among Malaysian banks, at 88%. Furthermore, we think RoA and RoE are on track to be industry-leading over the next three to five years. Hence, we see a path towards steady re-rating.
- The bank has been one of the first to operationalize large-scale digitalization across the institution. This should benefit its growth, as well as risk management. We think a sharp improvement in loan growth and fee income is likely to be the largest source of positive surprise in the next 6-12 months.
- BoCD (601838 CH, Not Covered) is one of the key drivers of earnings for the bank (31% contribution to PBT in FY24). We do not rule out the possibility of corporate action from HLBK to at least partly realise the value in BoCD, which in turn can lead to sharp share price moves.
- HLBK stands out to us as one of the best credit underwriters in the region. The bank's NPL ratio is low, at 0.54%, while the coverage ratio (excl. RR) is high, at 96.8%. The bank has guided for net credit costs of <10bps for FY25 (JPMe writeback of 18bps).
- The CET1 of 14% is understated, as it has a high risk weight intensity, at 59% vs. 42% for MAY. Given the technological investments by the bank in the last few years, we believe RWA release is likely, leading to higher CET1. This, in turn, should lead to a higher payout and DPS. We forecast a 44-50% payout in FY26-28, leading to a 5.3-5.8% dividend yield.

Valuation

Our Dec-26 PT of RM23 is based on a two-stage DDM methodology using the following valuation assumptions: RFR of 4.0%, CoE of 10.7%, normalized RoE of 10.7% and terminal growth of 4%.

Risks to Rating and Price Target

Downside risks to our rating and price target include: (1) an inability or unwillingness to lever up its deposit base, which would lead to NIM pressure, (2) a significant reduction in the contribution from BoCD, and (3) lack of payout increase.

Hong Leong Bank: Summary of Financials

Income Statement						Balance Sheet					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Interest income	11,352	11,745	11,949	12,146	12,685	Cash and cash equivalents	0	0	0	0	0
Interest expense	(6,544)	(6,597)	(6,535)	(6,512)	(6,641)	Deposits with banks	9,666	15,268	17,105	18,364	19,963
Net interest income	4,808	5,147	5,414	5,634	6,044	Net loans	193,304	208,965	224,561	239,879	256,255
Non interest income	963	1,251	1,359	1,441	1,528	PP&E	994	954	963	973	983
o/w Fee income	680	720	768	812	859	Net intangibles	2,352	2,322	2,322	2,322	2,322
o/w Trading income	250	489	548	583	621	LT investments	75,964	72,503	76,128	79,934	83,931
Net revenues	5,771	6,398	6,774	7,075	7,572	Other assets	15,508	14,607	15,614	16,693	17,850
Non interest expense	(2,339)	(2,479)	(2,579)	(2,684)	(2,792)	Total assets	297,789	314,618	336,693	358,164	381,302
o/w Employee costs	(1,284)	(1,333)	(1,386)	(1,442)	(1,500)	Interest earning assets	278,934	296,735	317,794	338,176	360,148
Pre-Prov. Profits	3,432	3,919	4,194	4,391	4,780	Deposits	220,433	238,926	256,470	273,867	292,455
Provisions	114	383	(158)	(145)	(154)	Borrowings	26,580	22,346	23,470	24,789	26,193
Adj. PBT	5,134	5,768	5,336	5,612	6,059	Other liabilities	13,482	14,059	14,691	15,351	16,041
Income taxes	(938)	(1,087)	(1,006)	(1,057)	(1,142)	Total liabilities	260,495	275,331	294,630	314,007	334,689
Minority interest	0	0	0	0	0	Shareholder equity	37,294	39,287	42,063	44,157	46,614
Adj. Net profit	4,196	4,273	5,031	4,554	4,917	Minority interests	0	0	0	0	0
PPOP per share	1.67	1.91	2.05	2.14	2.33	Total liabilities and Shareholder equity	297,789	314,618	336,693	358,164	381,302
Reported EPS	2.05	2.08	2.45	2.22	2.40	Interest bearing liabilities	247,013	261,272	279,940	298,656	318,647
Adj. EPS	2.05	2.08	2.45	2.22	2.40	Book Value Per Share	17.20	18.12	19.40	20.37	21.50
DPS	0.68	0.96	1.10	1.20	1.20	Tangible Book Value Per Share	17.20	18.12	19.40	20.37	21.50
Diluted shares outstanding	2,049	2,050	2,050	2,050	2,050						
Balance Sheet Gearing						Asset Quality/Capital					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Loans/Deposits	87.7%	87.5%	87.6%	87.6%	87.6%	Loan loss reserves/Loans	(0.8%)	(0.5%)	(0.5%)	(0.4%)	(0.4%)
Investment/Assets	25.4%	24.2%	22.8%	22.5%	22.2%	NPLs/Loans	0.5%	0.5%	0.6%	0.6%	0.6%
Loan/Assets	65.2%	66.1%	66.9%	67.1%	67.4%	Loan loss reserves/NPLs	161.9%	124.5%	91.6%	81.3%	71.1%
Customer deposits/Liabilities	84.6%	86.8%	87.0%	87.2%	87.4%	NPL y/y growth	(0.1%)	9.9%	9.2%	9.0%	8.8%
LT debt/Liabilities	9.7%	9.1%	8.0%	7.9%	7.9%	Tier 1 ratio	14.8%	14.9%	15.1%	15.2%	15.4%
Ratio Analysis (%)							FY24A	FY25A	FY26E	FY27E	FY28E
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Net interest margin	1.9%	1.9%	1.9%	1.8%	1.8%	Return on equity (ROE)	11.8%	11.2%	12.4%	10.6%	10.8%
Non interest income/Net revenue	16.7%	19.5%	20.1%	20.4%	20.2%	Return on assets (ROA)	1.5%	1.4%	1.5%	1.3%	1.3%
Non interest income/Avg. Assets	0.3%	0.4%	0.4%	0.4%	0.4%	Operating ROA	1.2%	1.4%	1.2%	1.2%	1.3%
Efficiency ratio	40.5%	38.7%	38.1%	37.9%	36.9%	Pre-Tax ROA	1.8%	1.9%	1.6%	1.6%	1.6%
Leverage ratio	8.9%	9.0%	9.1%	9.1%	9.2%	Pre-Provision ROA	1.2%	1.3%	1.3%	1.3%	1.3%
Revenue/Assets	2.0%	2.1%	2.1%	2.0%	2.0%	Tax rate	18.3%	18.8%	18.8%	18.8%	18.8%
RORWA	2.5%	2.4%	2.6%	2.3%	2.3%						
RWA	172,949	184,414	195,670	208,148	221,595	Net loans y/y growth	7.4%	8.1%	7.5%	6.8%	6.8%
Avg. RWA	167,909	178,682	190,042	201,909	214,872	Assets y/y growth	6.4%	5.7%	7.0%	6.4%	6.5%
Avg. IEA	258,620	271,140	290,365	309,946	329,958	RWA y/y growth	6.2%	6.6%	6.1%	6.4%	6.5%
Gross Loans	194,918	210,073	225,647	240,916	257,241	Deposits y/y growth	4.1%	8.4%	7.3%	6.8%	6.8%
Avg. IBL	240,812	254,422	270,893	289,609	308,987	Net interest income y/y growth	3.4%	7.1%	5.2%	4.1%	7.3%
LLR	(1,614)	(1,108)	(1,085)	(1,037)	(986)	Revenues y/y growth	1.5%	10.9%	5.9%	4.4%	7.0%
NPLs	1,041	1,144	1,249	1,362	1,483	Adj. EPS y/y growth	9.9%	1.8%	17.7%	(9.5%)	8.0%
P/BV (x)	1.17	1.11	1.04	0.99	0.93	BVPS y/y growth	9.7%	5.3%	7.1%	5.0%	5.6%
Adj. P/E (x)	9.8	9.6	8.2	9.0	8.4	IE assets/Assets	89.5%	88.5%	89.2%	89.2%	89.2%
Dividend yield	3.4%	4.8%	5.5%	6.0%	6.0%	Margins (as % of Avg. Assets)	1.6%	1.6%	1.6%	1.5%	1.5%
Dividend payout	33.2%	46.1%	44.8%	54.0%	50.0%	LLP/Loans	0.1%	0.2%	(0.1%)	(0.1%)	(0.1%)
						Equity/Assets	12.3%	12.5%	12.5%	12.4%	12.3%
						Cost/Assets	0.8%	0.8%	0.8%	0.8%	0.8%
						Assets/Equity	8.1	8.0	8.0	8.1	8.1

Source: Company reports and J.P. Morgan estimates.

Note: RM in millions (except per-share data). Fiscal year ends Jun

Companies Discussed in This Report (all prices in this report as of market close on 09 September 2025, unless otherwise indicated)

Asia Commercial Bank(ACB.HM/D26,550.00/OW), BDO Unibank(BDO.PS/Php134.00/OW), Bank Central Asia (BCA) (BBCA.JK/Rp7,525/N), Bank Negara Indonesia Persero(BBNI.JK/Rp4,080/OW), Bank Rakyat Indonesia(BBRI.JK/Rp3,790/N), Bank of the Philippine Islands(BPI.PS/Php107.30/OW), Bursa Malaysia(BMYS.KL/RM7.81/OW), CIMB Group Holdings(CIMB.KL/RM7.16/OW), Global Digital Niaga (BELI)(BELI.JK/Rp356/NC), Kasikornbank PCL(KBANK.BK/Bt171.00/OW), Krung Thai Bank(KTB.BK/Bt26.00/OW), Metropolitan Bank(MBT.PS/Php69.00/N), PT Bank Mandiri Tbk. (BMRI.JK/Rp4,310/OW), Public Bank(PUBM.KL/RM4.29/OW), SCB X PCL(SCB.BK/Bt126.00/N), Srisawad Corporation PCL(SAWAD.BK/Bt29.75/OW), Tisco Financial Group PCL(TISCO.BK/Bt102.50/OW), Vietcombank(VCB.HM/D64,900.00/OW)

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Srisawad Corporation PCL (SAWAD.BK, SAWAD TB) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage Mar 12, 2019. All share prices are as of market close on the previous business day.

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